About This Study Text

This Study Text has been specifically written for the Association of Chartered Certified Accountants' Foundations in Accountancy examination, *Recording Financial Transactions.*

It provides comprehensive coverage of the core syllabus areas and is designed to be used both as a reference text and as an integral part of your studies to provide you with the knowledge, skill and confidence to succeed in your examination.

How to Use This Study Text

You should start by reading through the syllabus and study guide to familiarise yourself with the content of this exam.

The chapters which follow include the following features:

Syllabus Coverage	These are the learning outcomes relevant to the chapter, as published in the ACCA Study Guide.
Visual Overview	A diagram of the concepts and the relationships addressed in each chapter.
Definitions	Terms are defined as they are introduced. Groups of terms are set out in a Terminology section.
Examples	These are to be read as part of the text. Any solutions to numerical Examples are provided.
Exhibits	These extracts of external content are presented to reinforce concepts and should be read as part of the text.
Activities	These should be attempted as you work through the chapter.
Key Points	Attention is drawn to fundamental rules, underlying concepts and principles.
Exam advice	These comments relate the content to relevance in the examination.
Chapter Summary	A summary of the main points of each chapter.
Activity Solutions	Answers to the Activities are presented at the end of each chapter.

Other Resources

Syllabus and Study Guide

Refer to the *Syllabus and Study Guide* for:

- Overall aim of the syllabus
- Detailed syllabus information
- Detailed study guide
- Approach to examining the syllabus

ACCA Study Support Resources

For examining team guidance and technical articles relevant to this exam see https://www.accaglobal.com/gb/en/student/exam-support-resources/foundation-level-study-resources/fa1.html

Specimen Exam

You are strongly advised to work through the **CBE Specimen Exam** available at https://specimen.accaglobal.com/Assignments/FA1/ACCA.html

Exam Advice

Exam advice

Read the question information, requirement and all of the choices carefully.

Even if you are sure of the answer, read the question again to make sure you have not missed anything.

- If you know the answer, select and move on.
- If you do not know the answer, apply a process of deduction to rule out those that you should know to be wrong.
- If you still do not know, select the answer that is your best guess.

CHAPTER 1: Visual Overview

CHAPTER 1: Visual Overview



Objective: To introduce sources of authority in international financial reporting.

1.1 Bookkeeping and Accounting in Business

1.1.1 What is a Business?

A business is an organisation that aims to **make a profit** for its **owner**.

Profit is the difference between a business's income and expenses. Income is derived mainly from a business's sales of goods or services. Expenses are the amounts that a business pays to operate.

1.1.2 Ownership and Recording of Transactions

Owners introduce assets into the business as capital.

The business's records should only include transactions specifically related to its operations, not transactions concerning the owner's personal expenses.

A business can be owned by one person or by many.

FA1 assumes that the business is owned and controlled by one person, known as a **sole trader**. Legally, there is no distinction between a business and its owner as a sole trader.

A sole trader may withdraw assets (i.e. cash) from the business as drawings.

Another type of business, a company, is an entity legally separate from its owners. This is beyond the scope of FA1.

1.1.3 The Need for Accounting

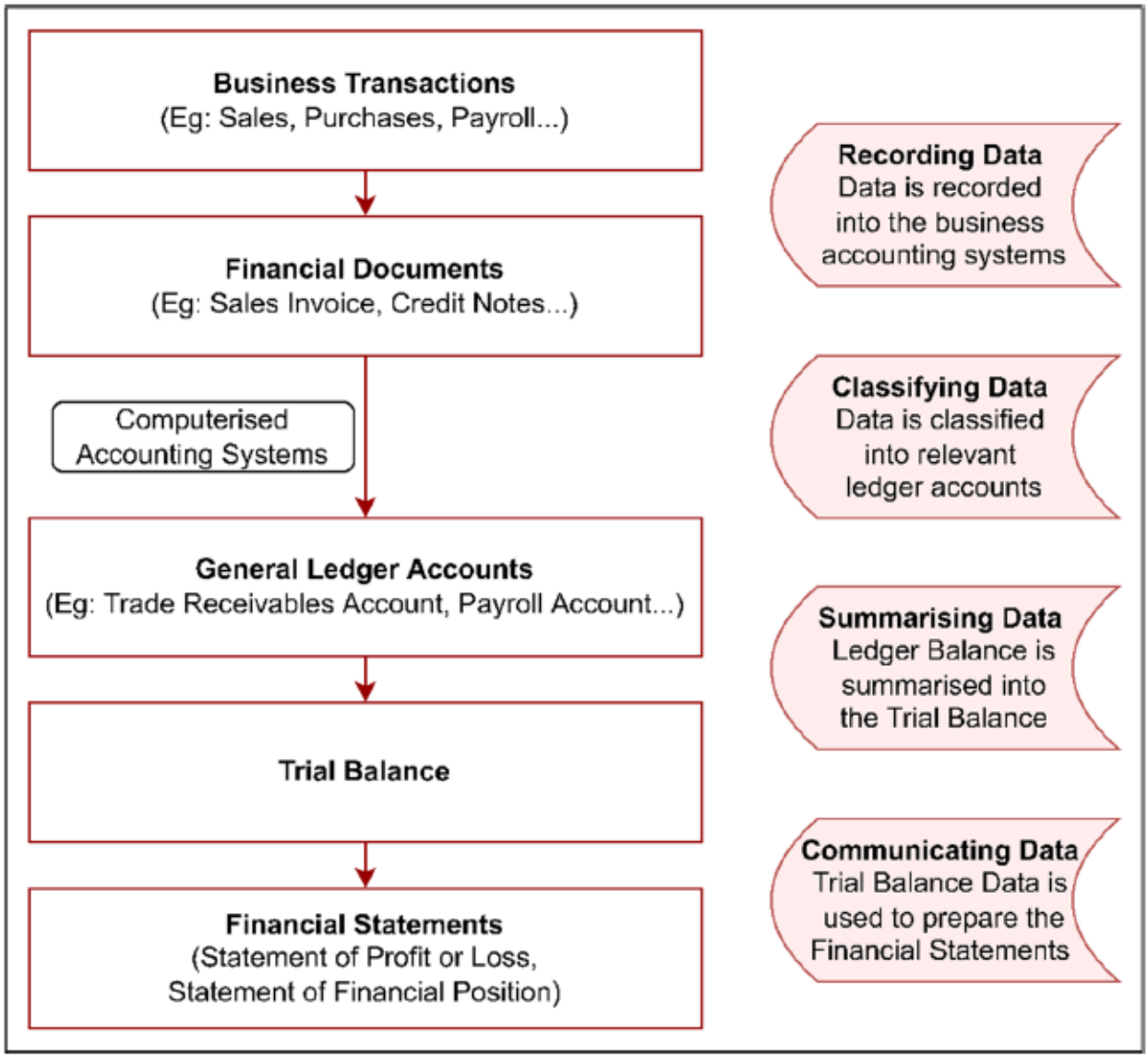
In a business, financial transactions such as sales and purchases occur regularly. Accountants and bookkeepers will record and account for these transactions reasonably.

Bookkeeping is the **act of recording financial transactions** wholly and accurately. A bookkeeper records the past activities of the business.

Accounting is the use of the information compiled by the bookkeeper to **prepare the financial statements** of an organisation.

Bookkeeping and accounting in a business record the entire transaction process, from the transactions to the creation of financial statements.

1.1.4 Accounting for Business Transactions



1. **Business Transactions**

Business transactions such as sales and purchases must be correctly and accurately recorded in the accounting systems.

2. **Financial Documents**

Financial documents provide evidence that a business transaction took place. For each financial transaction, a document with details of the transaction must exist.

For example, an invoice (document) is evidence of a sale (transaction), and remittance advice (document) that has been received is evidence of a payment receipt (transaction).

Financial document details are recorded in the **computerised accounting system** by the bookkeepers of a business.

3. **General Ledger Accounts**

Once details of financial transactions are recorded in the accounting system, the amount is classified into the relevant general ledger accounts using **double entry**.

For example, a cash sale transaction will be recorded in the cash and sales ledger accounts.

4. **Trial Balance**

The total balances from each general ledger account are summarised and compiled in a trial balance at the year-end. The trial balance is investigated to ensure no errors in recording the transactions.

5. **Financial Statements**

Information is taken from the trial balance to prepare the business's financial statements: Statement of Profit or Loss and Statement of Financial Position.

The **Statement of Profit or Loss** is a high-level summary of the business's activities during the year.

The **Statement of Financial Position** highlights the current position of the business's assets, liabilities and capital.

1.1.5 Users of Financial Information

Financial Statements are the summary of the accounting records prepared by the accountant. Users of the financial statements include:

- Tax Authorities – They may look through a business' records to determine if the tax expense has been correctly calculated and paid.
- Future Investors – They may look at available financial information to determine how well the business performs before investing money.
- Bank Managers – They may inquire about the business's financial statements before authorising a bank loan.
- Suppliers – They may ask to view financial statements before giving the business a credit account (purchase and pay later).

FA1 Scenario

This FA1 text follows the progress of RFashion*, a* business selling clothes newly set up by Rajiv.

Hannah, a qualified accountant, helps Rajiv set up a bank account and the accounting systems the business needs to record transactions.

Rajiv employs Tisha, an accounts trainee, to record RFashion's business activities as his bookkeeper. Most of Rajiv's customers buy clothing for cash. However, he has several regular customers who purchase goods from him and pay for them later (credit customers).

Activity 1

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1. What is the difference between bookkeeping and accounting?
2. What is a profit in a business?
3. Can business accounts include the owner's personal expenses?

**Please use the notes feature in the toolbar to help formulate your answer.*

1.2 Business Transactions

A business transaction is an exchange of goods, services, or money between two or more parties.

1.2.1 Types of Business Transactions

- Sales - exchanging goods or services for money
- Sale returns – faulty or incorrect goods returned from a customer
- Purchases - buying goods or services using money
- Purchase returns – faulty or incorrect goods sent back to the supplier
- Payments - transfer of money to a third party
- Payment receipts - receiving money from a third party
- Petty cash payments - paying for low-value items using a small fund of cash

- Payroll payments - money paid to employees for wages and salaries

All financial transactions must have a valid **financial document** with details of the transaction. For example, a sales transaction is recorded using an invoice.

1.3 Financial Documents

Bookkeepers record business transactions based on supporting financial documentation. Financial documents (or source documents) provide evidence of the existence of financial transactions.

1.3.1 Types of Financial Documents

- **Quotation** is a document sent by the seller with details of the price for each item.
- **Purchase order** is a document completed by the customer and sent to the supplier, highlighting the items they want to order.
- **Delivery note** is a document that accompanies the delivered goods. The customer signs the delivery note to confirm proof of delivery when the goods are delivered.

The supplier also checks that the correct goods are being sent.

- **Goods received note (GRN)** is an internal document completed by the customer to ensure everything ordered has been received.
- **Invoice** is a document sent to customers with details of the items purchased on credit. Details include the date, quantity, price, and parties involved.
- **Credit Note** is a document issued by the supplier to reduce the value of the previously issued invoice due to faulty or damaged goods being supplied.
- **Debit Note** is a document issued by the customer to the supplier to request a credit note.
- **Statement of Account** is a document sent to a customer with details of all transactions between the parties. The statement also highlights the balance owed to the supplier at the end of the month.
- **Remittance Advice** is a document sent to the supplier to show that payment has been made.

- **Cheque** is a written document authorising the bank to transfer a stated amount from the drawee's account to the named account holder.
- **Petty Cash Voucher** - A document slip that fits within the petty cash tin to record any payment from the petty cash fund.

Example 1

One of *RFashion's* regular customers, Ocean View Restaurant, is in the process of placing an order of five uniform suits on credit.

The comic strip below highlights each stage of the bookkeeping and documentation process.

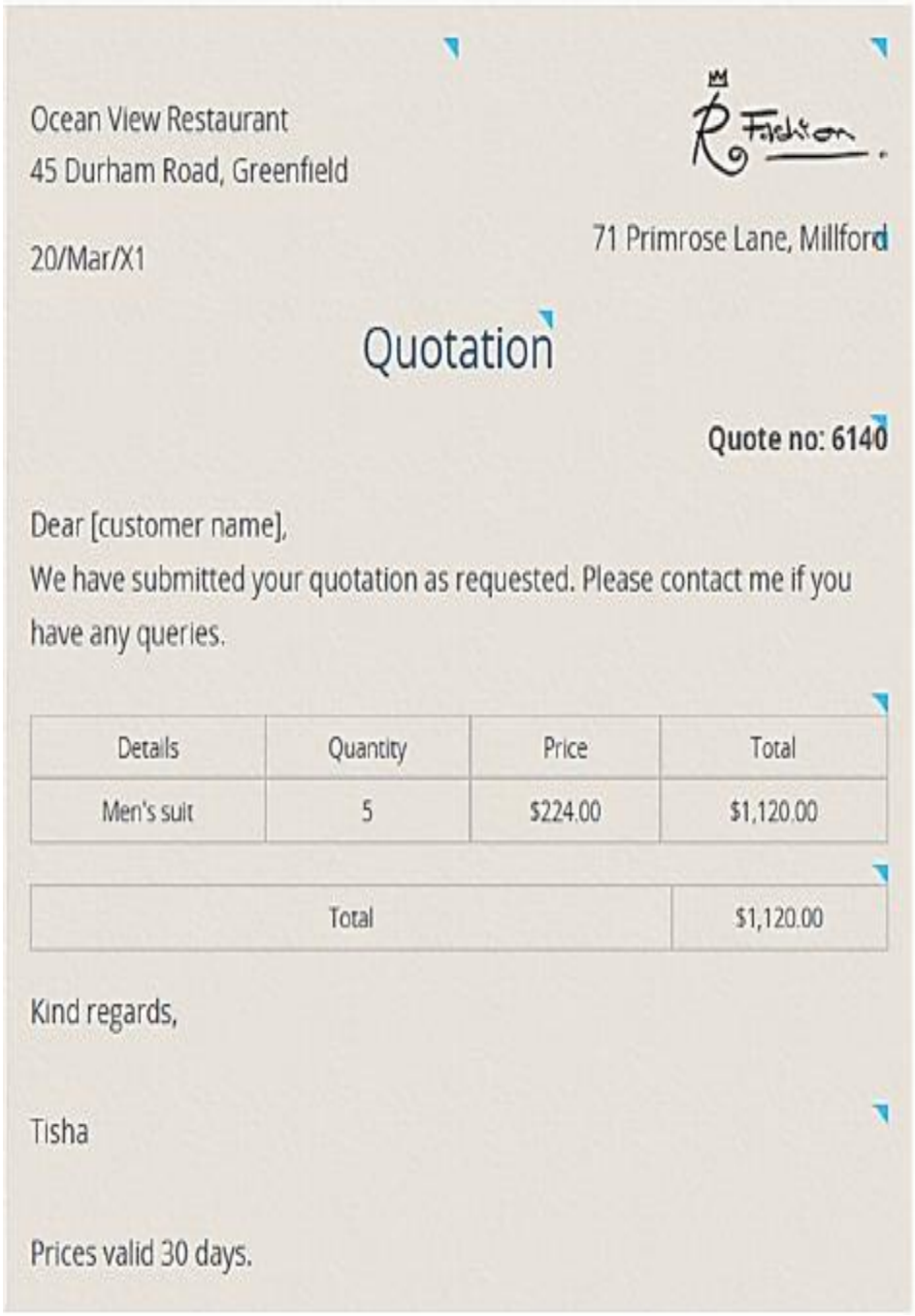


Example 1



The financial documents within each stage of bookkeeping are shown below:

Example 1



Ocean View Restaurant
45 Durham Road, Greenfield

20/Mar/X1

RFashion

71 Primrose Lane, Millford

Quotation

Quote no: 6140

Dear [customer name],
We have submitted your quotation as requested. Please contact me if you have any queries.

Details	Quantity	Price	Total
Men's suit	5	$224.00	$1,120.00

Total	$1,120.00

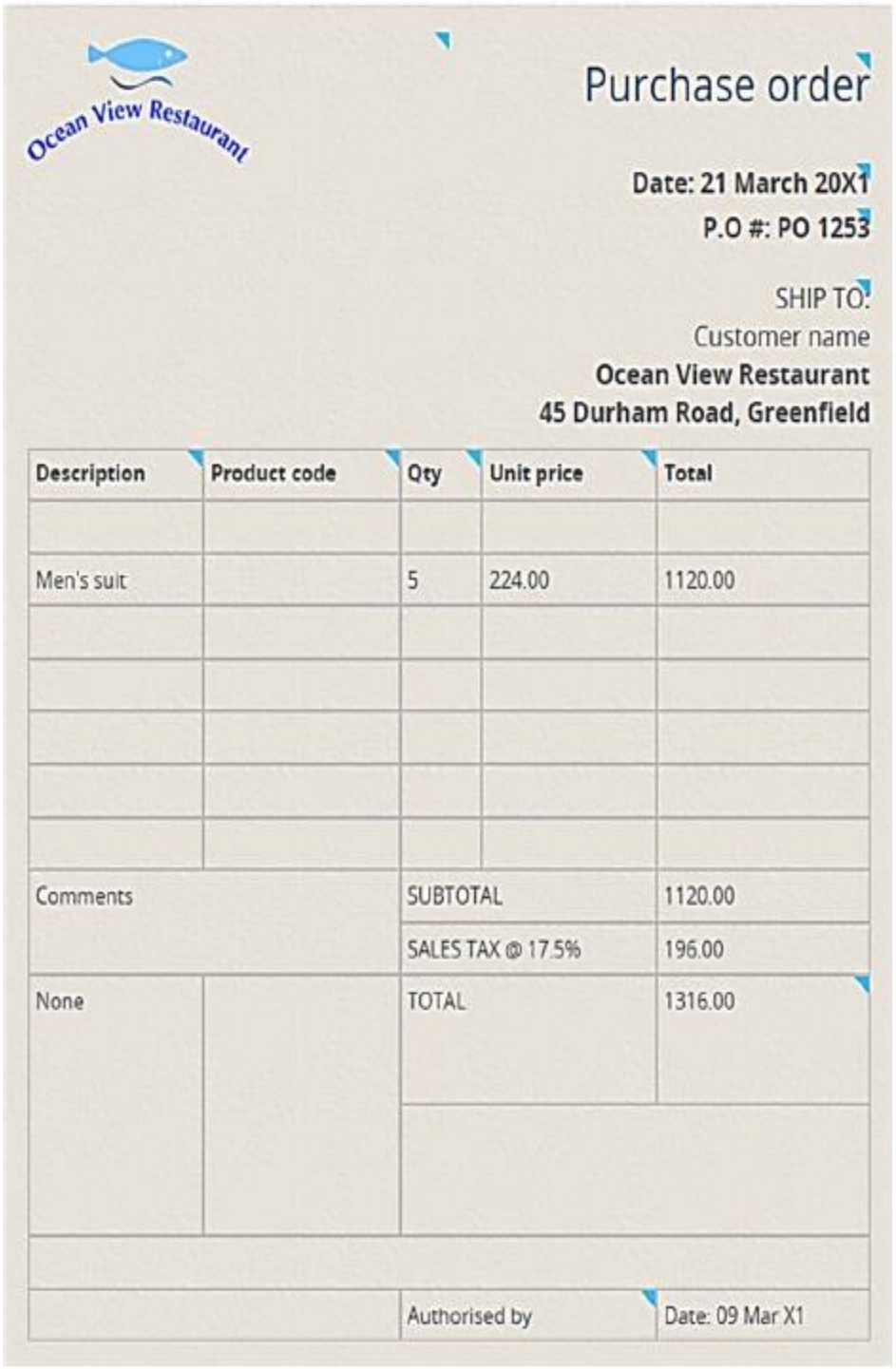
Kind regards,

Tisha

Prices valid 30 days.

- A quotation highlights the customer details and shows how much an item will cost. RFashion has provided a quotation of $224 for each piece of men's suit to Ocean View Restaurant.

Example 1



Ocean View Restaurant

Purchase order

Date: 21 March 20X1

P.O #: PO 1253

SHIP TO:

Customer name

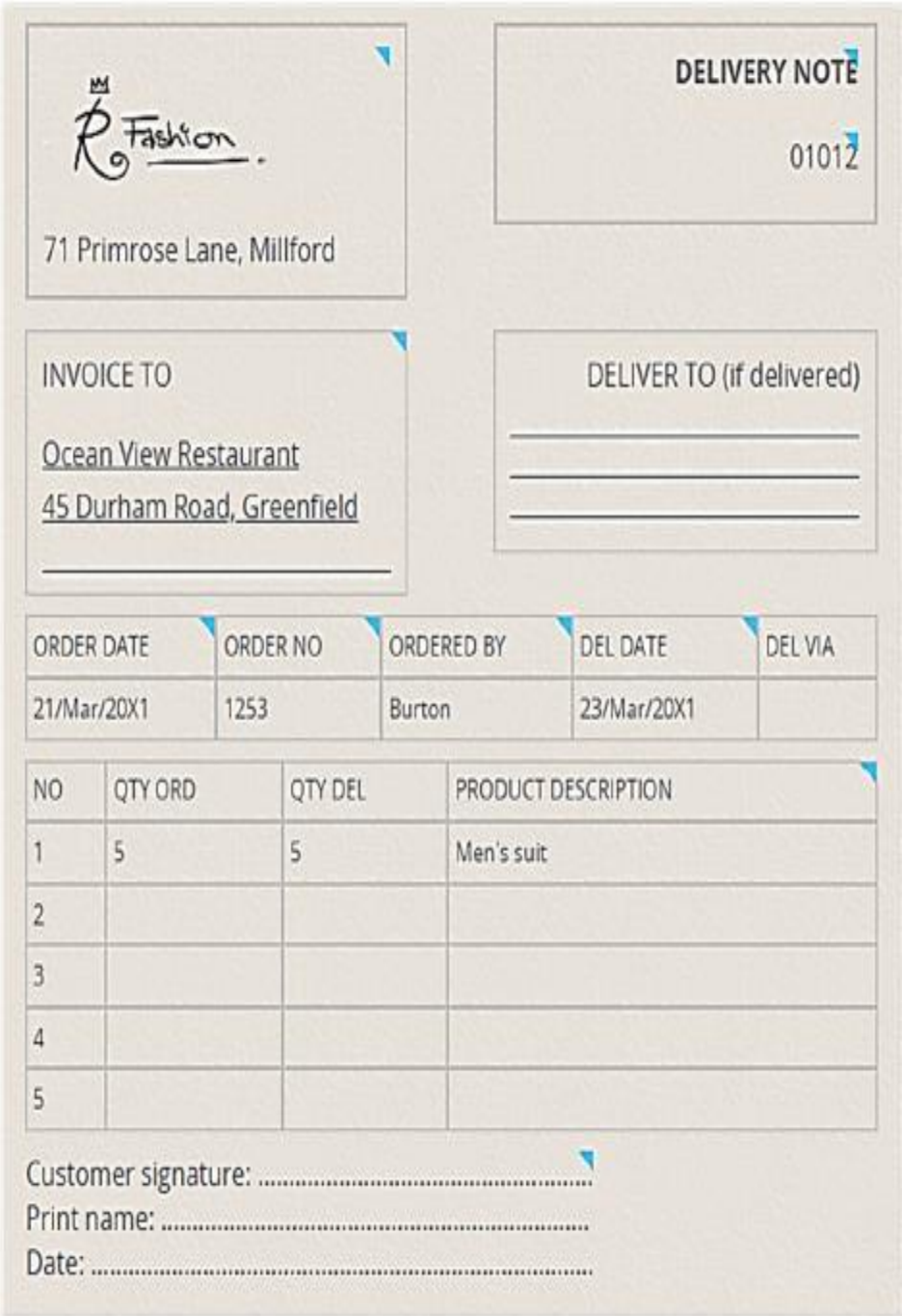
Ocean View Restaurant

45 Durham Road, Greenfield

Description	Product code	Qty	Unit price	Total
Men's suit		5	224.00	1120.00
Comments		SUBTOTAL		1120.00
		SALES TAX @ 17.5%		196.00
None		TOTAL		1316.00
		Authorised by		Date: 09 Mar X1

- A purchase order authorises the purchase of goods and informs the supplier on what goods should be delivered. This purchase order is completed by Ocean View Restaurant and sent to RFashion, showing what they would like to order.

Example 1



RFashion

71 Primrose Lane, Millford

DELIVERY NOTE

01012

INVOICE TO

Ocean View Restaurant
45 Durham Road, Greenfield

DELIVER TO (if delivered)

ORDER DATE	ORDER NO	ORDERED BY	DEL DATE	DEL VIA
21/Mar/20X1	1253	Burton	23/Mar/20X1	

NO	QTY ORD	QTY DEL	PRODUCT DESCRIPTION
1	5	5	Men's suit
2			
3			
4			
5			

Customer signature: .....
Print name: .....
Date: .....

- A delivery note accompanies delivered goods, is signed by the customer, and returned to the supplier to confirm proof of delivery. The customer, Ocean View Restaurant, signs the above example.

RFashion will use the delivery note to check against the order that is being packaged.

Example 1



Ocean View Restaurant

45 Durham Road, Greenfield

Goods received note

GRN No. 670

Dated: 23/Mar/X1

Supplier: RFashion

Supplier's address: 71 Primrose Lane, Millford

Delivery Note No.: 01012

Order Number: 1253

Item description	Qty Ordered	Qty Received
Men's suit	5	5

Comment on condition of goods received:

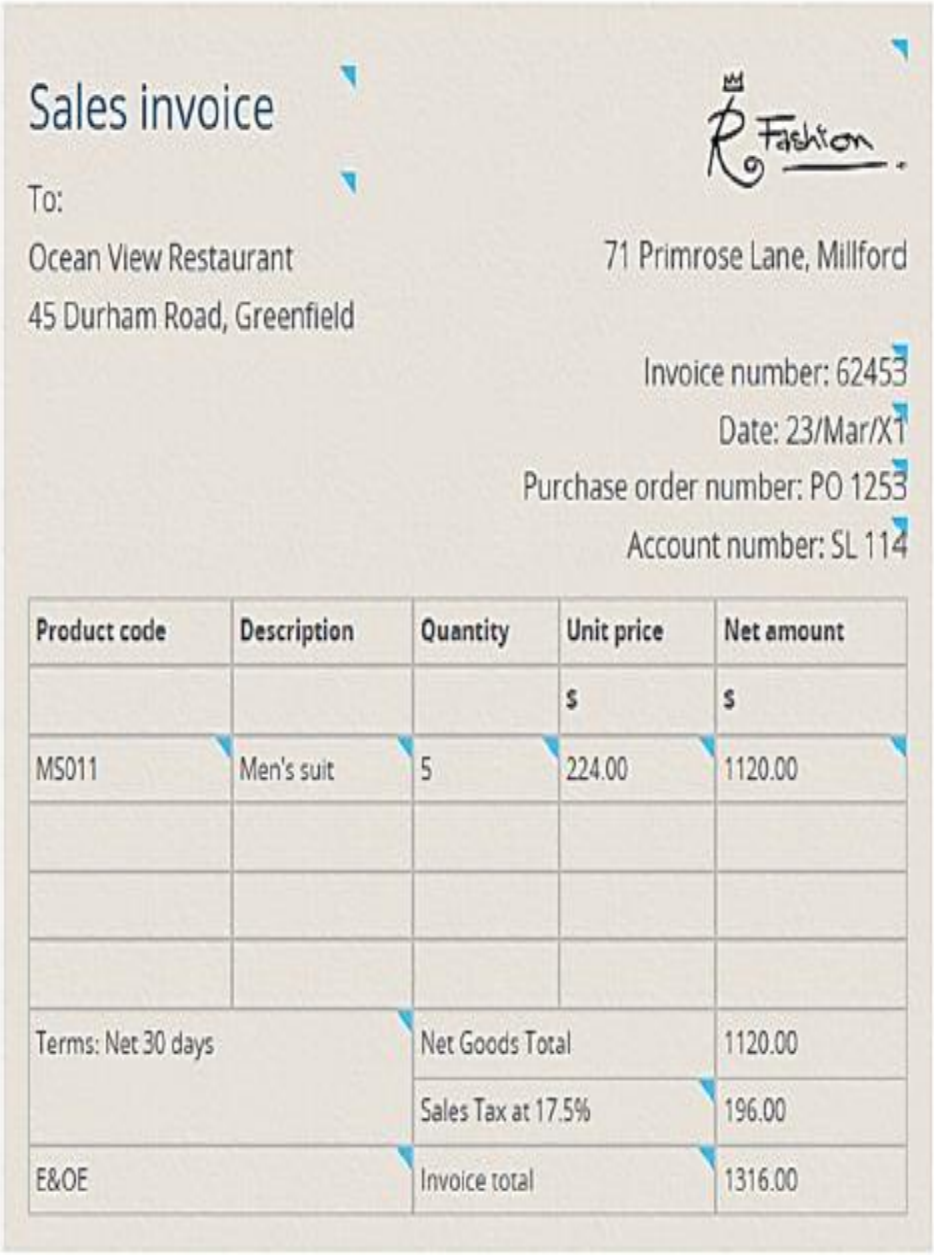
One suit is damaged

Goods received by: Burton Signature

Original copy - attach to invoice 2nd copy - Accounts 3rd copy - book copy

- A goods received note is an internal document of the customer confirming receipt of goods. Ocean View Restaurant produces this note as confirmation that the goods received are complete and accurate as ordered.

Example 1



Sales invoice

To:

Ocean View Restaurant
45 Durham Road, Greenfield

RFashion

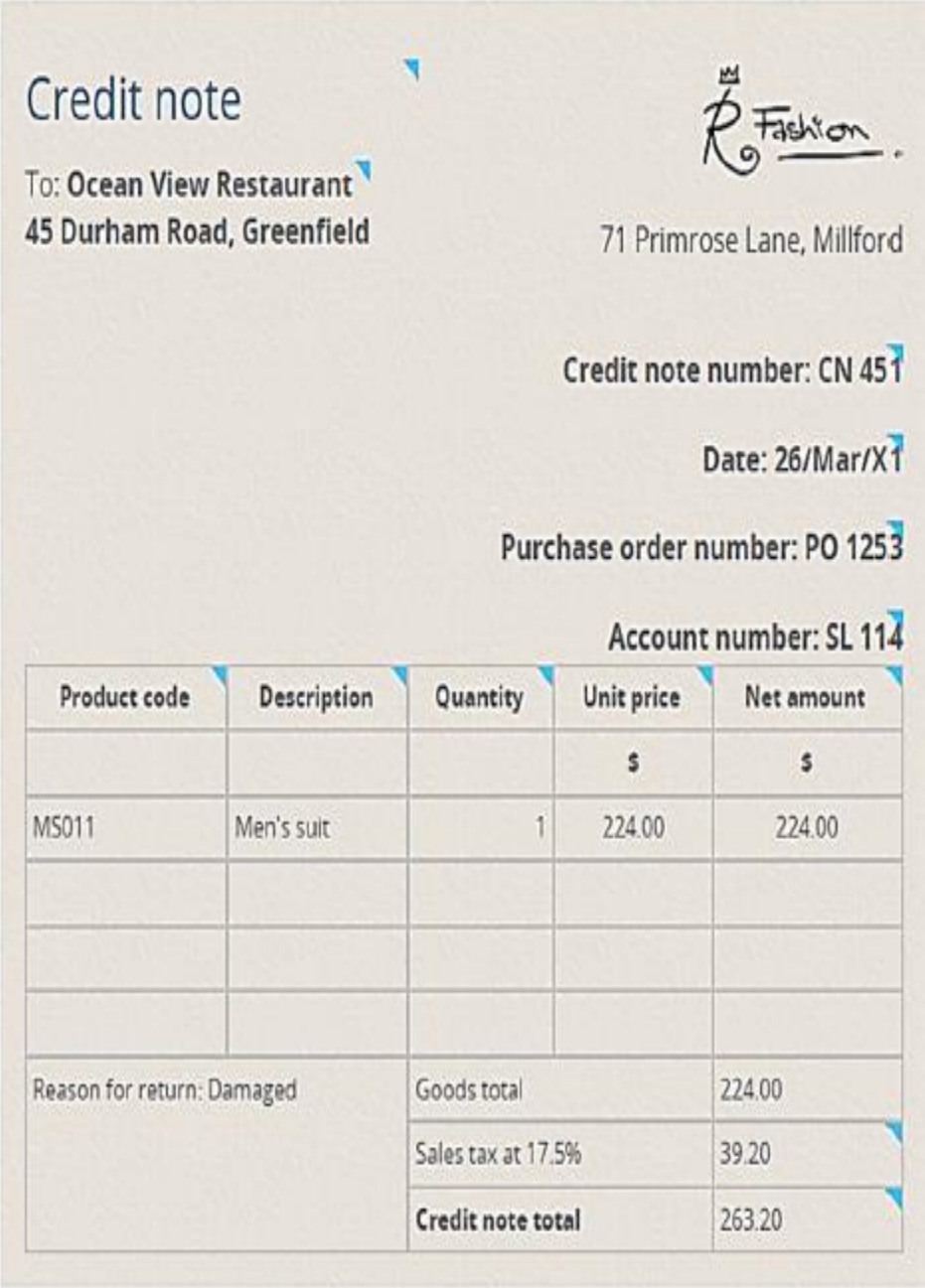
71 Primrose Lane, Millford

Invoice number: 62453
Date: 23/Mar/X1
Purchase order number: PO 1253
Account number: SL 114

Product code	Description	Quantity	Unit price	Net amount
			$	$
MS011	Men's suit	5	224.00	1120.00
Terms: Net 30 days		Net Goods Total		1120.00
		Sales Tax at 17.5%		196.00
E&OE		Invoice total		1316.00

A sales invoice is sent from the supplier to the customer to inform of payment due for an order. This invoice was sent from RFashion to the customer, Ocean View Restaurant, once delivery has been completed.

Example 1



Credit note

To: **Ocean View Restaurant**
45 Durham Road, Greenfield

71 Primrose Lane, Millford

Credit note number: CN 451

Date: 26/Mar/X1

Purchase order number: PO 1253

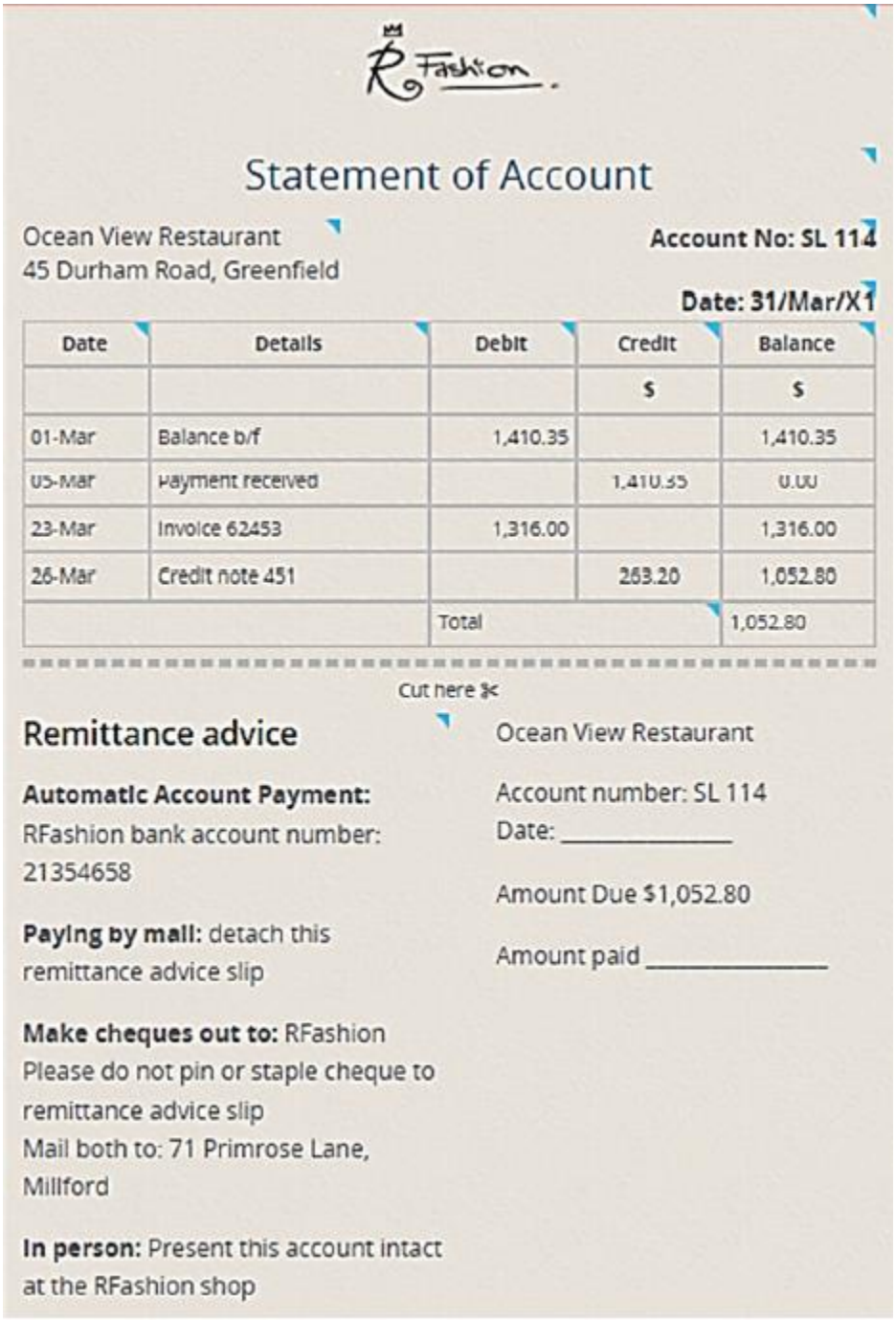
Account number: SL 114

Product code	Description	Quantity	Unit price	Net amount
			$	$
MS011	Men's suit	1	224.00	224.00
Reason for return: Damaged		Goods total		224.00
		Sales tax at 17.5%		39.20
		Credit note total		263.20

- A credit note is sent from the supplier to the customer to show an amount previously billed, which is no longer owed by the customer, usually due to the return of faulty, incorrect or damaged goods.

The above note was sent from Rfashion to Ocean View Restaurant upon receipt of a return of damaged men's suits.

Example 1



RFashion.

Statement of Account

Ocean View Restaurant
45 Durham Road, Greenfield

Account No: SL 114

Date: 31/Mar/X1

Date	Details	Debit	Credit	Balance
			$	$
01-Mar	Balance b/f	1,410.35		1,410.35
05-Mar	Payment received		1,410.35	0.00
23-Mar	Invoice 62453	1,316.00		1,316.00
26-Mar	Credit note 451		263.20	1,052.80
		Total		1,052.80

Cut here ✂

Remittance advice

Automatic Account Payment:
RFashion bank account number:
21354658

Paying by mail: detach this remittance advice slip

Make cheques out to: RFashion
Please do not pin or staple cheque to remittance advice slip
Mail both to: 71 Primrose Lane, Millford

In person: Present this account intact at the RFashion shop

Ocean View Restaurant

Account number: SL 114
Date: _____

Amount Due $1,052.80

Amount paid _____

- The supplier periodically sends a statement of account to the customer to remind them how much they owe. This document shows invoices and credit notes sent during the month, payments received, and outstanding amounts.

Example 1

- Once payment is made by the customer, remittance advice is completed and sent to the supplier to inform them that payment has been made. Ocean View Restaurant may use the detachable slip provided by the supplier at the bottom of the statement.

Note: There is no fixed layout for the business documents; their design will vary between companies.

Subsequent chapters will cover the financial documents in detail.

1.2.1 Cash and Credit Transactions

2.1 Cash and Credit Transactions

2.1.1 Cash Transactions

Definitions

Cash purchases occur when goods or services are received from a supplier in exchange for immediate cash payment.

Cash sales occur when goods or services are given to customers in exchange for immediate cash payment.

A business may enter a shop and buy goods or services using cash. This is a **cash purchase** (goods are received from the shop with money payment).

From the shop's point of view, a customer goes into the shop and exchanges cash for goods or services. The shop business is making a **cash sale**.

A cash sale occurs when the customer does not have an account with the supplier and pays immediately for the goods or services.

2.1.2 Credit Transactions

Definitions

Credit purchases occur when goods or services are received from a supplier for future payment.

Definitions

Credit sales occur when goods or services are given to customers in exchange for a future receipt.

As no cash has changed hands at the point of sale, the transaction is called a credit purchase or sale. The seller has made a credit sale, and the customer has made a credit purchase.

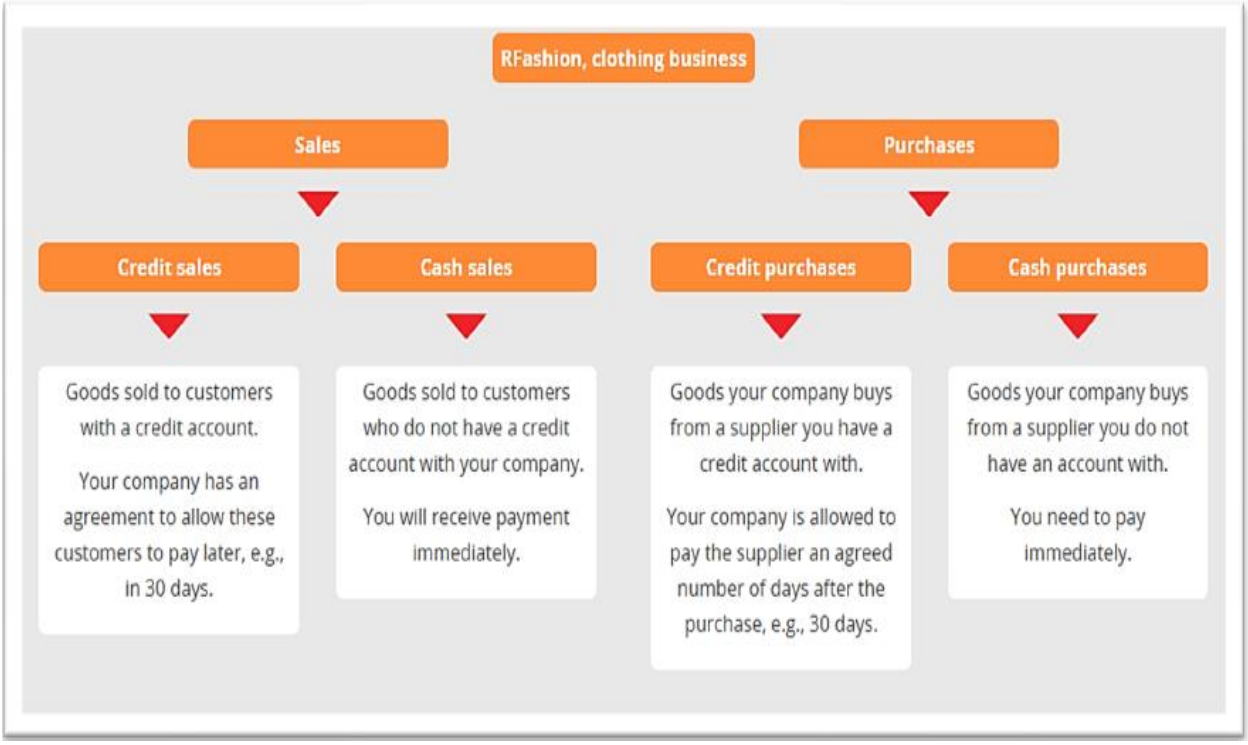
A **purchase invoice** will be received from the supplier for credit purchases, while a sales invoice will be sent to the customer for credit sales when goods or services have been delivered.

- Invoices received or sent will record details of the customer, the items sold, the sale date and the transaction's value.
- It will also state the credit term (how long before the customer has to make full payment for the product).

Credit customers have **an account** in a business's accounting system. It will include all transaction details between the two parties. Each credit customer is given a set number of days to pay for the goods.

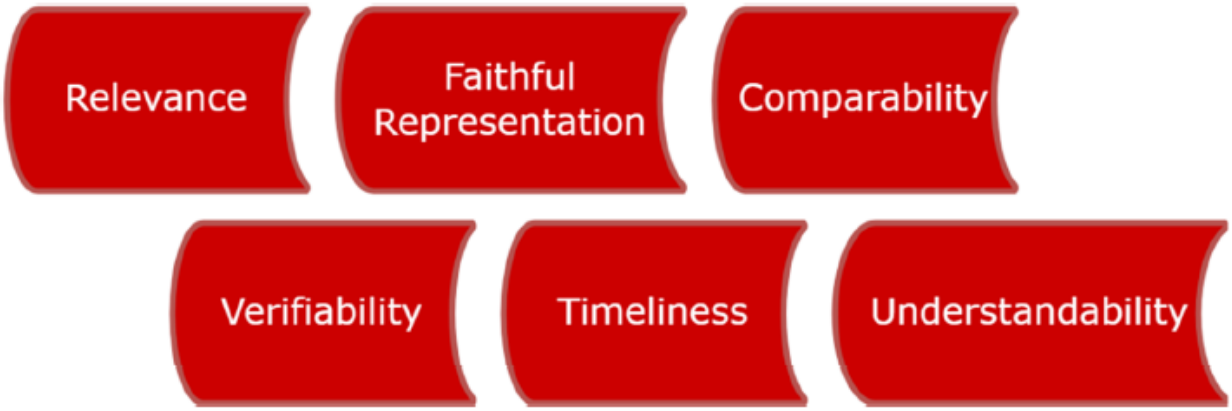
Cash sales customers do not have an account with the business and must pay immediately before they can have the goods.

Below is a diagram of the differences between cash and credit transactions:



3.1 Characteristics of Accounting Information

For the accounting information to be useful, it should have these characteristics:



- **Relevance**

Information is relevant when it can influence the economic decisions made by users.

Information is also relevant if it can be used to confirm past historical trends and predictions and predict future conditions and direction.

For example, the amount and ageing of a receivable from a customer, and the customer's repayment history, are relevant to deciding whether to make additional credit sales to that customer.

Accountants often talk about "materiality" in the context of relevance. An item is material if omitting, misstating or hiding it would influence the decisions that users of the financial statements would make. Items might be material due to their size, or due to their nature.

- **Faithful Representation**

Information should faithfully represent the transactions and events of the business. It should be:

  - Complete: all transactions and balances have been recorded
  - Neutral: unbiased and free from manipulation
  - Free from error

For example, if the closing balance in the Cash account is $420, it should mean that the business has cash of $420, not more or less.

Neutrality may require the exercise of prudence. Prudence means that when making estimates, in conditions of uncertainty, caution must be exercised, to ensure that revenue and assets are not overstated, while expenses and liabilities are not understated.

- **Comparability**

Useful financial Information of a business can be compared to prior period information and different businesses in the same industry. Comparisons can be analysed to identify trends and similarities.

To achieve comparability, similar items must be treated consistently.

For example, the sales transactions recorded for April 20X2 should be for April 20X2 (not before or after) to be comparable to April 20X1.

- **Verifiability**

Verifiability means that the information can be supported by evidence. This usually means having supporting financial documentation or a means to count physical items (i.e. purchased goods or cash).

For example, petty cash held by a business is counted at the premises to ensure it agrees to the Petty Cash account balance in the general ledger.

- **Timeliness**

Timeliness means receiving up-to-date information in time for it to be useful. Generally, the older the information is, the less valuable it becomes.

For example, it is essential to know the up-to-date cash balance available before making a significant cash transaction.

- **Understandability**

Information needs to be of sufficient quality to enable users with a reasonable knowledge of business and accounting to understand its meaning.

Financial transactions should be classified and information presented clearly and concisely with limitations on jargon used.

This is especially important for users from non-finance backgrounds.

For example, it is essential to understand and distinguish between assets and expenses, even though they are both debit balances in the accounts.

1.3.2 How Accounting Data is Used

3.2 How Accounting Data is Used

Users of accounting data use various methods to locate, display, process and check accounting data.

3.2.1 Locating Accounting Data

For users to find the accounting data they need efficiently, it is crucial that the data is correctly categorised and coded (tagged) and that databases are kept up to date.

It would be challenging to search for information if no tags or codes are assigned that allows for searching and queries.

Coding is covered in *Section 4.*

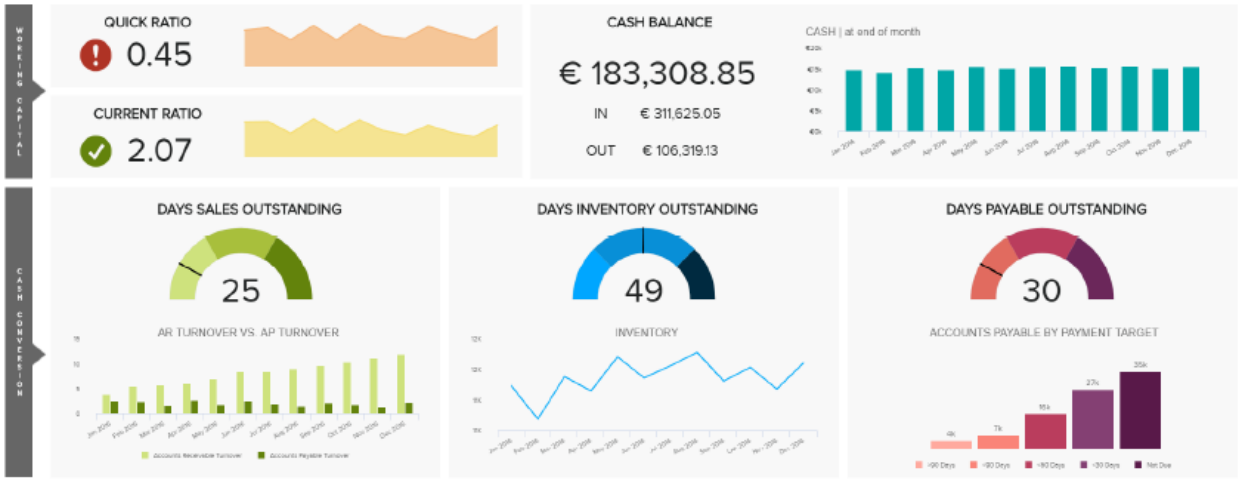
Users looking for data will query the accounting system for the necessary information.

- Standardised (pre-built) reports

Most accounting systems have standardised reports that users can use to locate and extract information from the system.

For example, monthly purchasing or sales reports containing all associated transactions could be produced quickly.

- Dashboard (drill-down)



Some accounting systems present essential information in the form of a dashboard. Users may then select the indicator to examine the source information in more detail (drill-down).

- Direct search

Users may use a search function to find a specific transaction or document by its code or by using keywords to see all entries related to that keyword.

Some examples are:

  - A search for a supplier called “JR Co” within a business’s accounting system may present all the transactions and master data about JR Co.
  - A search for a document code “12445” will present the document from the system for viewing.
  - A search for receivables transaction code “RC1245” will present all transactions of that code for viewing.

Knowing the coding system for documents and transactions would be helpful for this function.

- Custom query

Users may build custom queries to extract meaningful data from the system. A query will inform the system what information the user wants and in what format.

Queries will enable the system to generate information sets and tables that present the information to the user meaningfully and may provide necessary data for management reports.

For example, a user may query a system to display all credit sales transactions exceeding $100,000 for the previous quarter that have not been paid within 60 days.

Queries that are often used can be saved and standardised.

3.2.2 Displaying Accounting Data

Accounting data is commonly displayed as:

- Tables

Most accounting information is presented in tables with headers to provide meaning to the data points.

Tables allow users to quickly view, filter, sort, and manipulate data and often form the source information for producing graphs.

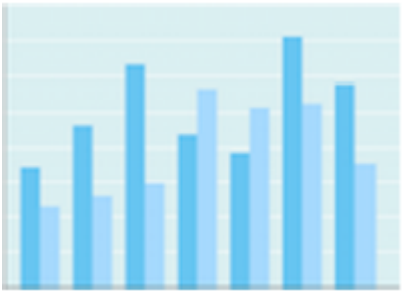
- Reports

Reports present information with formatting that assists management in identifying and understanding the essential information they need.

Reports may include tables, graphs, narration, appendices, and attachments that provide further insight into the presented data.

- Graphs

Graphs are visual representations of data, enabling users to identify trends and patterns and make comparisons quickly.

Format Name	Example	Description
Line chart		Line charts are useful for showing trends over time, such as sales revenue growth.
Bar chart		Bar charts help show comparisons. For example, a company might wish to compare budget expectations against actual results.
Pie chart		Pie charts can show a relative comparison to a whole, such as sales in different regions.

Table

	A	B	C	D
April	250	350	280	370
May	300	200	320	410
June	600	340	380	470
July	620	540	470	560
August	730	420	560	650
September	760	530	640	740
October	820	380	750	800

Tables help show precise numerical data, such as financial statements.

- Dashboard

Dashboards present essential information that management needs in a format that is easily understandable at a glance. The presented information is usually summarised and visually presented.

The perspective and type of information shown on a dashboard may be configured according to the user's needs.

3.2.3 Checking Accounting Data

Accounting data must be accurate to be useful. To identify and minimise mistakes, accounting data must be periodically checked with other data sources to verify its correctness.

- Comparing to source financial documents

For example, comparing sales transactions posted to accounts with supporting documents (sales order, invoice, delivery note).

- Querying personnel on:
    - Requisition: the person that initiated the transaction
    - Authorisation: The person that approved the transaction
- Analysing trends, patterns and ratios
    - Trends: Consistent changes over time. (i.e. revenue growth)
    - Patterns: repeated movements in data (i.e. revenue is higher than average every July)
    - Ratios: relative comparison between two data points (i.e. gross profit margin)
- Verifying transaction trails

For example, ensuring that the necessary authorised documents for a sale are present and created correctly.

- Verifying categorisation and coding

3.2.4 Data Entry Errors

As humans may perform inputs into a computerised accounting system, omissions and errors can still be made during the data entry stage, leading to inaccurate processing and outputs.

Examples of inaccurate data entry are:

- Transposition errors where the number 560 is entered into the system as 650
- Clerk or intern does not have adequate training
- Poor handwriting on source documents may lead to incorrect entries
- Source documents may be overlooked and omitted from the system records
- Fraud and malicious intent

Although data entry is correctly entered into the computerised system, this does not necessarily mean the processing and output are entirely accurate. Accounting software may also be susceptible to glitches and viruses that may cause pervasive inaccuracies.

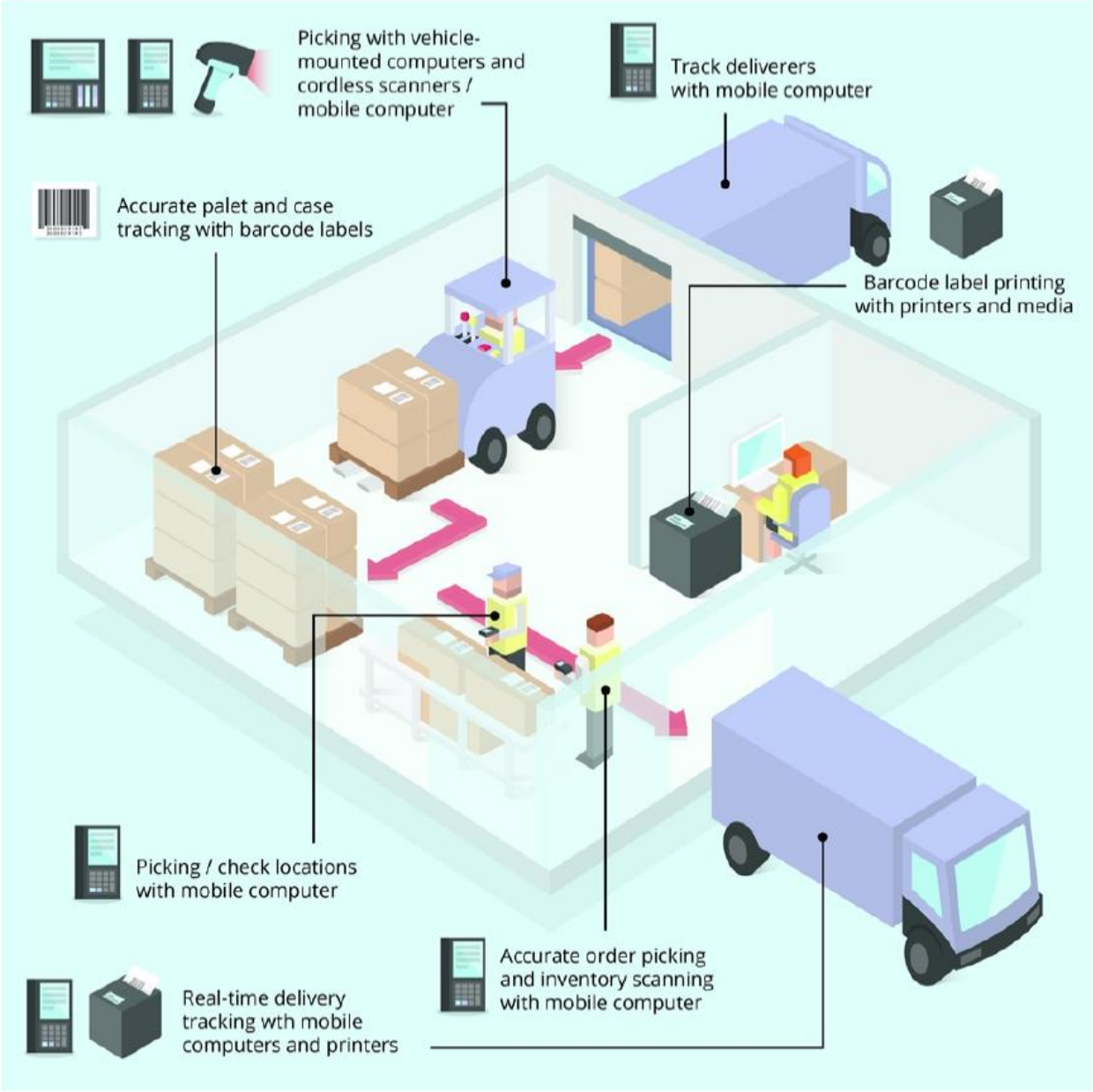
Data entry errors may be avoided by implementing the following:

- Training employees on the correct procedures, such as double-checks and tick boxes.
- Ensure supervisors are available to routinely review work done
- Testing samples of entries for correctness.
- Validating data by comparing the accuracy of data posted to the original document
- Ensuring enough staff are hired to prevent overloading so data integrity can be maintained.
- Implement automatic data entry procedures such as scanning to avoid transposition errors
- Automating checklists to ensure verification procedures are followed.

1.3.3 Tools and Techniques for Accounting Data Processing

3.3 Tools and Techniques for Accounting Data Processing

Various tools and techniques enable the efficient entry, storage, and processing of accounting data and may facilitate automated period-end routines to ensure data integrity and relevance.



Above is an example of a computerised system for tracking and recording goods received. Various automatic systems and scanners interact with codes to ensure that goods received are correctly coded and input into the accounting system.

3.3.1 Data Input



- **Typed entries**: Bookkeeping staff will type up details of transactions (for example, purchase invoices) to enter them into the accounting system.
- **Barcode readers**: Barcodes (which appear on many goods available to purchase in shops) contain data in the form of numbers and lines. Sales are recorded in the information system when a barcode is scanned using an electronic point-of-sale (POS) machine, such as in a supermarket.

Current coding systems could utilise QR codes or RFID tags; the use of Internet-of-Things (IoT) technology is also growing.

- **Online banking**: Payments and receipts into an online bank account can be integrated into the accounting information system.
- **Smart cards**: These might include credit and debit cards, which are used to make payments, and pay-as-you-go cards used for transport – for example, the Oyster card used in London in the United Kingdom or the EZ-Link card in Singapore.
- **Mobile devices**: Data can be collected and entered into a management information system using mobile phones, tablets and other devices. For example, sales representatives often place orders for customers using tablets or laptops while they are with them.

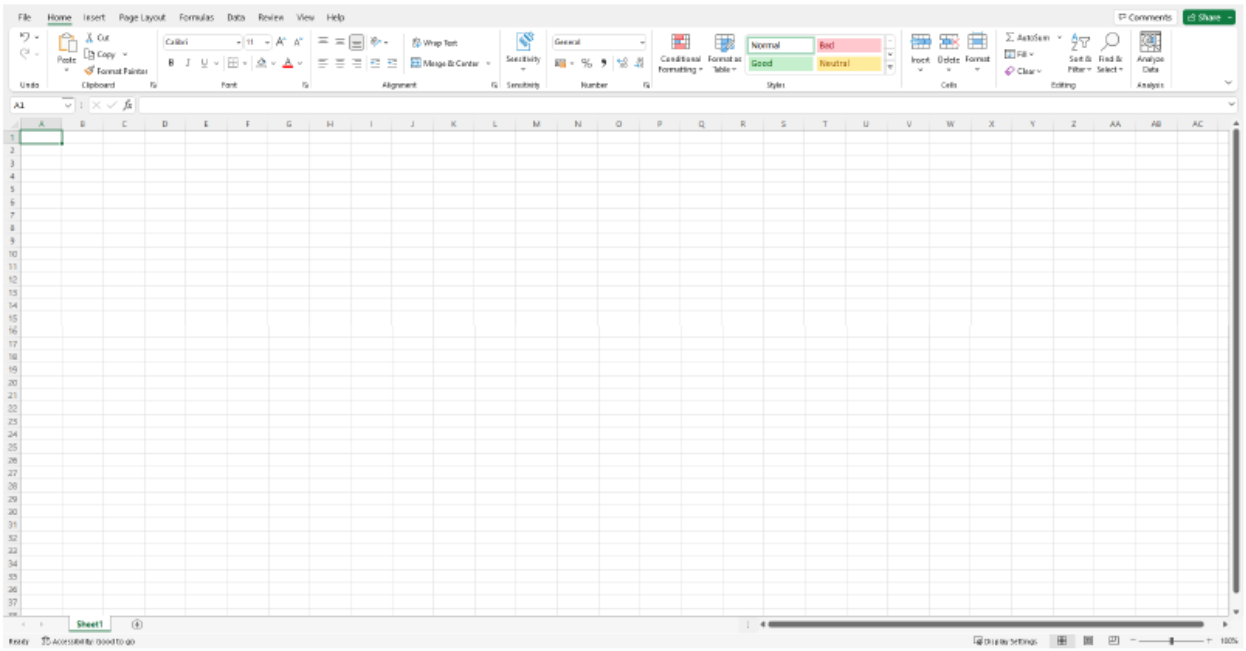
3.3.2 Data Storage and Processing



- **Servers**: Data is usually stored on a server, a central computer that can be accessed by a network of other computers and devices.

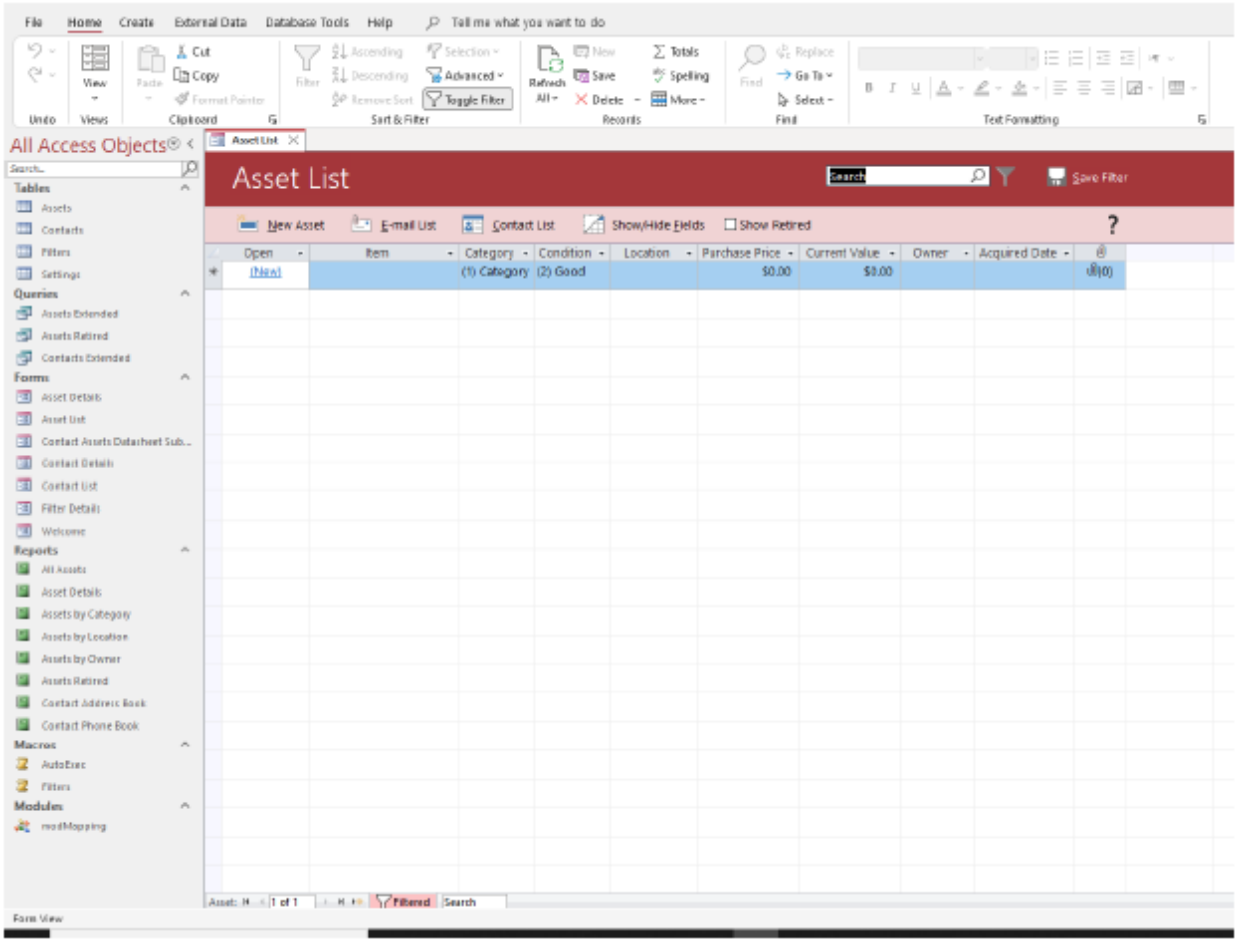
Servers are now often accessible via ‘the cloud’, which means they are accessible from any device in any location using an internet connection. The mechanisms for data storage and access are constantly developing.

- **Portable data storage**: Extracts from the complete data set may be saved onto external memory devices, such as memory sticks and solid-state drives.
- **Spreadsheets**



Spreadsheets are essential for analysing, processing, and presenting financial information. They can execute complex formulas and data processing processes to transform and analyse information.

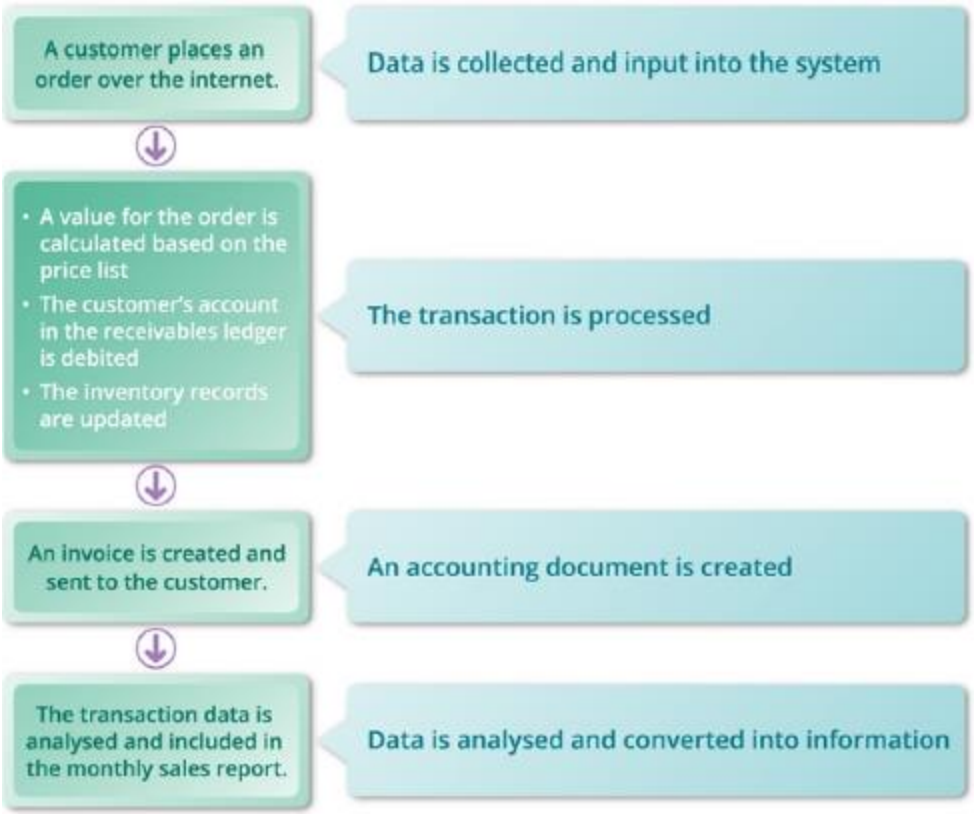
- **Databases**



Databases are specialised programmes with embedded processes and controls to maintain, store, and process large amounts of data with high levels of integrity and security.

Databases allow users to query for information suited to their needs.

- **Digitalisation and Robotic Process Automation (RPA)**



Above is an example of a procedure for processing a purchase order received digitally through a computerised system.

These processes could be automated to minimise the use of physical documentation and human resources, increasing data integrity and processing speed and minimising the risk of fraud and error.

3.3.3 Period-End Routines

- Reconciliations

Reconciliations clarify the differences between two sources of information. Regularly performed reconciliations are bank, payables, and receivables reconciliation.

- Periodic management reporting

Management requires financial information for decision-making. Management reports produced by the accounting system will satisfy this need.

Some types of regular reports are sales reports and receivables ageing.

- Account closing and error/incident reporting

Accounts will be closed, and balances brought forward to the next period, with any errors or unusual incidents identified and corrected to ensure the opening balance for the following period is correct.

3.3.4 Dealing with Errors

- Investigating reconciliation differences

Any irreconcilable differences between the accounts and external sources of information should be investigated.

- Implementing internal control procedures

Procedures should be implemented and embedded to prevent errors from occurring.

For example, most accounting systems do not allow an unbalanced double entry to be posted to the system.

Also, there should be a secondary source of confirmation and record for transactions that have been keyed in (i.e. list of transactions signed off by the bookkeeper and filed).

- Investigating abnormalities

Abnormalities such as suspected coding errors and unusual changes in account balances should be investigated for the cause.

- Tracing audit trails and logs

Transaction input logs and document trails are inspected to verify the correctness of transactions.

- Posting of corrections

Corrections should be collated and posted after being authorised by senior personnel, and a record kept for future verification.

3.4 Accounting System Reports and Linkages

A typical accounting system can produce many reports and other outputs to empower management decision-making and reporting.

Accounting systems also integrate with other functional systems within a business to facilitate data transfer and allow users from different functions to make informed decisions.

3.4.1 Data Output



- **Reports**: Data is typically extracted in tables or spreadsheets. Regular reports can be scheduled and produced automatically.

Examples include interim financial statements and other reports management needs, such as sales reports and receivables ageing. These reports may also include comparators (i.e. previous period or previous corresponding period).

- **Dashboards**: Modern management information systems may also produce data in a dashboard, an interactive visual interface that summarises key measures, data, ratios, and other information into easy-to-understand graphics.
- **Remote Access**: Reports can be received on any device – for example, a desktop computer, a laptop, a tablet or a mobile phone. Reports produced by the management information system are usually spreadsheet documents or condensed into summarised reports or dashboards.

3.4.2 Linkages

- Sales system

Information extracted from the accounting system includes sales reports identifying major customers and their transactions and comparative performance for the period.

Some accounting systems link directly with sales and customer relationship management (CRM) systems, providing sales agents and managers with financial information to manage their clients effectively.

- Human resource management system

The accounting system furnishes payroll information (salaries, deductions, other remuneration) to the human resource department, enabling them to monitor the cost and performance of human resources.

- Procurement system

The financial information from the accounting system helps the procurement department evaluate the effectiveness of their procurement operations, such as by providing a breakdown of their top suppliers and average prices paid.

This is especially important if there are limited financial resources available for procurement.

- Production and service provision

Integrated accounting systems contain financial and cost information, making them crucial for monitoring and controlling production/service provision processes.

The information these managers would use include the cost of inputs, the current cost in work-in-progress, and cost information necessary to calculate unit costs and expected profit margins

3.5 Computerised Accounting Systems

Technological advancements make it unlikely that financial transactions are recorded on paper. Instead, business transactions are now recorded using a computerised accounting software system.

In a computerised system, activities are categorised into three processes:

- **Inputs** – Inputs are data entered into the accounting system from the source documents.
- **Processing** – Data entered is posted into the relevant ledger accounts
- **Output** – Financial statements and other reports are produced for management use

3.5.1 Features of a Computerised System

- A typical accounting computerised system comprises several modules to operate different business functions such as sales, purchases, inventory, receivables and payables.
- Computerised information can be integrated with other management modules to update transaction trails. For example,
    - Sales invoices generated through the sales system are automatically posted into the receivables or cash ledger accounts. It can also update the inventory system to record its movement and reduce the quantity.
    - Details of purchase invoices are entered into the purchases system, and the relevant ledger accounts, such as the payables, inventory, and any other relevant general ledgers, are updated.
- Back-ups of the data in a computerised system are available in the event of lost files.
- A computerised system allows you to amend transaction details and keep a log of the changes.
- There is a reduced likelihood of errors and omissions as computer systems do not make arithmetical errors during processing. Errors can still occur – for example if a supplier invoice is entered incorrectly into the system.
- Real-time comprehensive and accurate management reports can be generated cost-effectively.

Examples of output reports from a receivables ledger system include:

- Sales invoice
- Customer statement
- Receivables ageing list
- Sales analysis report

Examples of output reports from a payables ledger system include:

- List of outstanding supplier balance
- Purchases analysis report

Exam advice

All exam questions in FA1 assume the use of a computerised accounting system.

3.5.2 Desktop vs Cloud Accounting Systems

A **desktop** accounting (on-premise) software system is hosted on a computer's **hard drive**. The software is initially installed on the business premise's desktop and is maintained regularly.

A **cloud** accounting software system is hosted, updated, and maintained **online**.

Desktop Software		**Cloud Software**
Accessible on the desktop where software is installed	**Accessibility**	Accessible only with an internet connection
Single access. Only one person can use the software at a time	**Users**	Multiple users can use the software, even remotely.
Updates and Backup need to be performed manually	**Updates and Backup**	Automatically updates and backups data to an online server
One-time fee until renewal	**Pricing**	Monthly subscription fee
Needs installation	**Installation**	No installation required
Security tied to the desktop. Data can be lost if the computer crashes or breaks down.	**Security**	Security depends on the cloud software system, usually with multiple layers of encryption.

3.6 Data Risks and Security

Data security is protecting data held by the business from unauthorised access. A business may be required by law, such as the HIPAA Act, to ensure that data gathered by the business complies with its regulations.

A breach of data security will not only impact a business financially; it may also affect its reputation and competitive advantage.

3.6.1 Risks to Data Security

Examples of risks to data security a business may face include:

- Accidents such as a fire may destroy computer hardware

- The computer storing the information could get a virus and corrupt the data
- A computer system could be breached and confidential information stolen
- Employees accidentally or intentionally share data with unauthorised personnel

3.6.2 Data Protection Measures

- **Employee Training**

Employees should be trained on good security processes, such as regularly updating passwords and recognising fraudulent emails or behaviours.

- **Physical security of Systems, Hardware, and User Devices**

Control computers need physical security, such as an access tag to log in. For cloud accounting systems, the cloud provider will assume protective measure responsibility.

- **Management Access and Controls**

Only privileged personnel have access and control over the database and administrative accounts.

- **Security for Application Systems**

All software systems should be updated with the latest version with upgraded protective security encryption for more robust security.

- **Establish Good Disposal Practice**

Documents or online data that are no longer required are disposed of securely, and any backup of the information is thoroughly discarded. Only information that is relevant and up-to-date is stored.

3.6.3 Data Storage

Data in a business should be stored with data protection measures in place.

- Data stored on paper is securely held in a locked cabinet or drawer.
- Data stored digitally is given appropriate security controls such as password protection and user access.
- Access to confidential data is limited only to relevant parties with authorisation permissions.
- Data stored online is protected with anti-virus and anti-malware software.

An **archive** is where businesses store documents and correspondence for completed projects. It must be stored securely to protect the data and kept confidential.

1.3.7 Document Retention

3.7 Document Retention

Document retention is keeping paper or digital documents and business information for some time. A document retention policy manages documents and records from creation to destruction.

Business documents are kept for a specific number of periods to:

- Comply with legislation.

Each country has legislation (For example, company and tax law) that requires a business to keep financial documents for a certain period.

- Retrieve historical documents.

Information from the past can be referred to, such as emails containing critical information. Disagreements with customers or suppliers can be solved with the original transaction records.

Some information is required permanently. Such information is stored under the Master Files.

3.7.1 Master Files

Master files are permanent files and are updated periodically. They serve as an authoritative source of data. Information in master files rarely changes and may be needed often.

The master files will contain information such as:

- Customer name, address and contact details
- Supplier name, address and contact details
- Employee file
- Files which record the bank accounts held by the business
- Details of the terms of business with the banks

1.4.1 What is Coding?

4.1 What is Coding?

Financial documents provide evidence of business transactions. Since a business may encounter multiple documents daily, these documents should be well organised and categorised using **proper coding systems**.

Coding is the process of assigning a unique group of numbers and letters to identify an account or document.

An account code is a unique group of numbers and letters used to identify and classify an account into a particular group.

- A business can assign a unique number to identify each of its customers.
    - For example, *Dahlia's Limo Drivers* is a customer of *RFashion*. In *RFashion's* books, *Dahlia's Limo Drivers* is assigned the account code SL210.
- Account codes are also used for each type of general ledger account.
    - Each ledger account is assigned a unique account code. For example, GL2632 is the account code for the Trade Receivables Ledger Account (Asset).

4.2 Examples of Coding Systems

Individual businesses can decide how they code information and documents. Every financial document will have its unique code.

- **Alphabetical code** – Codes will contain only alphabets. For example,
    - Code for business Allday Airways is ALL.
    - Code for business Ocean View Restaurant is OCE.
- **Sequential/Numerical code** – Codes will contain only numbers. The numerical codes will be sequential. For example,
    - Code for business Allday Airways is 001.

    - Code for business *Dahlia's Limo Drivers* is 002.

- **Alphanumeric** – One or more letters from a document or name, followed by a number. For example,
    - Code for the Purchase Ledger Account is PL001
    - Code for the Sales Ledger Account is SL001
    - Code for business *Dahlia's Limo Drivers* is DLD002
- **Faceted code** - A faceted code is made up of group codes. Each of the group codes identifies a unit of information. For example,

  Group/Facet 1 (Industry) *Key T = Transport, Key C = Catering*

  Group/Facet 2 (Transaction) *Key 005 = Expenses, Key 009 = Sale*

    - Code for Catering sale is C009
    - Code for Transport expenses is T005

4.3 Benefits of Coding

- **Time Efficiency**

Assigning codes reduces the time it takes to process each transaction. It is easier to type a short code than a long business name.

- **Transaction classification**

Codes are given according to the classification of transactions.

    - For example, purchased paper and calculators can be classified as stationery items. We can easily search for stationery account codes to view the expense details.

- **Reduction in errors**

Codes reduce the risk of making errors.

- For example, businesses can avoid confusion between organisations with similar names. The business looks at the account codes to verify between the organisations.
- Different types of ledger accounts have different coding styles. For example, Expense account codes will start with GL-5XXX, and an Asset account code will begin with GL-1XXX.

· The coding system assigned will reduce the likelihood of entering transactions into an account of different nature.

- **Easy location of information**

Codes can improve filing accuracy and reduce the time it takes to search for a particular transaction or document. A document can be easily identified by looking for the document number rather than every transaction.

1 Syllabus Coverage

Syllabus Coverage

This chapter covers the following Learning Outcomes.

A. Types of Business Transaction and Documentation

1. **Types of business transaction**

1. Describe a range of business transactions including:
    1. Sales
    2. Purchases
    3. Receipts
    4. Payments
    5. Petty cash
    6. Payroll
2. **Types of business documentation**

1. Summarise the purpose and content of a range of business documents to include but not limited to:
    1. Sales invoice
    2. Supplier (purchase) invoice
    3. Credit note
    4. Debit note
    5. Delivery note
    6. Remittance advice
2. Prepare the financial documents to be sent to credit customers including:
    1. Sales invoice
    2. Credit note
    3. Statements of account
3. **Process of recording business transactions within the accounting system**

1. Identify the characteristics of accounting data and the sources of accounting records, showing an understanding of how the accounting data and records meet the business' requirements.
2. Describe the key features of a computerised accounting system, including the use of external servers to store data (the cloud).
3. Summarise how users locate, display and check accounting data to meet user requirements and understand how data entry errors are dealt with.
4. Summarise the tools and techniques used to process accounting transactions and period-end routines and consider how errors are identified and dealt with.
5. Identify risks to data security, data protection procedures and the storage of data.
6. Explain the principles of coding in entering accounting transactions including:

1. Describing the need for a coding system for financial transactions within a double entry bookkeeping system
2. Describing the use of a coding system within an accounting system

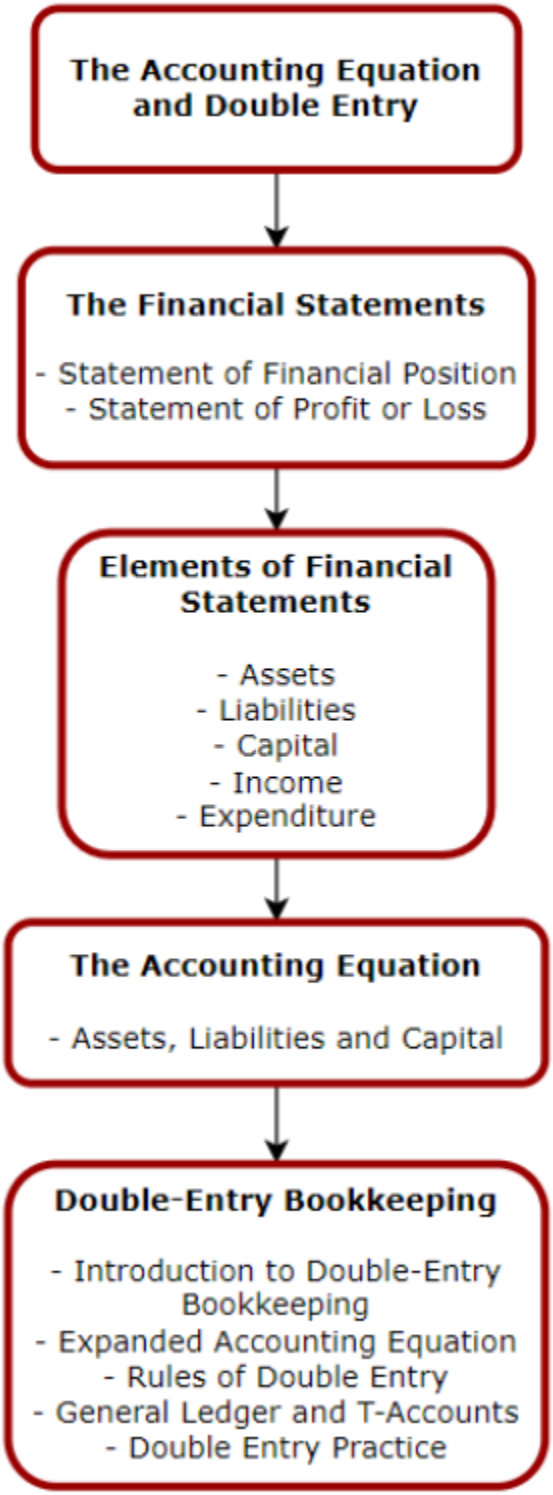
1. Describe the accounting documents and management reports produced by computerised accounting systems and understand the link between the accounting system and other systems in the business.

C. Banking system and transactions

2. **Documentation**

1. Explain why it is important for an organisation to have a formal document retention policy.
2. Identify the different categories of documents that may be stored as part of a document retention policy.

CHAPTER 2: Visual Overview



1.1 Introduction to Financial Statements

Accountants produce financial statements at every financial year-end. These statements are a summary for users to evaluate the company's financial performance.

The two main financial statements are the **Statement of Financial Position (SFP)** and the **Statement of Profit or Loss (SPL).**

1.1.1 Statement of Financial Position (SFP)

The Statement of Financial Position (SFP) is a snapshot of a business's financial position at a point in time.

The SFP details the business's assets, liabilities, and capital at a specific date.

1.1.2 Statement of Profit or Loss (SPL)

The Statement of Profit or Loss (SPL) is a summary of the performance of a business, highlighting profits or losses that have been generated over a period (usually a year).

The SPL calculates the profit or loss during a year by subtracting business expenditures from business income.

1.1.3 Statement of Comprehensive Income (SCI)

The Statement of Comprehensive Income (SCI) is the Statement of Profit or Loss plus any other comprehensive income.

Other comprehensive income includes unrealised gains or losses of foreign currency translations and financial instruments.

Exam advice

Details of the Statement of Financial Position, Statement of Profit or Loss, and Statement of Comprehensive Income are not examinable in FA1 beyond distinguishing their elements and contents.

Elements of the Financial Statements:

Statement of Financial Position	Statement of Profit or Loss
• Assets	• Income
• Liabilities	• Expenditure

Statement of Financial Position Statement of Profit or Loss

- Capital

2.2.1 Assets

2.1 Assets

2.1.1 Definition of an Asset

Generally, an asset is something a business owns. A more formal definition follows.

Definition

An **asset** is a resource controlled by the entity as a result of past events and from which future economic benefits are expected to flow to the entity.

- Resource **controlled** means that the entity can control benefits from the asset.
- There must be a **past event** that resulted in the control of the resource. This means that assets are recorded only when the event to control the assets takes place.
- **Future economic benefit inflow** is the probability of a rise in economic benefit such as monetary gains (this may be income or cost savings).

2.1.2 Current Asset and Non-Current Asset

Assets can be divided into current and non-current assets.

Types of Assets	**CURRENT ASSET**	**NON-CURRENT ASSET**
Differences	• Expected to be used up, sold or collected in a short period (less than a year) • Converts to cash easily	• Expected to be used by a business over several years. • Does not convert to cash easily
Examples	• Inventory • Trade receivables • (money owed by customers)	• Buildings • Motor vehicles • Equipment and machinery

Types of Assets	CURRENT ASSET	NON-CURRENT ASSET
	• Cash and bank	

Activity 1

Decide whether the assets owned by *RFashion* (clothing retail company) below are current or non-current.

1. Cash
2. Delivery vehicle
3. Money in bank account
4. Factory equipment

**Please use the notes feature in the toolbar to help formulate your answer.*

2.2.2 Liabilities

2.2 Liabilities

2.2.1 Definition of a Liability

Generally, a liability is an amount that is owed by the business. A more formal definition follows.

Definition

A **liability** is a present obligation of the entity arising from past events, the settlement of which is expected to result in a probable outflow of economic benefits.

- A **present obligation** results in a legally enforceable rule. There is a duty or responsibility that the entity has no practical ability to avoid and must be fulfilled.
- There must have been a **past event** that resulted in the obligation arising. This means that liabilities are recorded only when the event for obligation takes place.

- **Future economic benefit outflow** is the probability of a decrease in economic benefit such as monetary losses (this can be in the form of expense or cash leaving the business).

2.2.2 Current Liabilities and Non-Current Liabilities

Liabilities can be divided into current and non-current liabilities.

Types of Liability	**CURRENT LIABILITY**	**NON-CURRENT LIABILITY**
Differences	• Liabilities which are due for payment in a short period (within one year)	• Liabilities which are not due for payment within one year
Examples	• Trade Payables (money owed to suppliers) • Bank Overdraft (bank balance in negative position) • Tax Liabilities (money owed to tax authorities)	• Bank Loans (repayable over more than 1 year) • Other long-term borrowings

2.3 Capital

2.3.1 Definition of Capital

Definition

Capital is the net assets of a business. Net assets are the difference between assets and liabilities.

CAPITAL = ASSETS − LIABILITIES

Owners of a business make monetary investments at the start of a business (For example, to pay for rent premises or buy equipment and inventory).

The owners may also invest more funds to help a business grow (for example, opening a second shop).

As the business generates sales, it will likely make **profits**. The business profits belong to the owners and make up part of the capital until they are withdrawn.

- Capital is a particular type of liability – it is special because capital is due to the owners, not to external organisations such as suppliers or banks.

2.2.4 Income

2.4 Income

2.4.1 Revenue vs Gains

Income is generated when a sale is made. Expenses are incurred when a purchase is made. These are both financial activities.

Income can be divided into **Revenue** and **Gains**.

Revenue is income generated from **ordinary business activities**, also known as trading activities. For example:

- Sales of goods for a retail business
- Rental income received for renting properties

Gains are additional income received for **irregular ('one-off') transactions**. Businesses may occasionally sell an item that is not in their usual inventory. This is known as an irregular transaction.

- For example, Rajiv sells *RFashion*'s old delivery van so the business can buy a larger one. If the sale results in a higher price than the carrying amount of the asset (recorded value in business recorded), then a gain is made.

2.2.5 Expenditure

2.5 Expenditure

Expenditure can be divided into asset expenditure and expenses

2.5.1 Asset Expenditure vs Expenses

Expenses are the day-to-day costs of running a business. For example:

- Rental payment for premises
- Gas and electricity payment for office
- Wages to employees
- Stationery expenses
- Costs of repairing & maintaining a non-current asset. (this is a regular expenditure)

Asset expenditure is the purchase of non-current assets. These are assets bought by a business to be used for more than 12 months. For example:

- Shops and buildings
- Machinery and vehicles

The cost incurred for **improving a non-current asset** (one-off expenditure) is also categorised as asset expenditure such as:

- Office renovation
- Overhaul of vehicle

Activity 2

---

1. List four examples of different types of income and expenditure.
2. What is the difference between asset expenditure and expenses?

**Please use the notes feature in the toolbar to help formulate your answer.*

2.3.1 Assets, Liabilities, and Capital

3.1 Assets, Liabilities, and Capital

The **accounting equation** states that the total value of assets of a business is the sum of the total value of the business's liabilities plus capital.

Key Point

ASSETS = LIABILITIES + CAPITAL

In other words:

Amount a business owns (Assets) - Amount a business owes (Liabilities) = Amount owed to the owners (Capital)

For example, if a business has assets worth $25,000 and liabilities of $15,000, then the capital belonging to the owners may be calculated: $25,000 - $15,000 = $10,000. The owners have $10,000 of capital in the business.

Example 1

In the following activity, calculate and enter the missing figures to complete the accounting equation and replace the '?' symbol.

Make sure the equation balances and remember ASSETS − LIABILITIES = CAPITAL.

	Assets $	**Liabilities $**	**Capital $**
Q1	106,000	98,756	?
Q2	29,750	?	22,300
Q3	204,000	145,000	?
Q4	?	26,800	38,200

Answers:

Q1 Capital = 106,000 − 98,756 = **7,244**

Q2 Liabilities = 29,750 − 22,300 = **7,450**

Q3 Capital = 204,000 − 145,000 = **59,000**

Q4 Assets = 26,800 + 38,200 = **65,000**

Key Point

The effect of every transaction is to either increase or decrease the assets, liabilities, or capital of a business. To record the transactions in ledger accounts, double entries are used. (Section 4)

Example 2

Consider the following **transactions** and **their effect on the accounting equation.**

Transaction 1:

The owner put $20,000 into the business. The money has been paid into the business bank account.

The accounting equation looks like this:

Assets		−	**Liabilities**	=	**Capital**
Bank	$20,000	−	0	=	$20,000

The cash in the bank now belongs to the business (asset), and the business has a responsibility at some point to pay that amount back to the owners (capital).

(Asset increased, Capital increased)

Transaction 2:

The business purchased furniture for a new shop costing $1,500 and paid for it from the business bank account.

The accounting equation now looks like this:

Assets		−	**Liabilities**	=	**Capital**
Bank ($20,000 - $1,500)	$18,500	−	0	=	$20,000
Furniture	$1,500				
	$20,000				$20,000

The overall asset value has not changed; the equation shows $1,500 coming out of the bank account (decreasing the bank account) and creating a different non-current asset (Furniture) at the cost of $1,500.

(Asset increased & decreased)

Transaction 3:

The business purchases some dresses from a supplier on credit for $700. The supplier agrees that the business can pay in 30 days. The business plans to resell the dresses.

Example 2

The accounting equation would now look like this:

$700

Assets		−	**Liabilities**		=	**Capital**
Bank ($20,000 − $1,500)	$18,500					$20,000
Inventory	$700					
Furniture	$1,500		Payables	$700		
	$20,700	−		$700	=	$20,000

As inventory is an asset, assets have increased by $700.

Liabilities have also increased because the business owes $700 to a supplier (payable) for the inventory.

(Assets increased, liabilities increased)

Transaction 4:

The business takes dresses worth $100 out of inventory and sells them to Manisha for $300. Manisha pays cash immediately.

The accounting equation now looks like this:

Assets		−	**Liabilities**		=	**Capital**
Bank ($20,000 - $1,500 + $300)	$18,800					$20,000
Inventory ($700 − $100)	$600					
Furniture	$1,500		Payables	$700		Profits $200
	$20,900	−		$700	=	$20,200

Dresses that cost $100 were sold for $300. This results in a profit of $200. Profits belong to the owner of the business, so are added to Capital.

Cash (Asset) has increased by $300.

Example 2

Inventory (Asset) had decreased by $100

(Total assets increased by $200, capital increased by $200)

Activity 3

Consider the given transactions and their effect on the accounting equation.

An owner decides to invest $10,000 into a new business venture. The money is paid into a business bank account. How would this information be presented in the accounting equation?

Assets	−	**Liabilities**	=	**Capital**
	–		=	

$3,000 is paid out of the business bank account to purchase a van to make deliveries for the business. How would this information be presented in the accounting equation?

Assets	−	**Liabilities**	=	**Capital**
	–		=	

The business buys 5 crates of lemonade bottles from a supplier on credit. The purchase invoice is $500 and must be paid in 30 days. The lemonade bottles are to be resold. How would this information be presented in the accounting equation?

Assets	−	**Liabilities**	=	**Capital**
	–		=	

The business sells 2 crates of lemonade to a market vendor for $300 in cash. How would this information be presented in the accounting equation?

Assets	−	**Liabilities**	=	**Capital**
	–		=	

**Please use the notes feature in the toolbar to help formulate your answer.*

2.4.1 Introduction to Double-Entry Bookkeeping

4.1 Introduction to Double-Entry Bookkeeping

Financial transactions are entered into the general ledger accounts using double-entry bookkeeping.

Every financial transaction gives rise to two accounting entries, a debit and a credit entry, in different ledger accounts. The total debit value always equals the total credit value in the ledger accounts at any time.

- For example, a business buys a delivery vehicle with cash. The business gains a new asset but loses cash. 2 ledger accounts are affected, namely, the cash and asset accounts.

4.2 The Expanded Accounting Equation

The simple accounting equation: *Capital = Assets – Liabilities*

Capital belongs to the business owner. Capital can also be calculated by the amount the owner invested minus any money that owners have taken out of the business (drawings) plus profit made.

Owner's Capital = Capital Invested – Drawings + Profits

Profits made by the business are the outcome of Income after deducting all business Expenses/ Expenditure:

Profits = Income – Expenditure

The Expanded Accounting Equation once the above elements are included:

Key Point

Assets – Liabilities = Capital Invested – Drawings + Income – Expenditure

The equation can be rearranged to show only positive signs:

Assets + Drawings + Expenses = Capital + Liabilities + Income

4.3 Rules of Double Entry to Account Group

There are 5 types of accounts in the Double-Entry system which are: Assets, Liabilities, Capital, Income and Expenses

The accounting equation is used to understand which Accounts to Debit and Credit. The expanded accounting equation is:

ASSETS + DRAWINGS + EXPENSES = CAPITAL + LIABILITIES + INCOME

- The items on the **left-hand side** of the equation are **increased** by posting a **Debit** entry. *(Assets, Drawings, Expenditure)*
- The items on the **right-hand side** of the equation are **increased** by posting a **Credit** entry. *(Capital, Liabilities, Income)*

This can be easily remembered with the mnemonic DEAD CLIC:

Debit or credit balances will be determined from the category of each ledger account (DEAD CLIC mnemonic).

DEBIT	**Examples:**	**CREDIT**	**Examples:**
Expense	• Telephone Bill • Rental • Sales Returns • Purchases	**L**iabilities	• Loans • Trade Payables • Output Sales Tax • Bank overdraft
Assets	• Motor Vehicles • Bank balance • Inventories • Trade Receivables • Input Sales Tax	**I**ncome	• Sales • Purchase Returns • Bank Interest received • Discounts received
Drawings	• Drawings	**C**apital	• Capital investment

4.4 Journal entries

Journal entries specify which accounts should be debited and which should be credited when a transaction is posted to the ledger accounts. The term "journal" dates back to paper based accounting systems, where the chief accountant recorded in a journal those adjustments that should be made to the ledgers at the end of a financial period. While FA1 assumes that businesses will use computerised accounting systems, computerised accounting systems replicate what paper based systems used to do. Also, even in computer based systems, some manual journals may be entered into the system, for example non-routine transactions.

You may therefore be asked to specify what the journal entry would be for a specific transaction. An example of a journal entry is:

Dr: Cash $100

Cr: Sales $100

Being a cash sale.

The journal shows which accounts would be debited, which would be credited, and the values of these debits and credits. There will also be a narrative explaining what the transaction is. The total value of the debits = the total value of the credits, so the transaction balances.

Example 3

Consider the following example **transactions** and then learn about the **journal entries** required to **post** the transactions into the Ledger Accounts.

Transaction 1:

The owner puts $20,000 into the business. The money has been paid into the business bank account.

	Ledger Account	**Account**	**$**
Dr.	Bank	Current Asset	20,000
Cr.	Capital	Capital	20,000

Bank Account (Asset) has increased. The owner's balance (Capital) has increased.

- To increase an Asset, a debit entry is used. To increase Capital, a credit entry is used.

Example 3

Transaction 2:

The business purchased furniture for a new shop costing $1,500 and paid for it from the business bank account.

	Ledger Account	Account	$
Dr.	Furniture	Non-Current Asset	1,500
Cr.	Bank	Current Asset	1,500

Furniture amount (Non-Current Asset) has increased. Bank amount (Current Asset) has decreased. The overall Asset value has not changed.

- To increase an Asset (furniture), a debit entry is used. To decrease an Asset (bank), a credit entry is used.

Transaction 3:

The business purchases some designer dresses from a supplier on credit for $700. The supplier agrees that the business can pay in 30 days. The business plans to resell the dresses.

	Ledger Account	Account	$
Dr.	Purchases	Expenses	700
Cr.	Payables	Current Liability	700

Purchases (Expenses) have increased. The amount owed to suppliers/payables (Current Liability) has increased.

- To increase an Expense (purchases), a debit entry is used. To increase Liability (payables), a credit entry is used.

Transaction 4:

Dresses worth $100 were taken out of inventory and sold to Manisha for $300. Manisha pays cash immediately.

	Ledger Account	Account	$
Dr.	Cash	Current Asset	300

Example 3

Cr.	Sales	Income	300

Bank account (Current Asset) has increased. Sales (income) have increased.

- To increase an Asset (bank), a debit entry is used. To increase an Income (sales), a credit entry is used.

Below is a summary table on the Rules of Journal Entry Posting:

Category	**A debit entry will…**	**A credit entry will…**
Asset	Increase an asset	Decrease an asset
Drawing	Increase drawings	Decrease drawings
Expenditure	Increase an expense	Decrease an expense
Capital	Decrease capital	Increase capital
Liability	Decrease a liability	Increase a liability
Income	Decrease income	Increase income

Activity 4

For each transaction, determine the account that **will be debited or credited to reflect the transaction.**

Transaction	**Debit**	**Credit**
Cash Sale		
Credit Sale		
Receive Bank Loan		
Receive Payment from Credit Customer		
Payment to Supplier		
Cash Purchase		

Credit Purchase

Repayment of Bank Loan

**Please use the notes feature in the toolbar to help formulate your answer.*

2.4.5 General Ledger and T – Accounts

4.5 General Ledger and T – Accounts

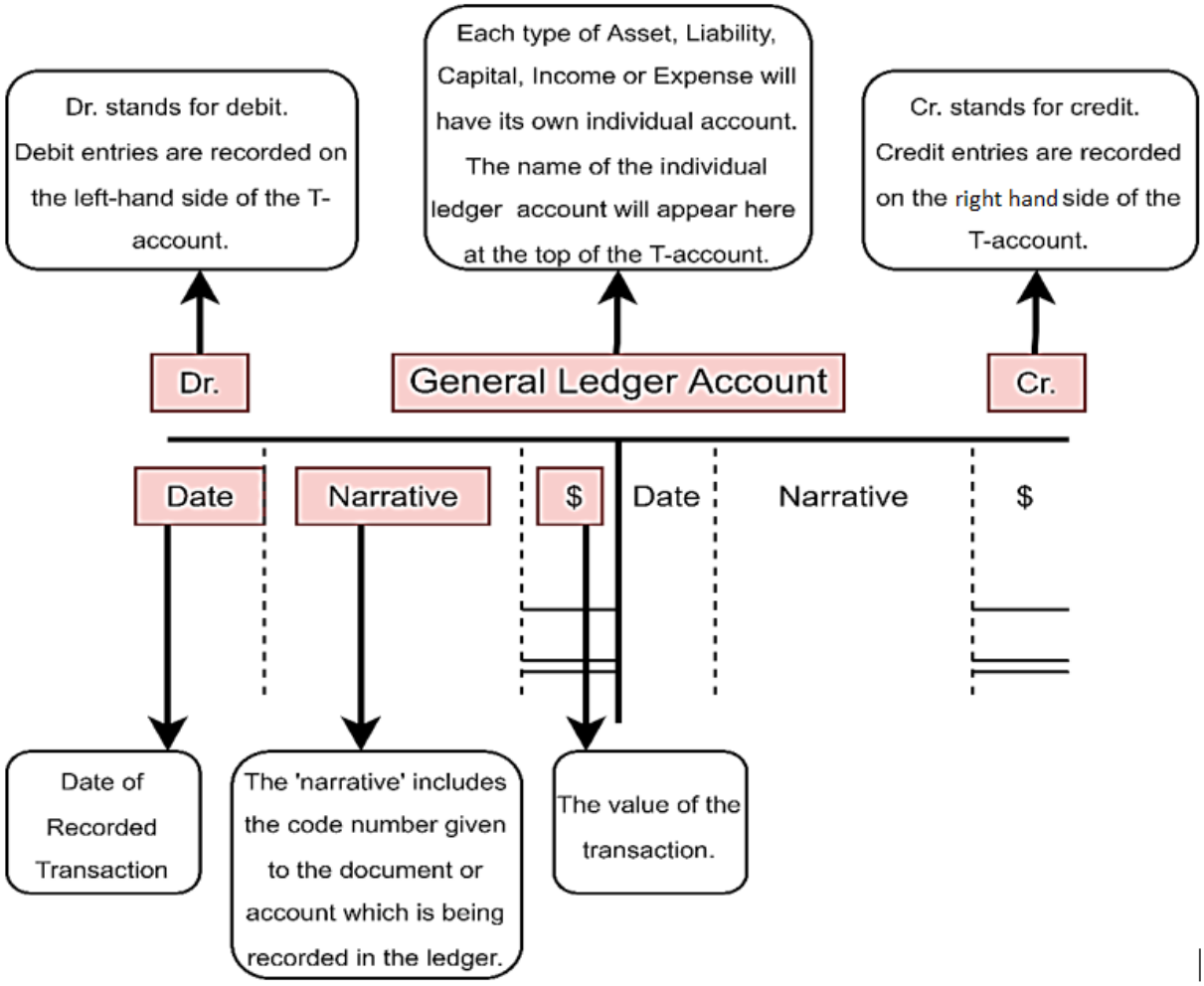
The general ledger is where all the double entries are recorded. It contains individual accounts for a business's assets, liabilities, capital, income and expenses. These individual accounts are also known as ledger accounts.

Financial transactions of the business are recorded in the relevant ledger accounts. Immediately, a business can gather information overview such as:

- cash balance in the business from the cash ledger account
- Sales generated from the sales ledger account.

Double Entries are recorded into the ledger accounts T-Accounts. A T-Account is a graphical representation of a ledger account.

4.5.1 Elements of a T – Account



4.6 Double Entry Practice

Here is a list of some account codes for *RFashion*'s General Ledger:

Purchases	GL103
Rent	GL104
Stationery	GL106

Sales	GL300
Bank	GL808
Vehicle	GL603
Capital	GL900
Drawings	GL910
Payables	GL510
Receivables	GL520

Example 4 (Owner introduces Capital)

Rajiv, the owner of *Rfashion,* brought in capital of $20,000 on 1 April 20X1.

- Bank amount (current asset) has increased. Therefore, the Bank account will be debited.
- The owner's balance (capital) has increased. Therefore, the Capital account will be credited.
- The journal entry required to post the transaction to the general ledger is:

Dr. Bank $20,000

Cr. Capital $20,000

Dr.	**Bank GL808**	Cr.
1 April 20X1 Capital GL900 $20,000		

	Capital GL900	Cr.
Dr.	1 April 20X1 Bank GL808 $20,000	

Example 5 (Cash Purchases)

RFashion purchases stationery for $52 in cash on 2 April 20X1.

- Stationery purchases amount (expenses) has increased. Therefore, the Stationery account will be debited.

Example 5 (Cash Purchases)

- The bank account (current asset) has decreased. Therefore, the Bank account will be credited.
- The journal entry is therefore:

Dr. Stationery $52

Cr. Bank $52

Dr.	**Stationery GL106**	Cr.
2 April 20x1 Bank GL808 $52		

	Bank GL808	Cr.
Dr.	2 April 20x1 Stationery GL106 $52	

Example 6 (Credit Purchases)

RFashion purchases material from Clothes Ltd. on credit for $200 on 2 April 20X1.

- Purchases (expense) have increased. Therefore, the Purchases account will be debited.
- Payables (amount owing to suppliers - current liability) have increased. Therefore, the Payables account will be credited.
- The journal entry for this transaction is:

Dr. Purchases $200

Cr. Payables $200

Dr.	**Purchases GL103**	Cr.
2 April 20x1 Payables GL510 $200		

	Payables GL510	Cr.
Dr.	2 April 20x1 Purchases GL103 $200	

Example 7 (Payment for Credit Purchase)

RFashion owes Clothes Ltd. $200 and pays the amount due on 5 April 20X1.

- The payables amount (current liability) has decreased. Therefore, the Payables account will be debited.
- Bank Amount (Current Asset) has decreased. Therefore, the Bank account will be credited.
- The journal entry is:

Dr. Payables $200

Cr. Bank Account $200

Dr.	**Payables GL510**	Cr.
5 April 20x1 Bank GL808 $200		

	Bank GL808	Cr.
Dr.	5 April 20x1 Payables GL510 $200	

Example 8 (Cash Sale)

A walk-in customer buys several dresses from *RFashion* and pays cash of $90 on 6 April 20X1.

- Bank amount (current asset) has increased. Therefore, the Bank account will be debited.
- Sales (income) have increased. Therefore, the Sales account will be credited.
- The journal entry is:

Dr. Bank $90

Cr. Sales $90

Dr.	**Bank GL808**	Cr.
6 April 20x1 Sales GL300 $90		

	Sales GL300	Cr.

Example 8 (Cash Sale)

Dr.	6 April 20X1 Bank GL808 $90

Example 9 (Credit Sale)

Ocean View Restaurant purchased several uniforms on 6 April 20X1 from *RFashion* for $160 on credit. The credit is due in 30 days.

- The receivables amount (current asset) has increased. Therefore, the Receivables account will be debited.
- Sales (income) has increased. Therefore, the Sale account will be credited.
- The journal entry for the transaction is:

Dr. Trade receivables $160

Cr. Sales $160

Dr.	**Trade Receivables GL520**	Cr.
6 April 20x1 Sales GL300 $160		

	Sales GL300		Cr.
Dr.	6 April 20X1	Receivables GL520	$160

Example 10 (Receipt from Credit Sale)

Ocean View Restaurant pays the amount owed to *RFashion* of $160 on 11 April 20X1.

- Bank amount (current asset) has increased. Therefore, the Bank account will be debited.
- Receivables (Current Asset) have decreased. Therefore, the Receivables account will be credited.

Dr. Bank $160

Cr. Trade Receivables $160

Dr.	**Bank GL808**	Cr.

Example 10 (Receipt from Credit Sale)

11 April 20x1 Receivables GL520 $160

Receivables GL520

Dr.	Cr.
	11 April 20X1 Bank GL808 $160

Example 11 (Purchase of Non-Current Asset)

RFashion buys a delivery van for $8,000 on 12 April 20X1 by issuing a cheque.

- Vehicle amount (non-current asset) has increased. Therefore, the Vehicle account will be debited.
- Bank amount (current asset) has decreased. Therefore, the Bank account will be credited.
- The journal entry for the transaction is:

Dr. Vehicle (NCA) $8,000

Cr. Bank $8,000

Vehicle GL603

Dr.	Cr.
12 April 20x1 Bank GL808 $8,000	

Bank GL808

Dr.	Cr.
	12 April 20X1 Vehicle GL603 $8,000

Example 12 (Business Expense)

RFashion pays monthly building rental on 21 April 20X1 for $1,000 using bank transfer.

- Rental (expense) has increased. Therefore, the Rental account will be debited.
- Bank amount (Current Asset) has decreased. Therefore, the Bank account will be credited.
- The journal entry for the transaction is:

Dr. Rental Expense $1,000

Example 12 (Business Expense)

Cr. Bank $1,000

Dr.	**Rental GL104**	Cr.
21 April 20x1 Bank GL808 $1,000		

	Bank GL808	Cr.
Dr.	21 April 20X1 Rental GL104 $1,000	

Example 13 (Owner's Drawings)

On 30 April 20X1, Rajiv draws out cash of $500 from *RFashion* for his personal use.

- Capital has decreased due to owner drawings. Therefore, the Drawings account will be debited.
- Bank amount (Current Asset) has decreased. Therefore, the Bank account will be credited.
- The journal entry for the transaction is:

Dr. Drawings $500

Cr. Bank $500

Dr.	**Drawings Account GL910**	Cr.
30 April 20X1 Bank GL808 $500		

	Bank Account GL808	Cr.
Dr.	30 April 20X1 Drawings GL910 $500	

Activity 5

Fill the blanks in the below statements with "Debit" or Credit".

1. Recording the deposit of money into the Bank account is a _____.
2. A payment for wages is recorded as a _____ in the Wages (expense) account.

3. Sam purchased goods for resale. He will record the purchases on the _____ side of the Purchases account.
4. Sam paid travel expenses of $24 by cheque. _____ the Travel Expenses account and _____ the Bank account.

**Please use the notes feature in the toolbar to help formulate your answer.*

2.4.7 Balancing the accounts

4.7 Balancing the accounts

4.7.1 Meaning

In manual bookkeeping, balancing the accounts means totalling all the transactions for a period, to find out what the account balance is at the end of the period.

- To balance an account means to put in a balancing figure ("strike" a balance).
- Accounts can be balanced *at any time*, normally at every month end. It is usual, therefore, to assign a date to the carrying down (c/d) and bringing down (b/d) of balances. For example, "Bal c/d @ 31 December 20X6 ... " and" Bal b/d @ 1 January 20X7".*

4.7.2 Procedure

Note that although this procedure will appear trivial when there is only one transaction recorded in an account, it is important to apply it systematically to every account.

1. Cast (i.e. sum or total) the debit side and note the total. Cast the credit side and note the total.
2. Whichever is the larger will be the total on both sides—write this in.
3. Insert the balancing figure so that both sides are equal; this is called the balance carried forward (i.e. forward in time) or the balance carried down. (Shown as c/fwd or c/f or c/d.)
4. If the sum of the debits exceeds the sum of the credits (i.e.ΣDrs > ΣCrs) the balancing figure is a debit balance. This is brought forward.(Shown as b/fwd or b/f or b/d on the debit side of the account).

If the sum of the credits exceeds the sum of the debits (i.e. ΣCrs > ΣDrs) the balancing figure is a credit balance. This is brought forward (b/fwd) or brought down (b/d) on the credit side of the account.

Example 13

The following transactions have been entered into the cash account for period 1, the first period of the business's existence:

Dr.		**Cash Account**	Cr.
Share capital	10,000	Car purchase	5,000
Revenue	4,000	Purchased (goods)	3,000
		Wages	500

In order to balance the account:

Step 1: Debits total $14,000 and credits total $8,500.

Step 2: Write in $14,000 (the larger of the two) on both sides.

Step 3: Insert a balancing figure of $5,500 on the credit side, which is the balance c/fwd

Step 4: The closing balance on the credit side becomes the balance brought forward on the debit side. This is the account balance, and is $5,500.

Dr.		**Cash Account**	Cr.
Share capital	10,000	Car purchase	5,000
Revenue	4,000	Purchased (goods)	3,000
		Wages	500
		Balance c/fwd	5,500
	14,000		14,000
Balance b/fwd	5,500		

Activity 6

The transactions for the first period of a business's life have been entered into the ledgers. The accounts have not been balanced yet.

Required:

Balance the ledger accounts, showing the balance carried forward, and the balance brought forward.

Dr.	**Share capital account**		Cr.
		Cash	10,000

Dr.	**Non-current asset account**		Cr.
Cash	5,000		

Dr.	**Purchases account**		Cr.
Cash	3,000		
Trade payables	2,800		

Dr.	**Revenue account**		Cr.
		Cash	4,000
		Trade receivables	3,500

Dr.	**Trade receivables account**		Cr.
Revenue	3,500		

Dr.	**Trade payables account**		Cr.
		Purchases	2,800

Dr.	**Wages account**		Cr.
Cash	500		

**Please use the notes feature in the toolbar to help formulate your answer.*

Syllabus Coverage

This chapter covers the following Learning Outcomes.

B. Duality of Transactions and Double-Entry Bookkeeping

1. **Double-Entry Bookkeeping**

1. Define the accounting equation.
2. Demonstrate the use of the accounting equation.
3. Describe how the accounting equation relates to double-entry bookkeeping
4. Explain how transactions are entered into the accounting system.

3. **Elements of Financial Statements**

1. Define and distinguish between the elements of the financial statements.
2. Identify the content of a statement of financial position and a statement of profit or loss and other comprehensive income.

2 Summary and Quiz

Summary and Quiz

- An **asset** is a resource controlled by the entity as a result of past events and from which future economic benefits are expected to flow to the entity. Generally, it will be something which a business owns.
- Assets can be divided into *Current Assets* and *Non-Current Assets.*

Current assets are expected to be used up, sold or collected in a short period (less than a year). Non-current assets are expected to be used by a business over several years.

- A **liability** is a present obligation of the entity arising from past events, the settlement of which is expected to result in a probable outflow of economic benefits. Generally, a liability is an amount that is owed by the business.
- Liabilities can be divided into *Current Liabilities* and *Non-Current Liabilities*.

Current Liabilities are liabilities due for payment in a short period (within one year).

Non-Current Liabilities are liabilities which are not due for payment within one year.

- **Capital** is the net assets of a business. The net asset is the difference between the Asset and Liability.

CAPITAL = ASSETS – LIABILITIES

Capital is the amount which the business owes to its owners.

- The **Accounting Equation** describes a business's total value of assets as the sum of the total value of the business's liabilities plus capital.
- A business generates income when a sale is made. It incurs expenses when it makes a purchase.
- **Income** can be divided into *revenue and gains.*

Revenue is income that is generated from ordinary activities of the business.

Gains are additional income received from irregular ('one-off') transactions.

- **Expenditure** can be divided into asset expenditure and expenses.

Asset expenditure is the purchase of non-current assets.

Expenses are the day-to-day costs of running a business.

- **Double entry** is also known as the dual effect because every financial transaction gives rise to two accounting entries, a Debit and a Credit entry in different ledger accounts.
- The **Expanded Accounting Equation** is:

Assets + Drawings + Expenditure = Capital Invested + Liabilities + Income

DEBIT to Increae	**CREDIT to Increase**
Assets	Captial
Drawings	Liabilities
Expense/ Expenditure	Income

- Journal entries can be used to specify which accounts are debited and credited, and the value of the debits and credits for each transaction.

3.1.1 What is a Sale Invoice?

1.1 What is a Sale Invoice?

A sale invoice is a **financial document** sent from a business to the customer, highlighting details of the sale transaction.

It includes information about the sales transaction, such as the name and address of the buyer and seller, the items sold, and the price of the items.

If there is sales tax, its details are included in the sales invoice.

1.1.1 Elements of a Sales Invoice

Example 1

Ocean View Restaurant ordered five suits from *RFashion* on credit. This is the sales invoice *RFashion* sent to the customer.

Example 1

Sales Invoice

RFashion

71 Primrose Lane, Millford

To: Ocean View Restaurant

45 Durham Road Greenfield

Invoice Number: 62453

Date: 23 Mar 20X1

Purchase Order Number: PO 1253

Customer Account Number: SL114

Product Code	Description	Quantity	Unit Price ($)	Net Amount ($)
MS011	Men's suit	5	224.00	1120.00
Terms:	Net 30 days		Goods Total:	1,120.00
			Sales Tax 17.50%	196.00
			Invoice Total:	**1,316.00**
E&EO				

- **Header** - Name and address of Company
- **Recipient (To)** - Name and address of the customer
- **Invoice Number** - Each invoice has its unique invoice number. The invoice number is always in consecutive order
- **Date -** The date the invoice is prepared
- **Purchase Order Number** – The unique number of the original purchase order sent by the customer to place the order
- **Account Number** – Every customer is assigned a unique account number in the business records

Example 1

- **Product Code –** Code assigned to each good or service. Each product ordered by the customer will be listed in this column.
- **Description** - Goods or services description is listed here
- **Quantity and Unit Price** - The number of units of each item ordered and their prices per unit.
- **Net amount** - The total price for the goods before sales tax is added
- **Sales Tax** – The tax payable is added to the sales value.
- **Invoice Total (Gross amount)** - The total net amount plus sales tax
- **Credit Terms** - Amount of days customers are given to make payment. The word 'Net' means the whole amount is due within the term.
- **E&OE -** Errors & Omissions Excepted is a legal disclaimer term. If a mistake is made on the invoice, the business can correct it.

3.1.2 Sales with Sales Tax

1.2 Sales with Sales Tax

1.2.1 What is Sales Tax?

Tax authorities or governments may impose a sales tax. A percentage of sales tax is charged on goods and services sold.

Sales tax may be known under different names.

- In the European Union, sales tax is known as Value-Added Tax (VAT).
- In other countries such as India and Australia, it is known as Goods and Services Tax (GST).

Under national rules, some small businesses must register for sales tax, and others do not.

Sales tax is charged at different percentages in different countries.

Exam advice

The sales tax percentage would be given in the FA1 exam. Students need to be able to calculate sales tax at the percentage rate given.

1.2.2 Output Tax and Input Tax

Definitions

Output Tax is a tax charged on sales to customers. It is collected by the seller and subsequently paid to the tax authorities.

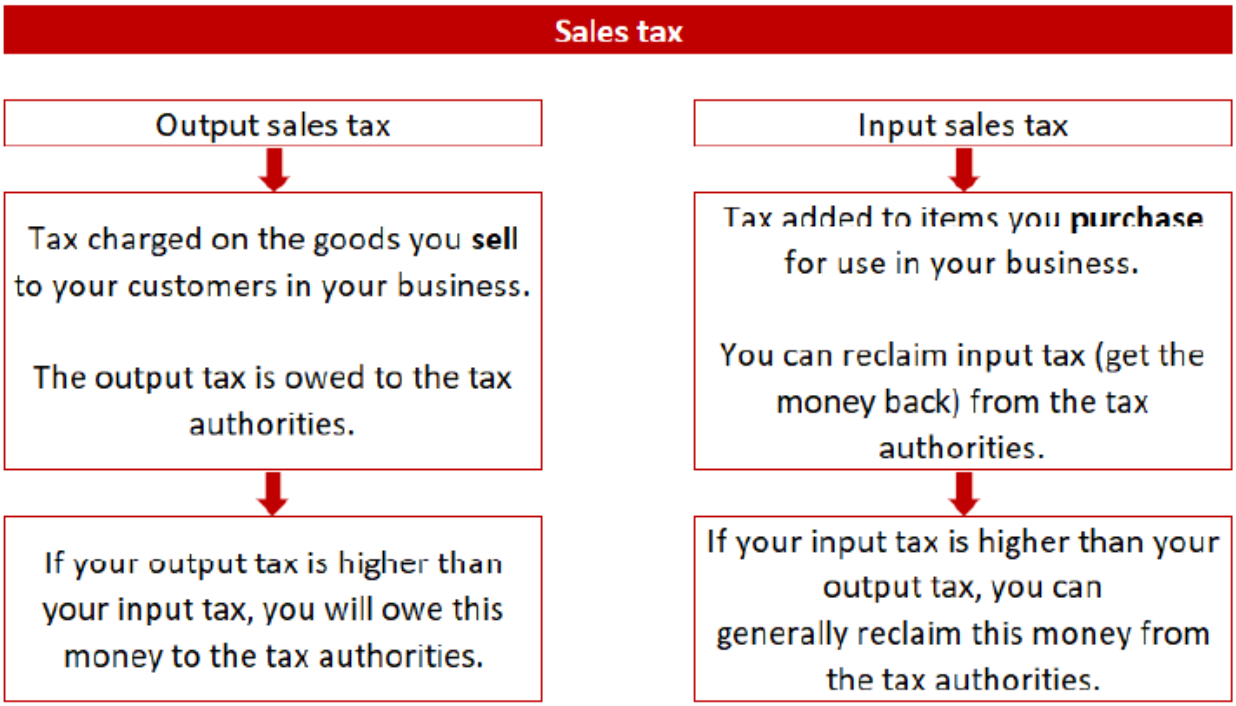
Input Tax is a tax charged on purchases by suppliers. The supplier collects and subsequently pays the sales tax to the tax authorities. Registered businesses may be able to reclaim the input tax charged on their purchases.

Businesses complete a sales tax return form (VAT Return) typically every quarter or every month for larger businesses, as the tax authorities specify.

- If the **output tax is more than the input tax** (net output tax), the net amount will remain as a **current liability** until the money is paid to the tax regulatory body.
- If the **input tax is more than the output tax** (net input tax), the net amount will appear as a **current asset** until the money is refunded to the business by the tax regulatory authority.

Businesses must calculate their sales tax accurately and precisely. Miscalculating sales tax may lead to the outcomes below:

- Penalties charged by the authorities for mistakes that lead to inaccurate sales tax return submission.
- If the tax charged to customers on behalf of the tax authorities is *overstated*, customers will complain, and the sale of the business may be affected.
- If the tax charged to customers on behalf of the tax authorities is *understated*, the business may have to pay the difference to the authorities using its funds.



Exam advice

The rules on sales tax vary from country to country. FA1 assumes that input tax is reclaimable from the tax authorities.

Activity 1

In the following activity, decide if each situation requires payment or refunds to/from the Tax Authorities.

1. Input Tax = $3,000 and Output Tax = $4,000
2. Input Tax = $1,000 and Output Tax = $2,800
3. Input Tax = $1,100 and Output Tax = $800
4. Input Tax = $4,000 and Output Tax = $3,000

**Please use the notes feature in the toolbar to help formulate your answer.*

1.2.3 Calculating Sales Tax

Exam advice

FA1 may require calculating the gross or net amount from available information within a question.

- The **net price** is the total price for the goods before sales tax is added.

The net price always represents 100% of the price.

(For example, the price for goods is $200)

- To this, we add the **sales tax**. Sales tax is given as a percentage.

(for example, sales tax is 20%)

- The **gross price** is the invoice total of the net price and the sales tax.

	Amount (%)	**Amount ($)**
Net amount	100%	$200
+ Sales tax	20%	$40
= Gross amount	120%	$240

Key Point

Net is the amount **before sales tax** is added.

Gross is the amount after **including sales tax**.

Activity 2

The table shows figures for the net amount and the sales tax percentage.

Calculate the sales tax amount and the gross amount.

	Net Amount ($)	Sales Tax Percentage	Sales Tax ($)	Gross Amount ($)
A	1425.63	17%		
B	12,147.98	18%		
C	95.65	16.5%		

D 2,124.04 20%

**Please use the notes feature in the toolbar to help formulate your answer.*

Activity 3

The table shows figures for the net amount and the sales tax percentage.

Calculate the sales tax amount and the net amount.

	Gross Amount ($)	Sales Tax Percentage	Sales Tax ($)	Net Amount ($)
A	128.55	14%		
B	203.74	16%		
C	3744.00	17%		
D	22.38	19%		

**Please use the notes feature in the toolbar to help formulate your answer.*

3.1.3 Sales with Trade Discounts

1.3 Sales with Trade Discounts

1.3.1 What is a Trade Discount?

Definition

A **trade discount** reduces the cost of goods or services bought or sold. A trade discount reduces the total price of the goods (list price).

A trade discount is a reduction in the amount charged to customers. Businesses may choose to offer Trade Discounts to customers for two reasons:

1) They are valued customers who regularly buy goods from the business.

2) The discount offers customers an incentive to order in larger quantities.

1.3.2 Trade Discount and Sales Invoice

Trade discounts are deducted from the price of the goods before the sales tax is calculated.

The sales tax is recalculated based on the revised net amount.

Key Point

If a business offers its customers trade discounts, the **sales tax percentage** is calculated on the net amount **after deducting the trade discount**.

Example 2

Ocean View Restaurant ordered five suits from *RFashion*. *RFashion* now offers *Ocean View Restaurant* a **10% trade discount**. Let us look at the effect of trade discounts on the sales invoice.

Sales Invoice

RFashion
71 Primrose Lane, Millford

To: Ocean View Restaurant
45 Durham Road Greenfield

Invoice Number: 62453
Date: 23 Mar 20X1
Purchase Order Number: PO 1253
Customer Account Number: SL114

Product Code	Description	Quantity	Unit Price ($)	Net Amount ($)
MS011	Men's suit	5	224.00	1120.00
Terms:	Net 30 days		Goods Total:	1,120.00
			Less: Trade Discount 10%	(112.00)
			Net Amount:	1,008.00
			Sales Tax 17.5%	176.40
E&EO			**Invoice Total (Gross):**	1,184.40

The Trade Discount of 10% is applied to the goods total.

Example 2

$1,120 × 10/100 = $112.

The Sales Tax is calculated based on the revised Net Goods Total.

$1,008 × 17.5/100 = $176.40

The Invoice total is Net Goods Total + Sales Tax

$1,008 + $176.40 = **$1,184.40**

Activity 4

Dahlia's Limo Drivers purchased several suits from *RFashion* for her employees. Complete the sales invoice using the following information:

- Dahlia (account number SL210) wants to purchase:
- three men's suits (product code MS011) at $224.00 each.
- three ladies' suits (product code LS030) at $150.00 each.
- Dahlia is offered a 7% trade discount. Sales tax is 20%.
- The last invoice number used was 62453.
- *Dahlia's Limo Drivers*' purchase order number is PO2351.

Sales Invoice

RFashion

71 Primrose Lane, Millford

To: Dahlia's Limo Drivers

5 Crendon Street, London

Invoice Number:

Date: 23 Mar 20X1

Purchase Order Number:

Customer Account Number:

Product Code	Description	Quantity	Unit Price ($)	Net Amount ($)
	Men's suit			
	Ladies' suit			
Terms:	5% Discount if paid within 7 days		Goods Total:	
			Less: Trade Discount 7%	
	Net Terms 30 days		Net Amount:	
			Sales Tax 20%	
			Invoice Total:	
E&EO				

**Please use the notes feature in the toolbar to help formulate your answer.*

1.4 Sales with Settlement Discounts

1.4.1 What is a Settlement Discount?

Definition

A **settlement discount** or prompt payment discount is a discount offered to customers or received from suppliers for prompt payment.

Settlement discounts encourage credit customers to pay sums owing to the business earlier than the standard credit agreement time (credit period).

Businesses will determine the percentage of discount and the period for prompt payment discount entitlement.

- For example, a business can offer a 2% prompt payment discount if payment is made within seven days, although the standard credit period is 30 days.

Exam advice

FA1 expects calculations for an invoice's settlement discount or sales tax.

Students will not be given a situation where they must apply both simultaneously.

1.4.2 Settlement discount and Sales Invoice

Example 3

Ocean View Restaurant ordered five suits from *RFashion* with a trade discount of 10%. Rajiv has decided to offer *Ocean View Restaurant* a 5% settlement discount if payment is made within seven days.

Example 3

Sales Invoice

RFashion

71 Primrose Lane, Millford

To: Ocean View Restaurant

45 Durham Road Greenfield

Invoice Number: 62453

Date: 23 Mar 20X1

Purchase Order Number: PO 1253

Customer Account Number: SL114

Product Code	Description	Quantity	Unit Price ($)	Net Amount ($)
MS011	Men's suit	5	224.00	1120.00

Terms: 5% discount 7 days
Net 30 days

(If invoice is paid in 7 days, the amount payable is $957.60)

Goods Total:	1,120.00
Less: Trade Discount 10%	-112.00
Net Amount:	1,008.00

E&EO

- **Terms** – 5% discount 7 days, net 30 days

The terms highlight the settlement discount percentage the customer will receive for payment made within 7 days. The terms also highlight *Ocean View Restaurant*'s credit period for standard payment.

If this invoice is paid within 7 days, the discounted amount payable is $957.60.

Net goods total – Settlement Discount = Discounted Net Goods Total

$1,008 − 50.40 = $957.60

Example 3

If the settlement discount is not taken up, the Total Amount is expected in 30 days, the standard payment term.

- The invoice total amount ($1,008) is the amount before the settlement discount. The discounted total invoice amount is shown as a note to indicate what the customer would pay if paid within the early settlement terms.

If *Ocean View Restaurant* does pay *RFashion* within 7 days, they can take $50.40 off and pay $957.60.

- No sales tax is applicable in this scenario as it is not examinable with settlement discounts.

Activity 5

In the following activity, prepare a sale invoice for *Dahlia's Limo Drivers* with the information provided.

- Dahlia wants to purchase:
- three men's suits (product code MS011) at $224.00 each
- 3 ladies' suits (product code LS030) at $150.00 each.
- RFashion offers *Dahlia's Limo Drivers*:
- 7% trade discount
- 5% prompt payment discount for payment within 7 days.

Sales Invoice

RFashion

71 Primrose Lane, Millford

To: Dahlia's Limo Drivers

5 Crendon Street, London

Invoice Number: 62454

Date: 23 Mar 20X1

Purchase Order Number: PO 2351

Customer Account Number: SL210

Product Code	Description	Quantity	Unit Price ($)	Net Amount ($)
	Men's suit			
	Ladies' suit			
Terms:	5% Discount if paid within 7 days Net Terms 30 days		Goods Total: Less: Trade Discount 7%	
Discounted Invoice Total: E&EO			Invoice Total:	

**Please use the notes feature in the toolbar to help formulate your answer.*

3.1.5 Credit Notes

1.5 Credit Notes

1.5.1 What is a Credit Note?

Definition

A **credit note** is a financial document issued to customers from a business that reduces the value of an invoice previously issued, for example due to sales returns.

The credit note (negative invoice) is issued due to problems with goods delivered already invoiced. Examples of issues are:

- Damaged or faulty goods

- Wrong item delivered
- Incorrect units delivered
- Overcharge on invoice

When preparing credit notes, the following should be considered:

- Credit notes are numbered consecutively, like sale invoices
- If a trade discount was offered, it needs to be considered in the credit note, or the refund will be overstated.
- Settlement discount is not considered in a credit note because it is unlikely that the customer will pay for a faulty sales invoice.

1.5.2 Elements of a Credit Note

Example 4

Ocean View Restaurant's suits are damaged, and a 7% trade discount was given in the original invoice. The credit note issued from *RFashion* to *Ocean View Restaurant* will look like this:

Example 4

Credit Note

RFashion

71 Primrose Lane, Millford

To: Dahlia's Limo Drivers

5 Crendon Street, London

Credit Note Number: CN233

Date: 26 Mar 20X1

Purchase Order Number: PO 2351

Customer Account Number: SL210

Product Code	Description	Quantity	Unit Price ($)	Net Amount ($)
MS011	Men's suit	1	224.00	224.00
LS030	Ladies' suit	2	150.00	300.00

Reason for return:	Goods Total:	524.00
Men's suit: wrong style	Less: Trade Discount 7%	-36.68
Ladies' suits: damaged in transit	Net Amount:	487.32
	Sales Tax 20%	97.46
E&EO	**Invoice Total:**	584.78

- **Credit note number** – every credit note will have its unique number. Credit notes are always numbered in sequence.
- **Date** - this is the date the credit note is prepared
- **Purchase order number** – the unique number of the original purchase order sent by the customer to place an order for the five suits.

Example 4

- **Account number** - the account number of Ocean View Restaurant
- **Product code/ description/ quantity/ unit price -** these are the details of the item to be returned by Ocean View Restaurant
- **Net amount** - the total amount of the goods returned before sales tax is added
- **Goods total** - this is the total of the goods to be returned
- **Trade discount** = goods total $524.00 × trade discount percentage 7% = $36.68
- **Net goods total** = goods total $524.00 - trade discount $36.68 = $487.32
- **Sales tax** = net goods $487.32 × sales tax percentage × 20% = $97.46
- **Credit note total** = net goods total $487.32 + sales tax $97.46 = $584.78
- **Reason for return –** enter the reason for the return of goods here. In this case, the suit delivered is damaged.
- Without the trade discount, credit note total is $524 + ($524 x 20%) = $628.8

Activity 6

Complete the credit note for *Dahlia's Limo Drivers* using the information below.

- Dahlia purchased three men's suits (product code MS011) at $224.00 each and three ladies' suits (product code LS030) at $150.00 each
- Two ladies' suits were damaged during the delivery, and one men's suite has the wrong design
- Dahlia was offered a 7% trade discount, and the sales tax is 20%
- The last credit note number used was CN 232.

Credit Note

RFashion

71 Primrose Lane, Millford

To: Dahlia's Limo Drivers

5 Crendon Street, London

Credit Note Number:

Date: 26 Mar 20X1

Purchase Order Number: PO 2351

Customer Account Number: SL210

Product Code	Description	Quantity	Unit Price ($)	Net Amount ($)
	Men's suit			
	Ladies' suit			

Reason for return:

Goods Total:

Less: Trade Discount 7%

Net Amount:

Sales Tax 20%

E&EO

Invoice Total:

**Please use the notes feature in the toolbar to help formulate your answer.*

1.5.2 Coding Links in Financial Documents

The sales invoice (Activity 4) and the credit note to Dahlia's Limo Drivers (Activity 6) contain related coding information.

These documents show the same customer account number (SL210) and original purchase order number (PO 2351). *Dahlia's Limo drivers*' invoice and credit note also have their unique codes: 62454 and CN 233. These are all codes to identify unique documents.

These codes will also be retained within RFashion's accounting system for direct reference in case any further analysis is required

2.1 Introduction to Credit Sales Accounting

A financial document accompanies each credit sale transaction.

- A credit sale is recorded in a **sales invoice**
- Any sales return is recorded in a **credit note**
- A remittance advice is evidence of receipt from a customer.

These credit sale transactions are then reflected in a business's accounting system by transferring information from the financial documents into the relevant credit sales ledger accounts using double entries.

3.2.2 Relevant Credit Sale Accounts

2.2 Relevant Credit Sale Accounts

A business uses double-entry bookkeeping to record credit sale transactions in the general ledger.

Credit sale transactions are recorded to relevant general ledger accounts below:

1) Trade receivables account (asset)

Receivables are amounts owed to a business by credit customers. In credit sales, customers are provided goods or services (sales), and payment is made in the future. At the point of sale, the customer owes the business an amount known as trade receivables.

2) Sales account (income)

A business makes a sale by providing customers with goods or services. The amount charged for the sale is recorded in the sales account.

3) Sales return account (expense)

Sales returns are goods returned to the business due to faulty delivery or product. When a customer returns goods, the amount returned is recorded in this sales return account.

4) Sales tax account (liability)

Tax authorities charge sales taxes on the sale of goods or services. A business will collect sales tax from the customer and pay the proceeds to the tax authorities.

At the point of sale, the business owes the sales tax amount to the tax authorities. Therefore, the amount is recorded in the sales tax liability account.

- Output tax is a tax charged on sales to customers. It is collected by the seller and subsequently paid to the tax authorities.
- Input tax is a tax charged on the purchase from suppliers. The supplier collects and subsequently pays the collected tax to the tax authorities.

5) Bank account (asset)

Customers should make payments to the business within the credit terms. The receipt from the customers is recorded in the bank account.

6) Individual customers' accounts

In addition to the entries to the general ledger, records must also be kept of each individual customer, so that the business knows how much each customer owes. Individual customer accounts are usually maintained outside of the general ledger, to avoid the general ledger becoming too cluttered. This means that all transactions that are posted to the trade receivables account in the general ledger must also be posted to the individual customers accounts. Since the individual customers' accounts are outside of the general ledger, there is no need for these postings to be in the form of a journal. Thus if an invoice of $1,000 is sent to Mrs Smith, the journal entry in the general ledger would be:

Dr: Trade receivables $1,000

Cr: Sales $1,000.

Then Mrs Smith's individual customer account will be debited by $1,000, but there will be no corresponding credit.

3.2.3 Credit Sale Transactions and Journal Entries

2.3 Credit Sale Transactions and Journal Entries

Each credit sale transaction is posted into the relevant ledger accounts. In the FA1 exam, it is assumed that a computerised sales system is used, which means that the transactions would be posted automatically. Below is a list of credit sale transactions and their associated journal entries.

2.3.1 Credit Sales

Information on credit sales is taken from the financial document: **sales invoice.** In a computerised accounting system, the transaction would be posted at the same time as the sales invoice is produced.

A credit sale arises from a sale to a customer for future payment. At the point of purchase, the customer owes the business the sale amount, which is classified as trade receivables.

In a typical credit sale, the following ledger accounts are affected.

- Trade Receivables Account
- Sales Account
- Sales Tax Account (if applicable)

The journal entries would be:

	Ledger Account	Category	Explanation
Dr.	Trade Receivables	Asset	Receivables (Asset) increased
Cr.	Sales	Income	Sales (Income) increased

The amount to be entered into these accounts is the net amount (price after trade discount)

For credit sales incorporating **sales tax**, the amount attributable to sales tax is recorded in the Sales Tax Account. The journal entry becomes:

	Ledger Account	Category	Explanation
Dr.	Trade Receivables	Asset	Receivables (Asset) increased
Cr.	Sales	Income	Sales (Income) increased
Cr.	Sales Tax	Liability	Taxes to authorities (Liability) increased

For credit sales with **settlement discounts**, the business will determine whether the customer is expected to take up the discount. If it is likely that the customer will take up the offer, the business will enter the amount inclusive of the settlement discount into the individual ledgers.

The settlement discount can be ignored if the customer is not likely to take up the offer.

2.3.2 Sale Returns

Information on sale returns is taken from the financial document: credit notes.

Sale returns are goods returned to the business by the customers due to an error on the business's part, such as delivering damaged or incorrect items. Credit notes are issued by the business to reduce the value of the previously issued sales invoice.

A sale return transaction will impact two ledger accounts. The Sales Tax account is also affected if the returned items are subject to sales tax.

- Sales Return account
- Trade Receivables account
- Sales Tax account (if applicable)

The journal entry would be:

	Ledger Account	Category	Explanation
Dr.	Sales Return	Expense	Sales Refunds (Expense) increased
Dr.	Sales Tax	Liability	Taxes to authorities (Liability) decreased
Cr.	Trade Receivables	Asset	Receivables (Asset) decreased

2.3.3 Receipts from Customers

Information on customer receipts is taken from the financial document: **remittance advice. Alternatively, it may be taken from bank statements or online banking records.**

At the end of the credit term, the customers should pay for the purchased items. When payment has been made, the customer no longer owes money to the business.

Payments made by customers will be recorded into two ledger accounts.

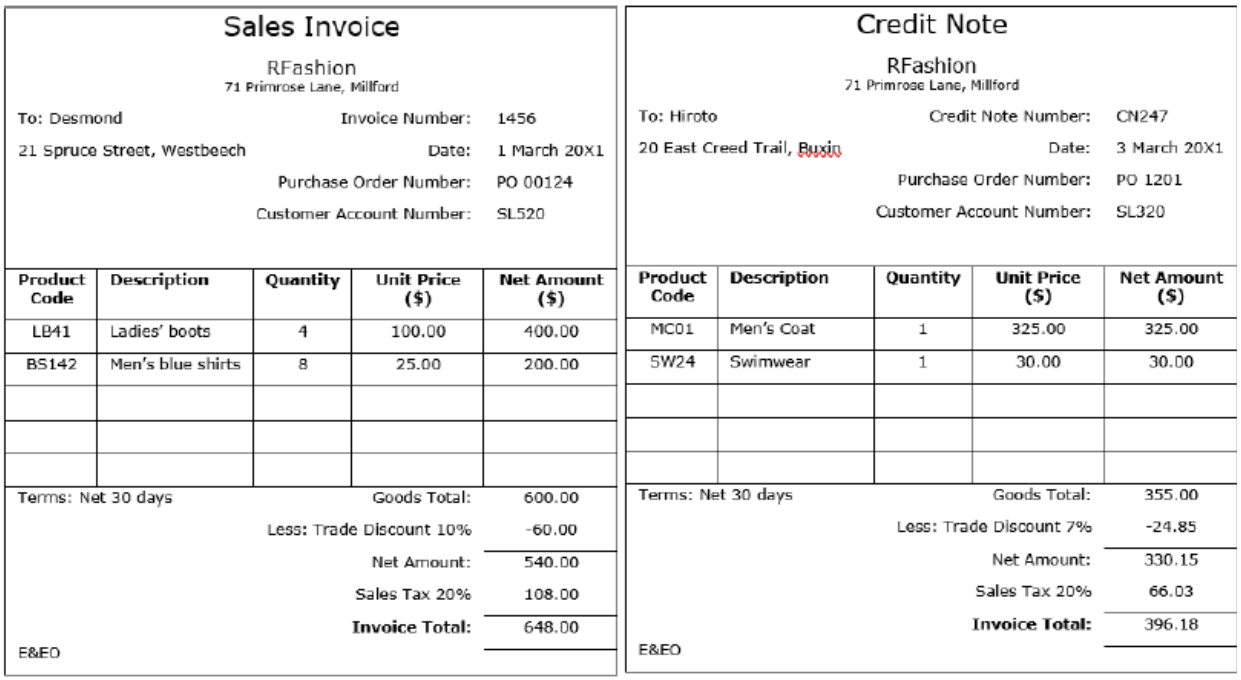
- Bank Account
- Trade Receivables Account

The journal entry would be:

	Ledger Account	Category	Explanation
Dr.	Bank/Cash	Asset	Bank/Cash (Asset) increased
Cr.	Trade Receivables	Asset	Receivables (Asset) decreased

Example 5

RFashion made a credit sale to Desmond and received sales return from Hiroto. Details of the transaction are shown in the sales invoice and credit note. Desmond made a payment of $648.00 on 3rd March 20X1.



Sales Invoice

RFashion
71 Primrose Lane, Millford

To: Desmond
21 Spruce Street, Westbeech

Invoice Number: 1456
Date: 1 March 20X1
Purchase Order Number: PO 00124
Customer Account Number: SL520

Product Code	Description	Quantity	Unit Price ($)	Net Amount ($)
LB41	Ladies' boots	4	100.00	400.00
BS142	Men's blue shirts	8	25.00	200.00

Terms: Net 30 days	Goods Total:	600.00
	Less: Trade Discount 10%	-60.00
	Net Amount:	540.00
	Sales Tax 20%	108.00
	Invoice Total:	648.00

E&EO

Credit Note

RFashion
71 Primrose Lane, Millford

To: Hiroto
20 East Creed Trail, Buxin

Credit Note Number: CN247
Date: 3 March 20X1
Purchase Order Number: PO 1201
Customer Account Number: SL320

Product Code	Description	Quantity	Unit Price ($)	Net Amount ($)
MC01	Men's Coat	1	325.00	325.00
SW24	Swimwear	1	30.00	30.00

Terms: Net 30 days	Goods Total:	355.00
	Less: Trade Discount 7%	-24.85
	Net Amount:	330.15
	Sales Tax 20%	66.03
	Invoice Total:	396.18

E&EO

What are the journal entries for each transaction and their impact on the ledger accounts?

Answer:

There are three transactions in the scenario provided:

1. Credit Sales to Desmond

The journal entry to account for the credit sale is to debit the total amount to the Trade Receivables Account since the receivables asset has increased.

The sales tax portion is credited to the Sales Tax account as a sales tax liability has arisen. Lastly, the Sales account is credited to record the increased income.

Dr. Trade Receivables $648.00

Cr. Sales $540.00

Example 5

Cr.	Sales Tax	$108.00

2. Sales Return from Hiroto

The journal entry to account for the sales return is to debit the Sales Return account since sales returns (expense) have increased. The sales tax portion is also debited to the Sales Tax account to account for the decreased sales tax liability.

Trade Receivables account is credited by the total amount since receivables (asset) decreased.

Dr.	Sales Return	$330.15
Dr.	Sales Tax	$66.03
Cr.	Trade Receivables	$396.18

3. Payment Receipt from Desmond

The payment receipt from Desmond causes an increase in the Bank account and decreases the Trade Receivables account as Desmond does not owe RFashion the amount anymore.

The double entry is to debit the Bank account as assets have increased and credit the Trade Receivables account since trade receivables asset has decreased. The journal entry is:

Dr.	Bank	$648.00
Cr.	Trade Receivables	$648.00

The impact of these journal entries on the individual ledger accounts is shown in the below T-Accounts:

Dr.	**Trade Receivables (Asset)**				Cr.
01-Mar-X1	Sales from Desmond	$648.00	03-Mar-X1	Sales Return from Hiroto	$396.18
			03-Mar-X1	Receipt from Desmond	$648.00

Dr.	**Sales Tax (Liability)**				Cr.
03-Mar-X1	Sales Return from Hiroto	$66.03	01-Mar-X1	Credit Sales from Desmond	$108.00

Example 5

Dr.	Sales (Income)			Cr.
		01-Mar-X1	Credit Sales from Desmond	$540.00

Dr.	Sales Return (Expense)		Cr.
03-Mar-X1	Sales Return from Hiroto	$330.15	

Dr.	Bank (Asset)			Cr.
03-Mar-X1	Receipt from Desmond	$648.00		

Activity 7

In a week, *RFashion* has the following transactions:

1. Three credit sales. The details of the sales invoices are as follows:

Customer Name:	**Husna**	**Alan**	**Imena**
Account Number:	SL410	SL632	SL098
Invoice Number:	64512	64513	64514
Date:	1 April 20X1	3 April 20X1	4 April 20X1
Goods Total (before Trade Discount)	$240.00	$6,500.00	$4,777
Trade Discount:	N/A	8%	10%
Sales Tax:	N/A	N/A	20%

2. Husna is expected to take up a settlement discount of 5%.

3. Two sales returns. The details on the credit notes are as follows:

Customer Name:	**Alan**	**Imena**
Credit Note Number:	CN451	CN233
Date:	5 April 20X1	6 April 20X1
Total Net Goods:	$500.00	$1,200.50

4. One payment receipt. Husna took up the settlement discount and paid the balance she owed of $228.00 on 7 April 20X1.

What are the journal entries for each transaction and their impact on the individual ledger accounts?

**Please use the notes feature in the toolbar to help formulate your answer.*

3.2.4 Computerised Accounting System

2.4 Computerised Accounting System

In a computerised accounting system, the sales system is usually integrated with the accounting system. As sales transactions occur, the general ledger accounts and the individual customer account are updated automatically. In the FA1 exam it will always be assumed that the business is using a computerised accounting system that includes sales.

For example, when a business raises a sales invoice to customer ABC Ltd, the general ledger accounts (Trade receivables and Sales) and the individual customer account (ABC Ltd) are updated simultaneously.



2.4.1 Receivables Reconciliation

Since the same transaction information is used to update the Trade receivables ledger account and the individual customer account, there is no need to perform reconciliations between their balances.

2.5 Individual Customer Account

As the sales transaction occurs, the individual customer account is updated. The general Trade Receivables ledger account summarises the total receivable amount in a period. Therefore, the business cannot analyse the balance owed by each customer.

To identify each customer's balance, the business looks into the **individual customer account**. This account will provide information such as:

- Amount the customer owes
- Invoices the customer paid
- Invoices are still outstanding from the customer

Example 6

In a week, Stella (customer number SL 496) had the following transactions with *RFashion*:

- Made a credit sale of $200.00 on 1 April 20X1. There is no sales tax. The sales invoice number is 1829.

Example 6

- Returned goods worth $56.50 due to incorrect sizing on 4 April 20X1. The credit note issued is CN252.
- Made payment via bank transfer of $143.50 on 7 April 20X1. Remittance advice provided has serial number 00456.

What is the impact of these transactions on the general ledger accounts and the individual customer account?

Answer:

The impact of the transactions on the general ledger accounts:

Trade Receivables (Asset)

Dr.			Cr.		
01-Apr-X1	Credit Sales from Stella	$200.00	04-Apr-X1	Sales Return from Stella	$56.50
			07-Apr-X1	Receipt from Stella	$143.50

Sales (Income)

Dr.			Cr.
	01-Apr-X1	Credit Sales from Stella	$200.00

Sales Return (Expense)

Dr.			Cr.		
04-Apr-X1	Sales Return from Stella	$56.50			

Bank (Asset)

Dr.			Cr.
07-Apr-X1	Receipt from Stella	$143.50	

The impact of the transactions on the individual customer account:

Stella SL 496

Example 6

Date	Narrative	Document Number	$
1 April 20X1	Sales Invoice	1829	200.00
4 April 20X1	Sales Return	CN252	−56.50
7 April 20X1	Receipt	00456	−143.50
			0

From Stella's individual customer account, RFashion can identify the balance owed by Stella at any point in time. In this case, Stella has no outstanding balance with RFashion on 7 April 20X1.

2.5.1 Customer Statement Accounts

The customer account statement is a **financial document** sent from the business to the customer at the end of the month detailing transactions between seller and customer. The transactions include sales, credit received, and customer payments.

The main objective of sending customer statements is to remind the credit customer of outstanding balances not paid yet.

A Customer Account Statement will contain the following:

- **Balance brought down (b/d)** – This is the unpaid balance from the previous month (the amount the customer owes at the start of the month).
- **Invoice issued** during the month – Details include invoice number, date, and amount issued.
- **Credit note** issued during the month – Details include credit note number, date, and amount issued.
- **Payment** made – Details to include are payment amount and payment date
- **Net total** – This refers to the balance owed by the customer at the end of the month.

Example 7

Earlier in this lesson, *RFashion* gave *Ocean View Restaurant* a trade discount and prepared an invoice for $1,184.40 *(Example 2).*

Example 7

RFashion also prepared a credit note for $236.88 because one of the suits was damaged *(Example 4)*.

Other details are as follows:

- *Ocean View Restaurant*'s statement shows an opening balance b/d of $1,410.35
- *RFashion* received a payment from them on 5 March for $1,410.35

The completed statement for *Ocean View Restaurant* is as follows:

Statement of Account

RFashion
71 Primrose Lane, Millford

To: Ocean View Restaurant
45 Durham Road, Greenfield

Account Number: SL114
Date: 31 March 20X1

Date	Details	Debit ($)	Credit ($)	Balance ($)
01-Mar	Balance b/d	1,410.35		1,410.35
05-Mar	Payment received		1,410.35	-
23-Mar	Invoice 62453	1,184.00		1,184.00
26-Mar	Credit Note CN451		236.88	947.12
			Total:	947.12

- **Header** - Name and address of Company.
- **Recipient (To)** - Name and address of the customer
- **Account Number** - The unique account number for *Ocean View Restaurant* in *RFashion's* records
- **Date -** The date the invoice was prepared
- **Date (Column) –** The date each transaction took place. Transactions should always be listed in date order.

Example 7

- **Details –** The details of each transaction. It should state an invoice, credit note or payment received.
- **Debit -** A debit entry increases the amount the customer owes. Balances b/d and Invoices will appear in the Debit column.
    - Balance b/d may sometimes appear in the Credit column. This could be due to overpayment by customers in the previous month.
- **Credit -** A credit entry reduces the amount owed by the customer. Payments received and credit notes will appear in this column.
- **Balance –** The balance column is a running total.
- **Total –** The total amount figure is taken from the final balance amount. This refers to the balance owed by the customer at the end of the month.

Activity 8

In the following activity, complete the customer statement account for *Dahlia's Limo Drivers* using the information provided below.

- Dahlia has a balance brought down on 1 April of $740.21
- *RFashion* sent a credit note (CN460) for $66.00 on 4 April
- *RFashion* received $674.21 on 12 April and issued an invoice (number 62521) for $410.63 on 13 April.

Statement of Account

RFashion

71 Primrose Lane, Millford

To: Dahlia's Limo Drivers

5 Crendon Street, London

Account Number: SL210

Date: 30 April 20X1

Date	Details	Debit ($)	Credit ($)	Balance ($)
			Total:	

**Please use the notes feature in the toolbar to help formulate your answer.*

3.3.1 Remittance Advice

3.1 Remittance Advice

A remittance advice is a financial document sent by the customer when payment is made. The remittance advice shows how much the customer has paid and which invoice the amount relates to.

Businesses may provide pre-completed remittance advice to the customer, which will be completed and sent back by the customer with successful payment. Examples of remittance advice can be found in Appendix 1.

3.3.2 Customer Payments Reconciliation

3.2 Customer Payments Reconciliation

To identify if customers have paid the correct amount, businesses need to reconcile the amount paid in the **remittance advice** and the amount noted in the **sales invoice** and **credit notes**.

The sales invoice will stipulate the terms agreed with the customer. The terms include:

- number of days allowed before the customer must pay
- terms for a settlement discount are allowed

Example 8

On 23rd March 20X1, *RFashion* sent an invoice to Ocean View Restaurant. Ocean View Restaurant, the customer, has two options:

- Option 1 is to pay within seven days and take the settlement discount
- Option 2 is to pay after seven days, and settlement discount is not taken up

Example 8

Sales invoice

RFashion, 71 Primrose Lane, Millford

To: Ocean View Restaurant

Invoice number: 62453
Date: 23/March/X1
Purchase order number: PO 1253
Account number: SL 114

Product code	Description	Quantity	Unit price $	Net amount $
MS011	Men's suit	5	299.00	1,495.00

Terms: 5% 7 days, net 30 days	Goods total	1,495.00
	Less trade discount 10%	149.50
E&OE	Net goods total	1,345.50
	Invoice total	1,345.50

Option 1 – Claim Settlement Discount

Ocean View Restaurant has to pay within seven days from the invoice date (i.e. 30th March 20X1) to claim the settlement discount. The discount is 5% of the net price.

Settlement discount: $1,345.50 x 5% = $67.28

Net price after discount: $1,345.50 − $67.28 = **$1,278.22**

** Note: In FA1, sales tax is not examinable together with settlement discounts.*

Option 2 - Pay after seven days

Example 8

If Ocean View Restaurant paid more than seven days after the invoice date, they are not entitled to the 5% settlement discount.

Ocean View Restaurant should then pay the total amount: **$1,345.50**

Actual Payment by *Ocean View Restaurant*

REMITTANCE ADVICE

Ocean View Restaurant, 45 Durham Road, Greenfield

Date: 29/March/20X1
Account number: RF769

To:
RFashion
71 Primrose Lane
Millford

DATE	DETAILS	INVOICES $	CREDIT NOTES $	AMOUNT $
23/Mar/20X1	Invoice 62453	$1,278.22		$1,278.22 (TC: 44857)
TOTAL PAYMENT AMOUNT				$1,278.22

Example 8

In the remittance advice, Ocean View Restaurant chose to make payment on the 29th of March via direct transfer (transaction code 44857). Therefore, they took advantage of the settlement discount. The amount has been correctly paid to RFashion.

GRB BANK	
RECEIPT	
Reference Number	44857
Transfer to	RFashion
Account type	Current
Account number	XXXXXX1173
Amount $	1,278.22
Transaction date	29 March 20X1
Details	For invoice 24553
This is a computer-generated receipt. No signature is required.	

The amount in the remittance advice should also be matched to the payment slip accompanying the remittance advice and checked to Rfashion's bank statement.

The payment received is for $1,278.22 and is the same as the remittance advice.

Activity 9

Compare the sales invoice sent out by RFashion and the remittance advice received and decide if the customer has paid the correct amount.

Sales Invoice:

RFashion, 71 Primrose Lane, Millford

To:

Dahlia's Limo Drivers

5 Crendon Street,

London

Invoice number: 41574

Date: 04 Apr 20X1

Purchase order number: PO 632

Account number: SL 214

Product code	Description	Quantity	Unit prices	Net amounts
MH07	Men's hat	2	136.00	272.00
LH07	Ladies' hat	4	75.50	302.00
Terms: 2% 14 days, net 30 days		Goods total		574.00
E&OE		Less trade discount 6%		34.44
		Net goods total		539.56
		Sales tax at 20%		107.91
		Invoice total		647.47

Remittance Advice:

Dahlia's Limo Drivers, 5 Crendon Street, London

To:

RFashion

71 Primrose Lane,

Millford

Date: 30 April 20X1

Account number: RF 214

Date	Details	Invoices $	Credit notes $	Payment amount $
04 Apr 20X1	Invoice 41574	647.47		647.47
TOTAL PAYMENT AMOUNT				647.47

**Please use the notes feature in the toolbar to help formulate your answer.*

?

4.1 What are Irrecoverable Debts?

Definition

Irrecoverable debts are receivables that a customers cannot pay so need to be written off to the Irrecoverable Debt expense.

Customers may be unable to pay for various reasons such as:

- Customers facing financial difficulties
- Customer is bankrupt
- Customer has fraudulent intentions

Writing off a debt means that the debt is removed from the customer's individual account. The business does not believe that the debt will ever be paid, so its value is zero. In the General Ledger, the debt is removed by crediting trade receivables. A corresponding debit is made in the Irrecoverable Debt expense ledger, recognising the cost of the bad debt.

In cases where a customer pays part of the amount owed, only the remaining unpaid portion is written off to the Irrecoverable Debt expense ledger account.

Rate Your Confidence

3.4.2 Allowance for Irrecoverable Debt

4.2 Allowance for Irrecoverable Debts

Definition

Allowance for irrecoverable debts is an estimate of the value of receivables that will not be recovered. The allowance is netted off against the trade receivables balance in the statement of financial position so that the net trade receivables includes only the amount that the business expects to recover.

When there is uncertainty about whether a debt will be paid, but the company does not wish to write it off, because they wish to continue trying to collect the debt, then the value of that debt is added to the **allowance for irrecoverable debts**. However, the individual debts remain in the customer balances until the customer pays, or the debt is finally written off. Irrecoverable debts that have been written off are not included in the allowance for irrecoverable debts.

The total allowance for irrecoverable debts is the sum of the specific allowances. At the end of the year, the allowance for irrecoverable debts is deducted from the value of trade receivables in the Statement of Financial Position.

3.4.3 Accounting for Irrecoverable Debt

4.3 Accounting for Irrecoverable Debts

A business writes off irrecoverable debt to remove the amount owed to the business in the Trade Receivables Account. If the irrecoverable debt is not written off, the irrecoverable amount will continue to remain as receivables (asset) of the business, although the money will never be received.

Businesses must regularly review their outstanding invoices to determine their recoverability. Businesses should cease trading goods or services for customers who do not pay.

4.3.1 Writing off Irrecoverable Debts

When it becomes clear that a debt will not be recovered, it should be written off. This is done by **crediting the Trade Receivables account**, and removing the debt from the customers account. **The Irrecoverable Debt expense account** (Bad Debts expense account) is debited by the same amount.

The journal entry to write off an irrecoverable debt is:

	Individual Account	Category	Explanation
Dr.	Irrecoverable debt	Expense	Irrecoverable debt is treated as an increase in expenses
Cr.	Trade receivables	Asset	Receivables (asset) decreased

All balances are also removed from the individual customer account.

4.3.2 Allowance for Irrecoverable Debts

An allowance for Irrecoverable Debts is calculated at the end of each reporting period. Assuming there is no allowance brought forward from previous years, the journal entry is:

Individual Account	Category	Explanation
Dr. Irrecoverable Debts	Expense	Irrecoverable debts (expense) increases
Cr. Allowance for Receivables	Asset	Receivables (asset) decreases

If there was already an allowance for **Irrecoverable Debts brought forward** from the previous reporting date, then the **difference between the new allowance and the brought forward allowance** is calculated. The **value of the debit to the irrecoverable debt expense** and the **credit to the allowance for irrecoverable debts** is equal to the increase in the allowance for receivables.

If the allowance for irrecoverable debts at the end of the reporting period **is less than the value brought forward** from the previous period, then **the difference is credited to the irrecoverable debts expense account, and debited to the allowance for irrecoverable debts.** A credit to the expense account means that a negative expense will arise.

Example 8

1. A customer, Sakura, has been declared bankrupt. She owed *RFashion* $7,845.36 on 1 April 20X1. The debt should be written off. The journal entries to be posted into the relevant ledger accounts are:

   Dr. Irrecoverable debt (expense) $7,845.36

   Cr. Trade receivables (asset) $7,845.36

2. Another customer, Bakura owes $780. Bakura is in financial difficulties. It is agreed that Bakura will pay only $0.20 for every $1.00 she owes on 14 December 20X1. The remaining balance will be written off. How much should be written off, and what are the journal entries for posting into the ledger accounts?

Answer:

Bakura can pay: $780 x $0.20 = $156

Irrecoverable Debt: $780 − $156 = $624

Two transactions occur.

Example 8

Receipt payment from Bakura

Bank (Asset) increased, and Receivables (Asset) decreased. Journal entry is:

Dr.	Bank (asset)	$156
Cr.	Trade Receivables (asset)	$156

Write off of remaining expense

Irrecoverable Debt (expense) increased, and Receivables (asset) decreased. Journal entry is:

Dr.	Irrecoverable Debt (Expense)	$624
Cr.	Trade Receivables (Asset)	$624

The individual customer account of Bakura will show a credit of $624 to bring the balance to zero.

Bakura SL 485

Date	**Narrative**	**Document Number**	**$**
1 April 20X1	Sales Invoice	1835	780.00
14 Dec 20X1	Receipt	00224	−156.00
14 Dec 20X1	Irrecoverable Debt	N/A	−624.00
			0

Syllabus Coverage

This chapter covers the following Learning Outcomes.

A. Types of Business Transactions and Documentation

1. **Types of business transaction**

1. Define types of discounts including, where applicable, the effect that trade discounts have on sales tax.

2. **Types of business documentation**

1. Prepare the financial documents to be sent to credit customers, including:

i) Sales invoices

ii) Credit notes

iii) Statements of account

3. **Process of recording business transactions within the accounting system**

1. Code sales invoices, supplier invoices and credit notes ready for entry into the accounting system.

E. General ledger accounts

1. **Prepare general ledger accounts**

1. Prepare general ledger accounts, clearly showing the balances brought forward and carried forward as appropriate.

G. Sales and credit transactions

1. **Recording sales, customer account balances and trade receivables**

1. Record sales transactions taking into account:

i) Various types of discounts

ii) Sales tax

iii) The impact on the sales tax ledger account where applicable.

2. Enter sales invoices and credit notes issued to customers into the accounting system.

3. Prepare the trade receivables general ledger account by accounting for:

i) Sales

ii) Sales returns

iii) Receipts from customers including checking the accuracy and validity of receipts against relevant supporting information

iv) Discounts

4. Prepare entries in the accounting system to record cash sales, credit sales and receipts from customers.
5. Account for irrecoverable debts and allowances for irrecoverable debts.

3 Summary and Quiz

Summary and Quiz

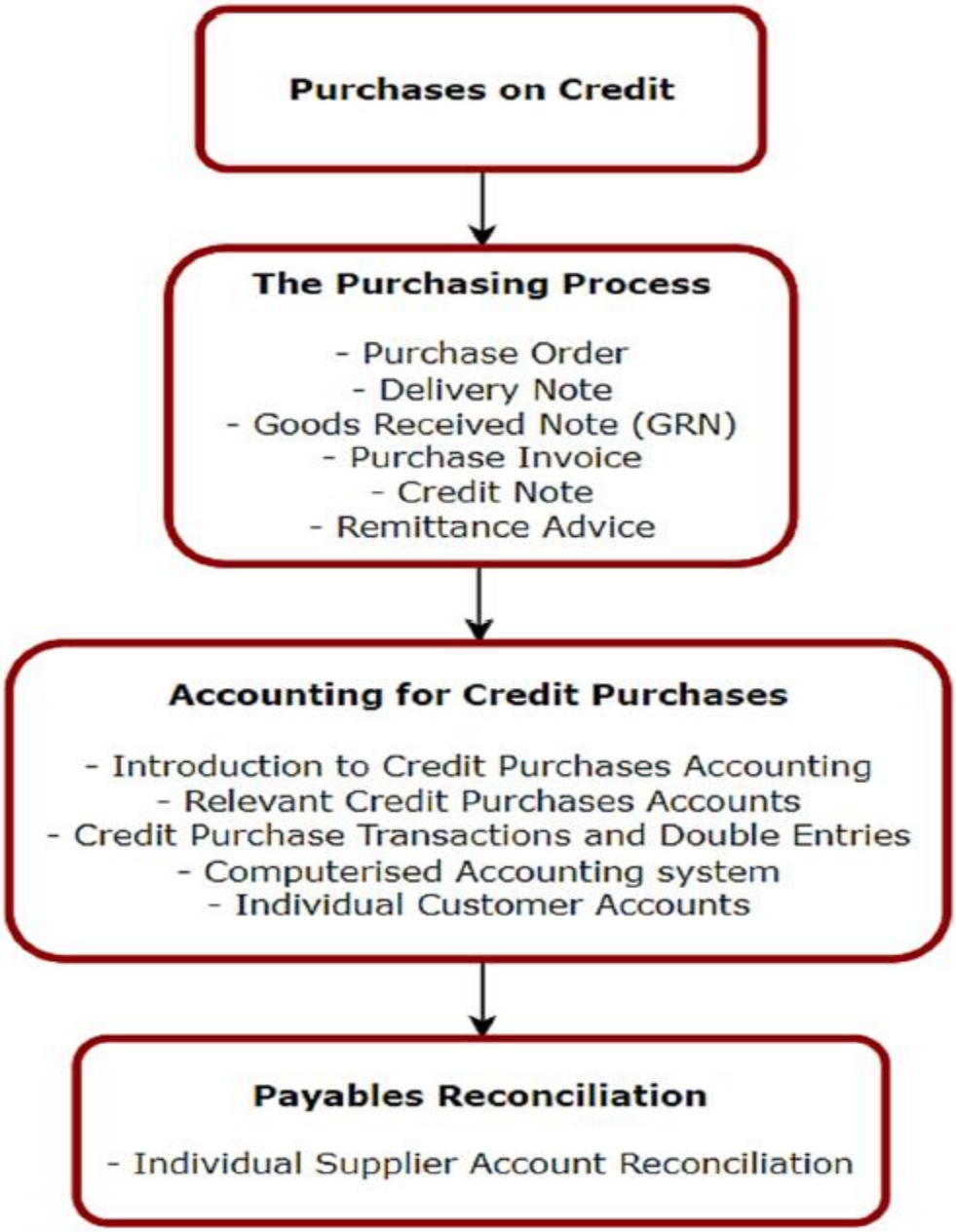
- A sale invoice is a financial document sent from a business to the customer, highlighting details of the sale transaction.
- Tax authorities or governments impose sales taxes. A percentage of sales tax is charged on goods and services sold.
- Sales tax can be divided into output tax or input tax.
- Output tax is a tax charged on sales to customers. It is collected by the seller and subsequently paid to the tax authorities.
- Input tax is a tax charged on the purchase from suppliers. It is collected by the supplier and subsequently paid to the tax authorities.
- Input tax can be reclaimed from the tax authorities for registered businesses.
- A trade discount reduces the cost of goods or services bought or sold.

A settlement discount or prompt payment discount is a discount offered to customers or given by suppliers for prompt payment.

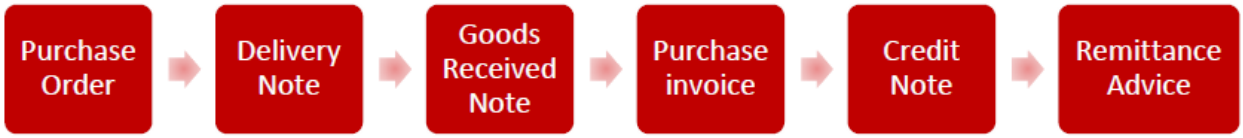
- A credit note is a financial document issued to customers from a business due to problems with goods delivered. The credit note will reduce the value of an invoice previously issued.
- Relevant credit sales ledger accounts are:
- Trade receivables account (asset)
- Sales account (income)
- Sales return account (expense)
- Sales tax account (liability)

- Bank account (asset)
- The customer account statement is a financial document sent from the business to the customer at the end of the month detailing transactions between seller and customer. The transactions include sales, credit received, and customer payments.

CHAPTER 4: Visual Overview



4.1 The Purchasing Process



4.1.1 Purchase Order

1.1 Purchase Order

A purchase order is a document completed by the customer and sent to the supplier highlighting items the customer wishes to order. It shows the customer's commitment to buy the items at the agreed price.

4.1.2 Delivery Note

1.2 Delivery Note

A delivery note is a document that accompanies the delivered goods. It shows details, and the amount of each item bought.

The supplier uses a delivery note to verify that the correct goods are being packed before sending. The delivery note is then **signed by the customer** when delivered to confirm the **proof of delivery**.

4.1.3 Goods Received Note (GRN)

1.3 Goods Received Note (GRN)

A goods received note (GRN) is an internal document completed by the customer to ensure that all items ordered have been received.

The goods received are compared to the delivery note and recorded in the GRN.

4.1.4 Purchase Invoice

1.4 Purchase Invoice

Definition

A **purchase invoice** is an invoice from a supplier from which the business bought goods or services on credit.

It is a purchase invoice when a business receives an invoice from a supplier for goods purchased. From the supplier's point of view, it is a sales invoice.

The purchase invoices detail the items bought, such as:

- the purchased amount
- the units bought
- the length of the credit terms (for example, 30 days)
- the purchase invoice’s unique number code

The customer compares the received invoice to the purchase order, the delivery note, and the goods received note to confirm that the correct number of items and **price** have been included in the purchase invoice.

1.4.1 Input Sales Tax

Input tax is a tax charged on purchases from suppliers. The supplier collects and subsequently pays the sales tax to the tax authorities.

Input tax can be **reclaimed** from the tax authorities for registered businesses. Therefore, the input sales tax amount is categorised as a current asset at the point of purchase.

1.4.2 Trade and Settlement Discounts

A credit purchase from a supplier can include trade and settlement discounts similar to credit sales.

- Trade discounts are given by sellers, usually as an incentive to order in bulk. Trade discounts are a part of the net price.
- Settlement discounts are given for prompt payments.

The business will decide whether to take up the prompt payment discount or make payments according to the credit terms.

Settlement discounts received (customer perspective) are accounted for as income (Discounts Received ledger accounts).

Exam advice

FA1 expects calculations of an invoice's settlement discount or sales tax.

There will not be a question where both will apply simultaneously

4.1.5 Credit Note

1.5 Credit Note

A credit note is a document issued to customers from the seller due to faulty goods delivered or incorrect invoices sent. The credit note will **reduce the value of an invoice** previously issued.

4.1.6 Remittance Advice

1.6 Remittance Advice

Remittance advice is a document sent by the customer to the supplier to show that payment has been made.

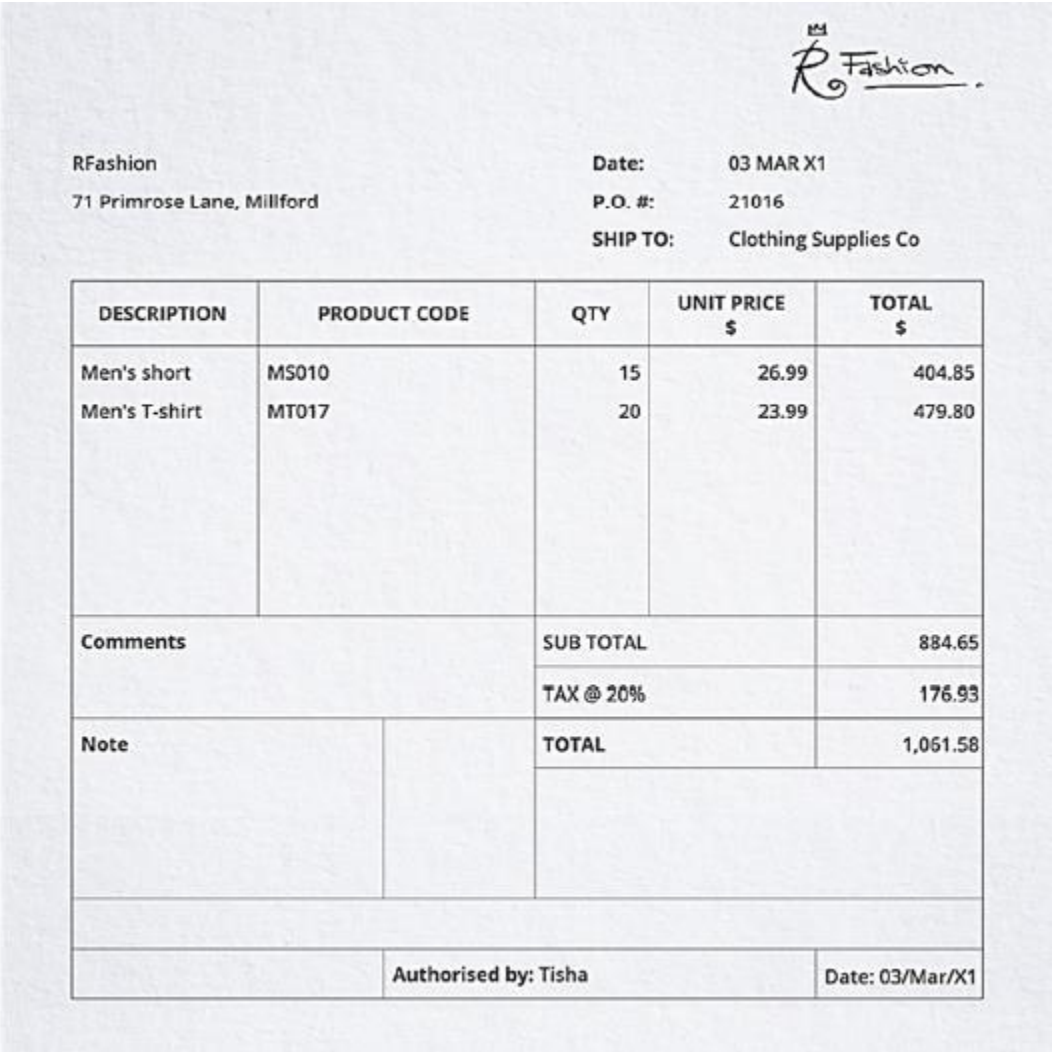
At the end of the period, the outstanding balances for each supplier account are paid with cash, cheque, or bank transfer. Remittance advice is generated and sent to the supplier upon successful payment as supporting documentation.

Example 1

RFashion bought 15 pairs of shorts and 20 t-shirts from Clothing Supplies Co. to sell to customers. Clothing Supplies Co. offers an 8% trade discount as RFashion bought more than 10 items. Sales tax is 20%.

1. RFashion sends Clothing Supplies Co. a purchase order showing details of items it wishes to buy.

Example 1



RFashion

71 Primrose Lane, Millford

Date: 03 MAR X1

P.O. #: 21016

SHIP TO: Clothing Supplies Co

DESCRIPTION	PRODUCT CODE	QTY	UNIT PRICE $	TOTAL $
Men's short	MS010	15	26.99	404.85
Men's T-shirt	MT017	20	23.99	479.80
Comments			SUB TOTAL	884.65
			TAX @ 20%	176.93
Note			TOTAL	1,061.58
	Authorised by: Tisha			Date: 03/Mar/X1

2. Clothing Supplies Co. sends a delivery note together with the delivered goods to RFashion.

RFashion reviews the items received and signs the delivery note to confirm correct items have been delivered. A document copy is returned to the seller as proof of delivery.

Example 1

Clothing Supplies Co
62 Clay Street, Beechwood

DELIVERY NOTE
[56891]

INVOICE TO	DELIVER TO (if delivered)
RFashion 71 Primrose Lane, Millford	

INVOICE NO	ORDER DATE	ORDER NO	ORDERED BY	DEL DATE
INV 10244	03 Mar X1	21016	TA	05 Mar X1

NO	QTY ORD	QTY DEL	PRODUCT DESCRIPTION
1	15	14	Men's short
2	20	20	Men's T-shirt
3			
4			
5			
6			
7			

Customer signature: Tisha

Print name: Tisha

Date: 05/Mar/X1

3. RFashion raises a goods received note (GRN) to ensure all items ordered have been correctly delivered. The GRN is used within the organisation.

Example 1

R Fashion.

71 Primrose Lane, Millford

GOODS RECEIVED NOTE

GRN No. 8910
Dated: 05 Mar X1

Supplier: Clothing Supplies Co
Delivery Note No.: 56891
Order Number: 21016

Supplier's address: 62 Clay Street, Beechwood

Code	Item description	Qty Ordered	Qty Received
MS010	Men's short	15	14
MT011	Men's T-shirt	20	20

Comment on condition of goods received:
Received 14 pairs of men's shorts instead of 15

Goods received by: Name: Tisha Signature Tisha

Original copy-attach to Invoice 2nd copy- Accounts 3rd Copy- Book Copy

4. Upon successful delivery, Clothing Supplies Co. sends RFashion a purchase invoice.

RFashion compares the details in the purchase invoice to the purchase order, the GRN and the delivery note to confirm that the correct number and price of units are delivered.

Example 1

Clothing Supplies Co

Purchase invoice from Clothing Supplies Co (62 Clay Street, Beechwood)

RFashion
71 Primrose Lane, Millford

Invoice number: INV 10244
Date: 5 Mar X1
Your reference: PO 21016
Account number: HG012

Product code	Description	Quantity	Unit price $	Net amount $
MS010	Men's shorts	15	26.99	404.85
MT011	Men's T-shirt	25	23.99	599.75
Terms: Net 30 days			Goods total	1004.60
			Less trade discount 8%	80.37
E&OE			Net goods total	924.23
			Sales tax at 20%	184.85
			Invoice total	1,109.08

Example 2

Compare the purchase invoice received from Clothing Supplies Co. with the purchase order, delivery note and the goods received note and list any errors found in the purchase invoice.

Example 2

Purchase invoice

Clothing Supplies Co

Purchase invoice from Clothing Supplies Co (62 Clay Street, Beechwood)

RFashion
71 Primrose Lane, Millford

Invoice number: INV 10244
Date: 5 Mar X1
Your reference: PO 21016
Account number: HG012

Product code	Description	Quantity	Unit price $	Net amount $
MS010	Men's shorts	15	26.99	404.85
MT011	Men's T-shirt	25	23.99	599.75
Terms: Net 30 days			Goods total	1004.60
			Less trade discount 8%	80.37
E&OE			Net goods total	924.23
			Sales tax at 20%	184.85
			Invoice total	1109.08

Purchase Order

RFashion

RFashion
71 Primrose Lane, Millford

Date: 03 MAR X1
P.O. #: 21016
SHIP TO: Clothing Supplies Co

DESCRIPTION	PRODUCT CODE	QTY	UNIT PRICE $	TOTAL $
Men's short	MS010	15	26.99	404.85
Men's T-shirt	MT017	20	23.99	479.80
Comments			SUB TOTAL	884.65
			TAX @ 20%	176.93
Note			TOTAL	1,061.58
	Authorised by: Tisha			Date: 03/Mar/X1

Delivery Note

Clothing Supplies Co
62 Clay Street, Beechwood

DELIVERY NOTE
[56891]

INVOICE TO
RFashion
71 Primrose Lane, Millford

DELIVER TO (if delivered)

INVOICE NO	ORDER DATE	ORDER NO	ORDERED BY	DEL DATE
INV 10244	03 Mar X1	21016	TA	05 Mar X1

NO	QTY ORD	QTY DEL	PRODUCT DESCRIPTION
1	15	14	Men's short
2	20	20	Men's T-shirt
3			
4			
5			
6			
7			

Customer signature: Tisha
Print name: Tisha
Date: 05/Mar/X1

Goods Received Note

RFashion
71 Primrose Lane, Millford

GOODS RECEIVED NOTE

GRN No. 8910
Dated: 05 Mar X1

Supplier: Clothing Supplies Co
Delivery Note No.: 56891
Order Number: 21016

Supplier's address: 62 Clay Street, Beechwood

Code	Item description	Qty Ordered	Qty Received
MS010	Men's short	15	14
MT011	Men's T-shirt	20	20

Comment on condition of goods received:
Received 14 pairs of men's shorts instead of 15

Goods received by: Name: Tisha Signature: Tisha

Original copy-attach to Invoice 2nd copy- Accounts 3rd Copy- Book Copy

ANSWER:

There are 3 errors in the purchase invoice:

1. The wrong product code for men's T-shirts.

Example 2

2. The wrong quantity of men's shorts: RFashion ordered 15 and received only 14, but the purchase invoice is for 15 units.
3. The wrong quantity of men's t-shirts: RFashion ordered 20, but the business has been invoiced for 25.

RFashion will notify Clothing Supplies Co. of these errors. Clothing Supplies Co. will issue a credit note for this invoice and re-issue a correct purchase invoice.

4.2.1 Introduction to Credit Purchases Accounting

2.1 Introduction to Credit Purchases Accounting

A financial document accompanies each credit purchase transaction

- Credit purchases are recorded in a **purchase invoice**
- Any purchase return is recorded in a **credit note**
- A **remittance advice** evidences payment to a supplier

These credit purchase transactions are then reflected in a business's accounting system by transferring information from the financial documents into the relevant Credit Purchases ledger accounts using double entries.

4.2.2 Relevant Credit Purchases Account

2.2 Relevant Credit Purchases Account

A business uses double-entry bookkeeping to record credit purchase transactions in the general ledger. In the FA1 exam, it is assumed that businesses are using computerised purchasing systems that post the transactions to the appropriate accounts.

Credit purchase transactions are recorded to relevant ledger accounts below:

1) Trade Payables account (Liability)

Payables are amounts owed to a seller for credit purchases. In credit purchases, a business purchases goods or services for payments made in the future. At the point of purchase, the business owes the seller an amount known as Trade Payables.

2) Purchase account (Expenses)

A business purchases by buying goods or services from a supplier. The amount charged for the purchase is recorded in the Purchase Account.

3) Purchase Return account (Income)

Purchase returns are goods returned to the supplier due to faulty delivery or product. When a business returns goods, the amount returned is recorded in this Purchase Return account.

4) Sales Tax account (Asset)

Tax authorities charge sales taxes on the sale of goods or services. The business is charged a sales tax for the purchases.

The sales tax can be reclaimed from the tax authorities. At the point of purchase, the tax authority owes the business the sales tax amount. Therefore, the amount is recorded in the Sales Tax asset account.

The Sales Tax account will have debit balances due to input sales tax (Purchases) and credit balances due to output sales tax (Sales). At the end of the period, these two entries are net off, and the business identifies whether the account is an asset (debit) or liability (credit) position.

5) Bank Account (Asset)

Businesses make payments to the seller for outstanding balances within the credit terms and record them in the Bank account.

4.2.3 Credit Purchase Transactions and Double Entries

2.3 Credit Purchase Transactions and Double Entries

Each credit purchase transaction is posted into the relevant ledger accounts. Below is a list of credit purchase transactions and their associated journal entries.

2.3.1 Credit Purchases

Information on credit purchases is taken from the financial document: Purchase invoice

A credit purchase arises when a business purchases goods or services from suppliers for future payment. At the point of purchase, the business owes money to the seller. The amount owed is classified as Trade Payables.

In a typical credit purchase, two ledger accounts are affected.

- Purchases Account
- Trade Payables Account

The journal entry, which would be posted automatically by the system when an invoice is entered into the system is:

	Account	Category	Explanation
Dr.	Purchases	Expense	Purchases (expense) increased
Cr.	Trade payables	Liability	Payables (liability) increased

The amount to be entered into these accounts is the net amount (price after trade discount).

For credit purchases incorporating **sales tax**, the amount attributable to sales tax is recorded in the Sales Tax account.

	Account	Category	Explanation
Dr.	Purchases	Expense	Purchases (expense) increased
Dr.	Sales tax	Asset	Refunds from tax authorities (asset) increased
Cr.	Trade payables	Liability	Payables (liability) increased

2.3.2 Purchase Returns

Information on purchase returns is taken from the financial document: credit notes

Purchase returns are goods returned to the seller by the business due to an error, such as delivering damaged or incorrect items. The seller issues credit notes to reduce the value of the previously issued purchase invoice.

A purchase return transaction will impact two ledger accounts. The Sales tax account is also affected if the returned items are subject to sales tax.

- Trade payables account
- Purchase return account
- Sales tax (if any)

	Account	Category	Explanation
Dr.	Trade payables	Liability	Payables (liability) decreased
Cr.	Purchase return	Income	Purchase refunds (income) increased
Cr.	Sales tax	Asset	Refunds from tax authorities (asset) decreased

2.3.3 Payments to Suppliers

Information on business payments to suppliers is taken from the financial document: remittance advice

At the end of the credit term, the business should pay the supplier for the purchased items. Since the business does not owe the supplier for the payable balance, debiting the account removes the amount in the Trade Payables account.

Payments to suppliers will be recorded into two ledger accounts.

- Trade payables account
- Bank account

	Account	Category	Explanation
Dr.	Trade payables	Liability	Payables (liability) decreased
Cr.	Bank	Asset	Bank/cash (asset) decreased

Settlement discounts or prompt payment discounts received are treated as discounts received and shown as other income in the Statement of Profit or Loss. Settlement discounts are not considered until the business takes advantage of the discount by making the payment within the allotted period.

The double entry to record payment to credit suppliers (trade payables) with settlement discounts is:

	Account	Category	Explanation

Dr. Trade payables	Liability	Payables (liability) decreased
Cr. Cash	Asset	Cash (asset) decreased
Cr. Discount received	Income	Discounts received (income) increased

Assuming payment of trade payable of $100 with a settlement discount of 5%:

Amount Outstanding	- Settlement Discount (5%)	= Payment
$100	- $5	= $95

DR Trade payables	CR Discount received	CR Cash
(balance settled in full)	(being the discount taken)	(being the amount paid)

Example 3

RFashion purchased on credit from Accessory Supplies Co and received a credit note for purchase returns from Ladies' Suits Co.

RFashion paid Accessory Supplies Co $3,012.00 on 15 March 20X1.



Accessory Supplies Co

Purchase invoice from Accessory Supplies Co (184 King Street, Supam)

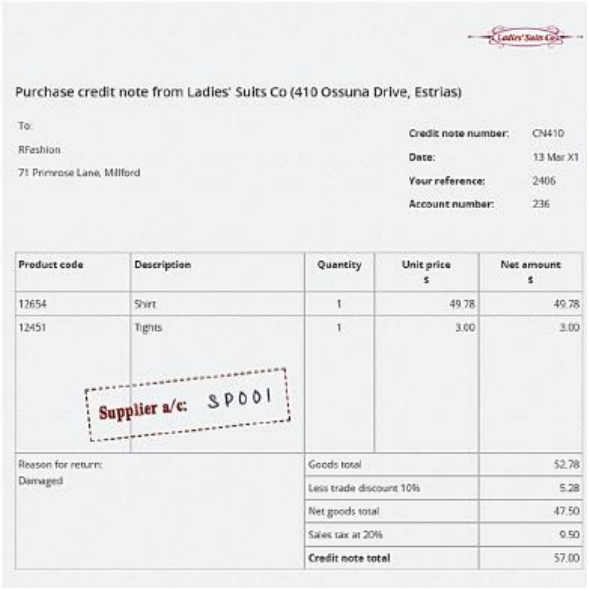
RFashion
71 Primrose Lane, Millford

Invoice number: 2596
Date: 10 Mar X1
Your reference: PO 21034
Account number: 234

Product code	Description	Quantity	Unit price $	Net amount $
CU126	Cufflinks	50	49.78	2489.00
GB451	Gift bag	7	3.00	21.00

Supplier a/c: PL659

Terms: Net 30 days	Net goods total	2510.00
	Sales tax at 20%	502.00
E&OE	Invoice total	3012.00



Purchase credit note from Ladies' Suits Co (410 Ossuna Drive, Estrias)

To:
RFashion
71 Primrose Lane, Millford

Credit note number: CN410
Date: 13 Mar X1
Your reference: 2406
Account number: 236

Product code	Description	Quantity	Unit price $	Net amount $
12654	Shirt	1	49.78	49.78
12451	Tights	1	3.00	3.00

Supplier a/c: SP001

Reason for return: Damaged	Goods total	52.78
	Less trade discount 10%	5.28
	Net goods total	47.50
	Sales tax at 20%	9.50
	Credit note total	57.00

Question: What are the journal entries for each transaction, and their impact on the general ledger accounts?

1. <u>Credit purchase</u>

Example 3

Since payables liabilities have increased, the journal entry to account for the credit purchase is to credit the total amount payable to the Trade payables account.

The Purchases account is debited by the net amount, and the sales tax portion is debited to the Sales tax account (Asset).

Dr.	Purchases	$2,510.00
Dr.	Sales tax	$502.00
Cr.	Trade payables	$3,012.00

2. <u>Purchase return</u>

The journal entry to account for the purchase return is to credit the Purchase return account since purchase returns (income) have decreased. As assets have decreased, the sales tax portion is also credited to the Sales tax account.

Trade Payables account is debited with the total amount since the payables liability has decreased.

Dr.	Trade payables	$57.00
Cr.	Purchase return	$47.50
Cr.	Sales tax	$9.50

3. <u>Payment to supplier</u>

Payments out of RFashion will cause a decrease in the bank account, and the trade payables account as RFashion does not owe the supplier anymore.

The journal entry is to debit the trade payables account as liability has decreased and credit the bank account as assets have decreased.

Dr.	Trade payables	$3,012.00
Cr.	Bank	$3,012.00

The impact of these journal entries on the individual ledger accounts is shown in the T-accounts below:

Example 3

Dr.	Trade payables (liability)				Cr.
13-Mar-X1	Purchase return – SP001	$57.00	10-Mar-X1	Credit purchase – PL659	$3,012.00
15-Mar-X1	Payment to *accessory Supplies Co.*	$3,012.00			

Dr.	Sales tax (asset)				Cr.
10-Mar-X1	Credit purchase – PL659	$502.00	13-Mar-X1	Purchase return – SP001	$9.50

Dr.	Purchases (expense)		Cr.
10-Mar-X1	Credit purchase – PL659	$2,510.00	

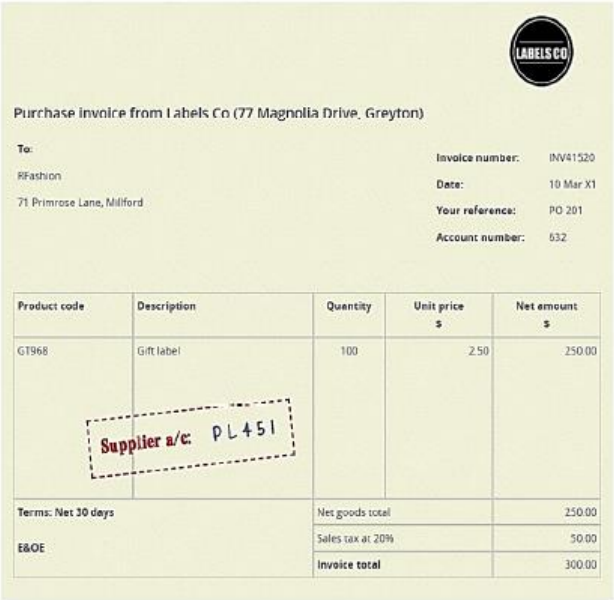
Dr.	Purchase return (income)			Cr.
	13-Mar-X1	Purchase return – SP001	$47.50	

Dr.	Bank (asset)			Cr.
	15-Mar-X1	Payment to *Accessory Supplies Co.*	$3,012.00	

Activity 1

RFashion made credit purchases from two different suppliers in March 20X1. RFashion also returned some of the products as they were damaged.

RFashion paid the balance due to Ladies' Suits Co of $902.88 on 18 March 20X1.



Purchase invoice from Labels Co (77 Magnolia Drive, Greyton)

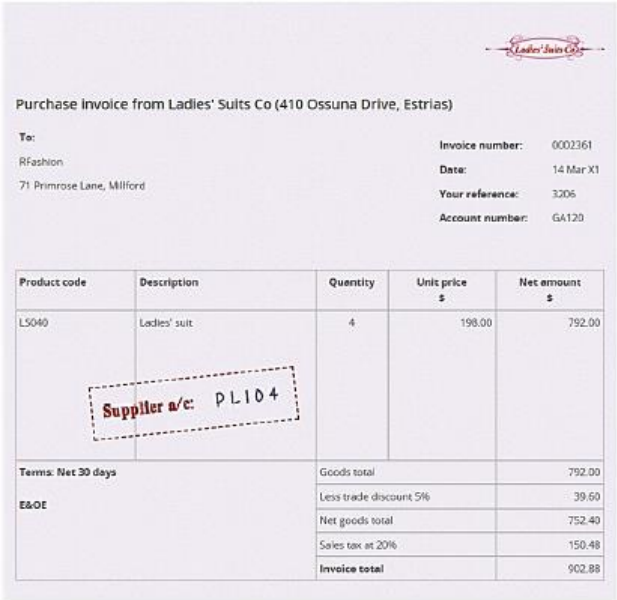
To:
RFashion
71 Primrose Lane, Millford

Invoice number: INV41520
Date: 10 Mar X1
Your reference: PO 201
Account number: 632

Product code	Description	Quantity	Unit price $	Net amount $
GT968	Gift label	100	2.50	250.00

Supplier a/c: PL451

Terms: Net 30 days	Net goods total	250.00
E&OE	Sales tax at 20%	50.00
	Invoice total	300.00



Purchase invoice from Ladies' Suits Co (410 Ossuna Drive, Estrias)

To:
RFashion
71 Primrose Lane, Millford

Invoice number: 0002361
Date: 14 Mar X1
Your reference: 3206
Account number: GA120

Product code	Description	Quantity	Unit price $	Net amount $
LS040	Ladies' suit	4	198.00	792.00

Supplier a/c: PL104

Terms: Net 30 days	Goods total	792.00
E&OE	Less trade discount 5%	39.60
	Net goods total	752.40
	Sales tax at 20%	150.48
	Invoice total	902.88



WATCH CO

Purchase credit note from Watch Co (56 Cooper Road, Fairview)

To:
RFashion
71 Primrose Lane, Millford

Credit note number: CN471
Date: 17 Mar X1
Your reference: 3001
Account number: 3265

Product code	Description	Quantity	Unit price $	Net amount $
MH04	Watch	1	104.00	104.00

Supplier a/c: SP126

Reason for return: Damaged	Goods total	104.00
	Less trade discount 10%	10.40
	Net goods total	93.60
	Sales tax at 20%	18.72
	Credit note total	112.32

Question: Show the journal entries for each transaction, and the impact on the general ledger accounts.

**Please use the notes feature in the toolbar to help formulate your answer.*

Example 4

On 15th January X1, RFashion received a purchase invoice from a credit supplier, Fozia Felts, with a list price of $10,000. Fozia Felts gave RFashion a trade discount of 5% and a settlement discount of 2% if payment is made within 14 days.

RFashion paid the amount outstanding on the invoice on 21st January to take advantage of the settlement discount.

What are the journal entries for the credit purchase and the payment transaction, and how are they are reflected in the general ledger accounts?

1. Credit purchase

The initial credit purchase amount considers the guaranteed 5% trade discount.

Therefore, the amount to be recorded as purchases is: $10,000 – 5% = $9,500

The journal entry is:

Dr.	Purchases	$9,500
Cr.	Trade payables	$9,500

2. Payables payment

Since RFashion paid the supplier within 14 days of the purchase invoice, it benefits from the settlement discount of 2%.

The amount paid by RFashion is therefore: $9,500 – 2% ($190) = $9,310

The journal to record this is:

Dr.	Trade payables	$9,500
Cr.	Bank	$9,310
Cr.	Discount received	$190

The impact of these journals on the general ledger accounts is as follows:

Example 4

Dr.		Purchases (Expense)			Cr.
15-Jan-X1	Trade payables	$9,500			

Dr.		Trade payables (Liability)			Cr.
21-Jan-X1	Bank	$9,310	15-Jan-X1	Trade payables	$9,500
21-Jan-X1	Discount received	$190			

Dr.		Bank (Asset)			Cr.
			21-Jan-X1	Trade payables	$9,310

Dr.		Discount Received (Income)			Cr.
			21-Jan-X1	Trade payables	$190

Activity 2

An invoice of $484.70 has been received and entered into RFashion's ledger accounts. The prompt payment discount on the invoice is 6% for payments within 7 days.

RFashion pays the supplier within 7 days and makes a bank transfer of $455.62 on 9 April.

What is the accounting record for the payment made in the general ledger accounts?

**Please use the notes feature in the toolbar to help formulate your answer.*

Activity 3

---

1. RFashion received an invoice from Cotton Co. for $14,740. Which side of the trade payables account will this be recorded on?
2. RFashion received a credit note from Cotton Co. for $400. Which side of the trade payables account will this be recorded on?
3. How much does RFashion owe to Cotton Co. now?

**Please use the notes feature in the toolbar to help formulate your answer.*

2.3.4 Contra Entries

Contra entries occur when the business has transactions with another entity as a customer and a supplier. When the amount outstanding between the two parties is to be settled, a contra entry can take place by making the below double-entry:

	Individual Account	Category	Explanation
Dr.	Trade payables	liability	Payables (liability) decreased
Cr.	Trade receivables	assets	Receivables (asset) decreased

The value of the contra entry is the lower of the trade receivables balance or the trade payables balance.

Once the contra entry takes place, only the net balance is reflected in the Trade receivables or Trade payables account.

Example 5

RFashion made a credit sale to Melissa of $1,000 on 1 Jan X2. The next day, RFashion purchased on credit from Melissa goods worth $2,300. The journal entries in RFashion's accounts are:

	Credit sale		Credit purchase	
Dr.	Trade receivables	$1,000	Purchases	$2,300
Cr.	Sales	$1,000	Trade payables	$2,300

At the end of the month, RFashion makes a contra entry between the trade receivables and trade payables related to Melissa:

Dr.	Trade payables	$1,000
Cr.	Trade receivables	$1,000

After making the above contra entry, Melissa will have no outstanding balance in RFashion's Trade receivables account. However, the Trade payables account will still have an outstanding balance of ($2,300 – $1,000) $1,300.

Example 5

Dr.	Trade receivables (asset)				Cr.
01-Jan-X1	Credit sale	$1,000	31-Jan-X1	Contra (Trade pay)	$1,000

Dr.	Trade Payables (Liability)				Cr.
31-Jan-X1	Contra (trade recv)	$1,000	02-Jan-X1	Credit purchases	$2,300

RFashion has to pay Melissa only $1,300 at the end of January

4.2.4 Preparing Remittance Advice

2.4 Preparing Remittance Advice

Remittance advice is a document slip showing evidence of a supplier's payment. It highlights the amount paid and the invoice to which the payment relates.

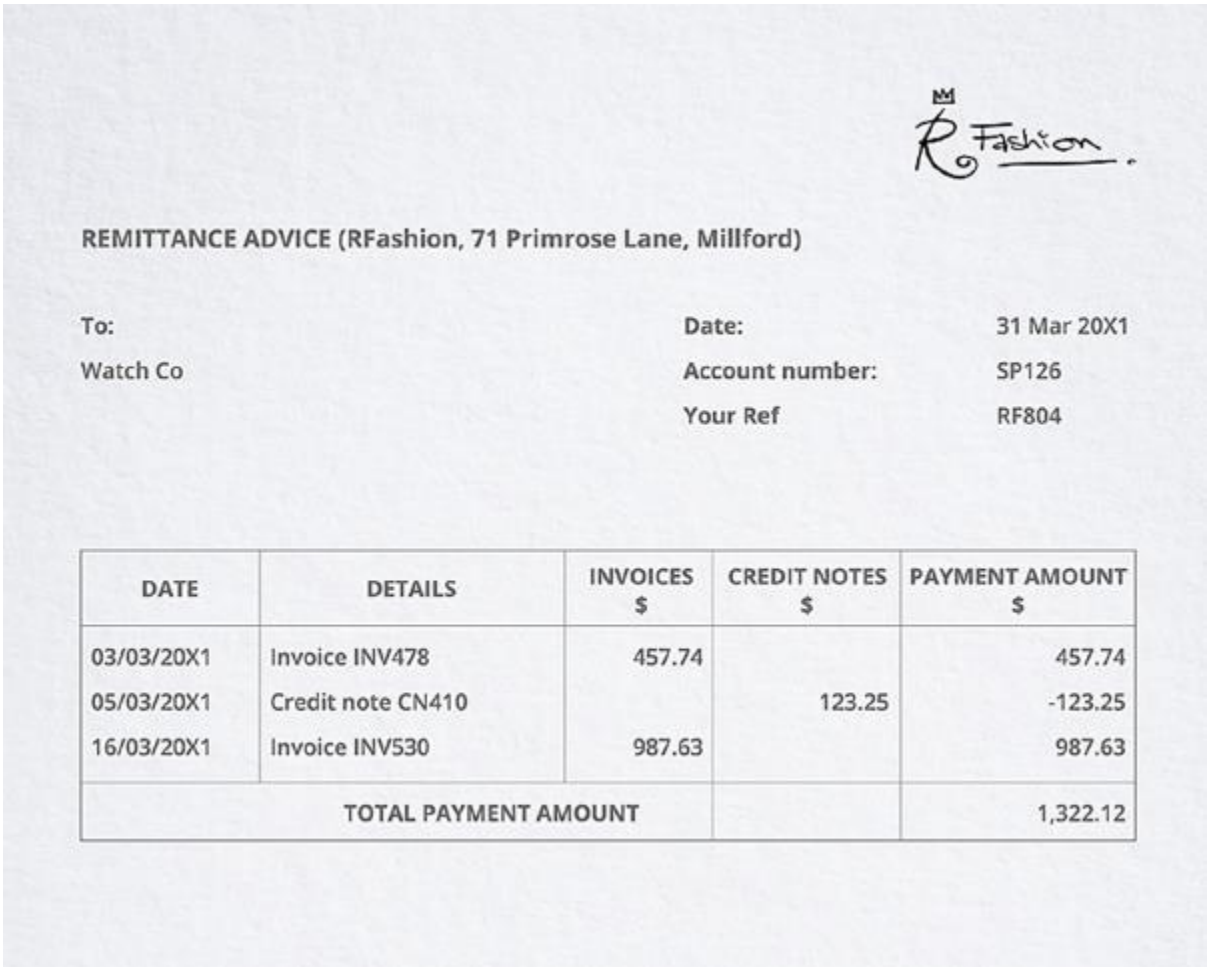
Example 6

RFashion creates remittance advice based on the following information:

- Invoice INV478 dated 03/Mar/20X1 for $457.74
- Credit note CN410 dated 05/Mar/20X1 for $123.25
- Invoice INV530 dated 16/Mar/20X1 for $987.63

The remittance advice is prepared as follows:

Example 6



RFashion.

REMITTANCE ADVICE (RFashion, 71 Primrose Lane, Millford)

To:
Watch Co

Date: 31 Mar 20X1
Account number: SP126
Your Ref RF804

DATE	DETAILS	INVOICES $	CREDIT NOTES $	PAYMENT AMOUNT $
03/03/20X1	Invoice INV478	457.74		457.74
05/03/20X1	Credit note CN410		123.25	-123.25
16/03/20X1	Invoice INV530	987.63		987.63
TOTAL PAYMENT AMOUNT				1,322.12

- The transactions are listed individually and in date order
- Invoices are in the invoice column, and credit notes are in the credit note column
- Invoices are added together, and credit notes are deducted from the total amount owed
- A final total of payment is also included. (Payment can be made via cheque, cash or bank transfer for $1,322.12)

Activity 4

Prepare remittance advice based on the following information:

- Invoice Z541 dated 15/Mar/20X1 for $2,741.10

- Credit note 320 dated 23/Mar/20X1 for $41.41
- Invoice Z895 24/Mar/20X1 for $3,695.20

RFashion.

Remittance Advice (RFashion, 71 Primrose Lane, Millford)

To:

Shoes Co

12 Mohlan Avenue

Sahawa

Date: 30 March 20X1

Account number: SP124

Your ref: JH048

Date	Details	Invoices $	Credit notes $	Payment amount $
Total payment amount				

**Please use the notes feature in the toolbar to help formulate your answer.*

2.5 Computerised Accounting Systems

In computerised accounting systems, the purchase system is usually integrated with the business's accounting system. As purchase transactions occur, the general ledger accounts and the individual supplier accounts are updated automatically.

For example, when a business receives and keys a purchase invoice from XYZ Ltd into its accounting system, the general ledger accounts (trade payables and purchases) and the individual supplier account (XYZ Ltd.) are updated simultaneously.



Since the same transaction information is used to update the Trade payables ledger account and the individual supplier account, there is no longer any need to perform reconciliations between their balances.

4.2.6 Individual Supplier Account

2.6 Individual Supplier Account

The individual supplier account provides information about each of the business suppliers, such as:

- Amount owed to each supplier
- Purchase invoices paid to each supplier
- Invoices are still outstanding to each supplier

Example 7

In a week, RFashion had the following transactions with Silk and Satin Co. (supplier number PL 568):

- Purchased items on credit of $56.00 on 1 July 20X1. There is no sales tax. The purchase invoice number is INV00224.
- Returned goods worth $13.60 due to incorrect material on 4 July 20X1. The credit note issued is CN00252.

Example 7

- Made payment via bank transfer of $25.00 on 7 April 20X1. Remittance advice provided has serial number 1006.

Question: What is the impact of these transactions on the general ledger accounts and the individual customer account?

Answer:

The impact of the transactions on the general ledger accounts:

Dr.	Trade payables (liability)				Cr.
04-July-X1	Purchase return – CN00252	$13.60	01-July-X1	Credit purchase – PL569	$56.00
07-July-X1	Payment to Silk and Satin Co.	$25.00			

Dr.	Purchases (expense)		Cr.
01-July-X1	Credit purchase – PL569	$56.00	

Dr.	Purchase return (income)			Cr.
		04-July-X1	Purchase return – CN00252	$13.60

Dr.	Bank (asset)			Cr.
		07-July-X1	Payment to silk and Satin Co.	$25.00

The impact of the transactions on the individual customer account:

Silk and Satin Co. (PL 568)

Date	Narrative	Document Number	$
1 July 20X1	Purchase invoice	INV00224	56.00
4 July 20X1	Purchase return	CN00252	(13.60)

Example 7

7 July 20X1 Payments	1006	(25.00)
		17.40

RFashion owes Silk and Co. $17.40 as of 7 July 20X1.

2.6.1 Supplier Statement Account

A supplier statement account is a financial document **sent by a supplier** to a credit customer at the end of each month detailing all transactions between the two parties.

The transactions include purchases, any purchase returns and payments made to the supplier. The main objective of a supplier statement account is to remind the business of the amount owed to the supplier at month's end.

A supplier account statement contains the following:

- **Balance brought down (b/d**): This is the balance owing to the supplier at the start of the period (the previous month's closing balance)
- **Invoices issued** during the month: Details include invoice numbers, invoice dates, and invoice amounts
- **Credit notes** issued during the month: Details include the credit note numbers, credit note dates and amounts
- **Payments** made: Details include payment amounts and payment dates
- **Net total (Closing balance)**: This is the balance owed to the supplier at the end of the month

The document received is a supplier statement account. From the supplier's perspective, the same document is referred to as their customer statement account.

4.3.1 Individual Supplier Account Reconciliation

3.1 Individual Supplier Account Reconciliation

A business performs trade payables reconciliations every month end by comparing the balances between the:

- Individual supplier account and
- Supplier statement account received

Reconciliation between these two balances is performed to verify internal information (supplier account) and an external source (supplier statement).

In essence, the supplier account and the supplier statement balance should match as they both show amounts owed from a business to the supplier. However, these balances may differ due to **timing differences** or **entry errors**.

Differences may arise due to **timing differences,** such as:

- Supplier recorded invoices or credit notes that a business has not received
- Payments were made to the supplier after the supplier statement was generated
- Payments made but not yet received by the supplier

Differences due to the business or suppliers making **erroneous entries** such as:

- omitted recording invoices, credit notes, or payments made
- making transposition errors when entering information from the purchase invoice
- *For example, $56 is entered into the system as $65*
- allocating the supplier invoice against the wrong supplier
- not updating the accounting records for settlement discounts taken
- recording document information twice (duplicate entry)

Although a supplier statement, as an external document, is a reliable source of information, errors may still appear. These errors should be communicated to the supplier quickly and professionally to ensure the business sustains no monetary losses and maintains a good relationship between the parties.

Example 8

RFashion received the supplier statement from Labels Co, one of its suppliers. To reconcile the supplier amount, RFashion will match the amounts to the Labels Co account balance in its payments system.

Example 8

Statement of Account

Labels Co
410 Ossuna Drive, Estrias

To: RFashion
71 Primrose Lane, Millford

Account Number: TX367
Date: 31 Mar 20X1

Date	Details	Debit ($)	Credit ($)	Balance ($)
01-Mar	Balance b/d	-	-	250.00
02-Mar	Invoice 00952	1,452.70	-	1,702.70
07-Mar	Invoice 00967	2,458.30	-	4,161.00
08-Mar	Credit Note 104	-	52.70	4,108.30
13-Mar	Invoice 01001	12.32	-	4,120.62
15-Mar	Invoice 01252	74.14	-	4,194.76
			Total:	4,194.76

Labels Co PL451

Date	Narrative	Doc no	$
01-Mar	Balance b/d		250.00
03-Mar	Invoice	00952	1,452.70
06-Mar	Invoice	00967	2,458.30
07-Mar	Credit note	104	(52.70)
08-Mar	Credit note	110	(20.00)
08-Mar	Bank		(250.00)
12-Mar	Invoice	01001	12.32
14-Mar	Invoice	01036	98.80
31-Mar	Balance c/d		3,949.42

Identify details that are <u>included</u> in both documents:

- Balance b/d of $250.00
- Invoice 00952 of $1,452.70
- Invoice 00967 of $2,458.30
- Credit Note of $52.70 and
- Invoice 01001 of $12.32

Identify details <u>not included</u> in both documents:

Statement of Account

Labels Co
410 Ossuna Drive, Estrias

To: RFashion
71 Primrose Lane, Millford

Account Number: TX367
Date: 31 Mar 20X1

Date	Details	Debit ($)	Credit ($)	Balance ($)
01-Mar	Balance b/d	-	-	250.00
02-Mar	Invoice 00952	1,452.70	-	1,702.70
07-Mar	Invoice 00967	2,458.30	-	4,161.00
08-Mar	Credit Note 104	-	52.70	4,108.30
13-Mar	Invoice 01001	12.32	-	4,120.62
15-Mar	Invoice 01252	74.14	-	4,194.76
			Total:	4,194.76

Labels Co PL451

Date	Narrative	Doc no	$
01-Mar	Balance b/d		250.00
03-Mar	Invoice	00952	1,452.70
06-Mar	Invoice	00967	2,458.30
07-Mar	Credit note	104	(52.70)
08-Mar	Credit note	110	(20.00)
08-Mar	Bank		(250.00)
12-Mar	Invoice	01001	12.32
14-Mar	Invoice	01036	98.80
31-Mar	Balance c/d		3,949.42

- Invoice 01252 of $74.14

Example 8

- Credit note 110 of $20.00
- Bank payment of $250.00
- Invoice 01036 of $98.00

Prepare payables reconciliation

Step 1: Start by entering the individual supplier account balance.

- Labels Co. account has a balance of $3,949.42

Step 2: Adjust for unmatched items in the reconciliation

- Invoice 01252 of $74.14
- Credit note 110 of $20.00
- Payment of $250.00
- Invoice 01036 of $98.00

Step 3: Calculate the final figure to match the balance to the supplier statement account.

Reconciliation of Labels Co. Payables

		$
Balances per payables ledger		3,949.42
Adjustments – to payables ledger		
Add:	Invoice 01252	74.14
Less:	Credit note	-
Less:	Payment made	-
Adjustments – to Supplier statement		
Less:	Invoice 01036	98.80
Add:	Credit note 110	20.00
Add:	Payment made	250.00

Example 8

Balances per supplier statement	4,194.76

The balance of $4,194.76 matches the balance as per the supplier statement balance.

Activity 5

Compare the figures in Ladies' Suits Co's individual ledger account against the received supplier statement. Then, complete the reconciliation statement to reconcile these two balances.

Single column supplier ledger

Ladies' Suit Co PL602				
Date	**Narrative**	**Doc no**	**Ref**	**$**
01-Mar	Balance b/d			1,970.0
04-Mar	Invoice	INV7485		451.20
16-Mar	Invoice	INV8020		213.65
18-Mar	Invoice	INV8360		987.41
19-Mar	Credit Note	CN417		(124.01)
22-Mar	Bank			(1,970.00)
31-Mar	Balance c/d			1,528.25

Statement of account (Ladies' Suits Co, 410 Ossuna Drive, Estrias)

To:

RFashion

71 Primrose Lane

Millford

Date: 31 March 20X1

Account number: XA234

Date 20X1	Details	Debit ($)	Credit ($)	Balance ($)
01-Mar	Balance b/d			1,970.00
16-Mar	Invoice INV8020	213.65		2,183.65
18-Mar	Invoice INV8360	987.41		3,171.06
19-Mar	Credit note CN417		124.01	3,047.05
23-Mar	Invoice INV8390	236.20		3,283.25
			Amount now due	3,283.25

<u>Reconciliation of *Ladies' Suits Co.* Payables</u>

	$
Balances per Payables Ledger	
Adjustments – to Payable Ledger	
Add:	
Less:	
Less:	
Adjustments – to Supplier Statement	
Less:	

Add:

Add:

Balances per Supplier Statement

**Please use the notes feature in the toolbar to help formulate your answer.*

4 Syllabus Coverage

Syllabus Coverage

This chapter covers the following Learning Outcomes.

A. Types of Business Transaction and Documentation

2. **Types of business documentation**

1. Prepare remittance advice to accompany payments to suppliers.

E. General ledger accounts

1. **Prepare general ledger accounts**

1. Prepare general ledger accounts, clearly showing the balances brought forward and carried forward as appropriate.

G. Sales and credit transactions

1. **Recording sales, customer account balances and trade receivables**

1. Prepare the trade receivables general ledger account by accounting for:

    5. Contra entries

H. Purchases and credit transactions

1. Recording purchases, supplier account balances and trade payables

1. Record purchase transactions taking into account:

    1. Various types of discounts
    2. Sales tax
    3. The impact on the sales tax general ledger account where applicable
2. Enter supplier invoices and credit notes received from suppliers into the accounting system.
3. Prepare the trade payables general ledger account by accounting for:
    1. Purchases
    2. Purchase returns
    3. Payments to suppliers including checking the accuracy and validity of the payment against relevant supporting information
    4. Discounts
    5. Contra entries
4. Prepare entries in the accounting system to record cash purchases, credit purchases and payments to suppliers.

I. Reconciliation

1. **Purpose of reconciliations**

1. Describe the purpose of reconciliations to external documents as a checking device to aid management and help identify errors.
2. Explain why it is important to reconcile to external documents regularly and to deal with discrepancies quickly and professionally.
3. **Reconcile individual supplier accounts**

1. Reconcile the balances on individual supplier accounts to supplier statements and deal with any discrepancies.

Summary and Quiz

- A credit purchase transaction will make use of the following financial documents:
    - Purchase order

    - Delivery note
    - Goods received note
    - Purchase invoice
    - Credit note
    - Remittance advice
- A purchase invoice is received from a supplier where the business has bought goods or services on credit.
- Input tax can be reclaimed from the tax authorities for registered businesses. Therefore, the input sales tax amount is categorised as a current asset at purchase.
- The journal entry to record a credit purchase is:

  Dr. Purchases account Expense

  Cr. Trade payables account Liability
- The journal entry to record a credit purchase with sales tax is:

  Dr. Purchases account Expense

  Dr. Sales tax account Asset

  Cr. Trade payables account Liability
- The journal entry to record a purchase return is (with sales tax):

  Dr. Trade payables account Liability

  Cr. Purchase return account Income

  Cr. Sales tax account Asset
- The journal entry to record a supplier payment is:

  Dr. Trade payables account Liability

  Cr. Bank account Asset
- The journal entry to record a supplier payment with settlement discounts is:

  Dr. Trade payables Liability

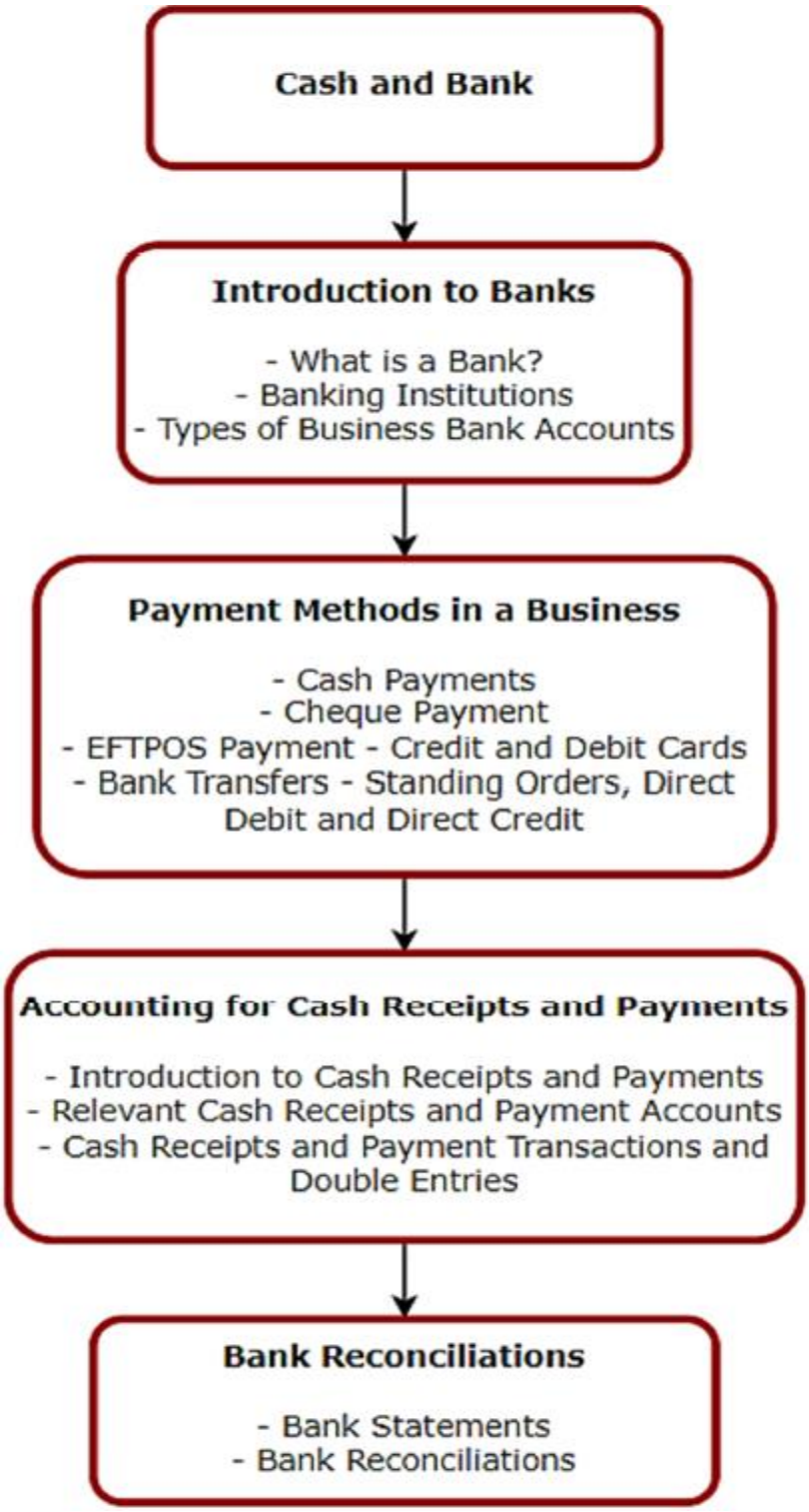
Cr. Cash Asset

Cr. Discount received Income

- A remittance advice is a document slip showing evidence of a supplier's payment. The remittance advice highlights the amount paid and the invoice for the related payment.
- The purchase system is integrated with the business's accounting system. As purchase transactions occur, the general ledger accounts and the individual supplier account are updated automatically.
- A supplier statement account is a financial document from a supplier to a business at the end of each month detailing all transactions between the two parties.
- A business performs trade payables reconciliations monthly by comparing the balances between the individual supplier account and the received supplier statement account.
- The steps to prepare for individual supplier account reconciliation are:
    - Enter the individual supplier account balance
    - Adjust for unmatched items in the reconciliation
    - Calculate the final figure to match the balance to the supplier statement account.

CHAPTER 5: Visual Overview

CHAPTER 5: Visual Overview



5.1.1 Bank and Banking Institutions

1.1 Bank and Banking Institutions

1.1.1 What is a Bank?

A bank is a licensed financial institution where the public can deposit and borrow money. A bank's services include safekeeping savings deposits and providing loan facilities.

1.1.2 Banking Institutions

Three types of banking institutions are retail banks, investment banks, and central banks. These banking institutions provide different financial services and functions to their users.

- Retail Bank

Retail banks offer a wide range of services for individuals and businesses alike.

Their services to clients include (not exhaustive):

  - providing individuals or businesses with bank accounts
  - issuing loans, overdraft facilities or credit cards facilities
  - making payments to organisations in other countries
  - supplying financial insurance

- Investment Bank

An investment bank is part of corporate or commercial banking that provides services for a fee. Investment banks usually focus on businesses instead of individual clients.

Their services to clients include:

  - providing advisory services on stock market flotations and mergers and acquisitions
  - trading financial instruments such as bonds, derivatives, and shares on behalf of clients or for their own account.
  - Arranging capital raising and initial public offerings (IPO) for corporate clients

- Central Bank

A central bank is an institution that exists within a country to manage a country's money supply and ensure financial stability. Central banks provide financial services for their government and other commercial banking systems.

Central banks oversee other commercial banking institutions and act as 'the bankers' bank' by lending banks money if they need a short-term loan.

A country's central bank implements the government's monetary policy and sets the currency rate on a particular day.

The Bank of England is the United Kingdom's (UK) central bank, while the Federal Reserve is for the United States of America (USA).

1.1.3 Types of Business Bank Accounts

- Current Accounts

A business may hold a current account in a bank, which facilitates receipts and payments for business activities.

A current account pays a low rate of interest or none at all. Thus, keeping savings or large amounts of money is not advisable.

- Savings Accounts

A business may keep its surplus funds (any extra money) in a savings account. A savings account pays a higher interest than a current account, but the business may not have immediate access to the funds in the account.

- Overdraft

An overdraft is an agreement by which the bank allows the current account to become negative (overdrawn) up to an agreed limit. The overdraft provides access to cash for short-term needs with interest charged on balance owed.

The maximum overdraft and applicable bank charges are agreed with the bank before the issue of the overdraft facility.

Overdrawn balances are often repayable on demand, which might occur if the bank decides that the business's default risk is unacceptable.

Activity 1

---

1. A retail bank is a place where you can _____.

1. Buy and sell shares
2. Manage money supply
3. Deposit money
4. Set interest rates

2. _____ is a banking institution that provides companies with stock market insight and other commercial services.

1. A Building society
2. A Credit Union
3. A Retail Bank
4. An Investment Bank

3. If an individual or business has taken out more money than they have in their current account, this is known as _____.

1. A Deposit
2. A Loan
3. An Investment
4. An Overdraft

4. A central bank _____ in the country or area it regulates.

1. Arranges company mergers
2. Manages money supply
3. Provides business bank accounts

**Please use the notes feature in the toolbar to help formulate your answer.*

5.2.1 Cash Payments

2.1 Cash Payments

There are different ways a business can receive money from customers and make payments to our suppliers, such as:

- Cash payments
- Cheque payments
- EFTPOS payments - credit or debit card
- Electronic Bank Transfers – standing order, direct debit or direct credit

Customers may pay for goods or services of a business by cash. A business may also pay their pay suppliers similarly for any purchases made.

2.1.1 Cash Receipt

A **receipt** is a financial document that confirms a cash receipt/payment has been made in exchange for goods or services.

A business may prescribe different types of cash receipts depending on the nature of the transaction, such as:

- A Till Receipt

A till receipt is generated from the till (cash register). A till with a paper roll will print individual receipts after successful payment.

At the start of the day, the cash register will contain a float amount. The float is used to give the customers change.

- A Manual Receipt

A Manual receipt is a pre-printed template form that the seller fills up by pen once payment is successful. The pre-printed receipt form can be bought from most stationary shops.

2.1.2 Cash Payment Security Measures

When receiving a cash payment, a business should:

- Check if the banknote received is genuine or fake using a fake currency detection machine
- Store excess cash in a safe during the day. Only leave the amount needed for business operations in the till (cash register).

- A **safe** is a large storage box that protects valuable items such as cash against theft. A safe kept in an office should be lockable and have limited access. To open the safe, a unique code or a key is needed
- Deposit the excess cash in the bank at the end of each day so that only small amounts of money are kept on the business premises.
- When depositing cash at a bank, ensure the time and route taken to the bank each day is varied to deter potential thieves from predicting movements.
- If possible, more than one person should be sent to the bank. Larger businesses can arrange for security companies to collect the cash directly from their building to the bank.

The cash deposits will be accompanied by filling a **paying-in slip** from the paying-in book provided by the bank. The paying-in slip confirms the amount deposited into the bank account.

5.2.2 Cheque Payment

2.2 Cheque Payment

A business may receive or make payments using cheques.

A **cheque** is a written instruction from the drawer/payer to their bank to pay the payee a sum of money from the drawer's account.

The Bank provides each business bank account with a cheque book. Cheques are individually detached, and a cheque stub is left in the book. The cheque stub is a supporting document as it contains details of the payment, such as the payee's name, the date and the amount paid.

2.2.1 Cheque Requisition Form

A business bookkeeper will usually issue a cheque after first receiving the purchase invoice from the payee supplier.

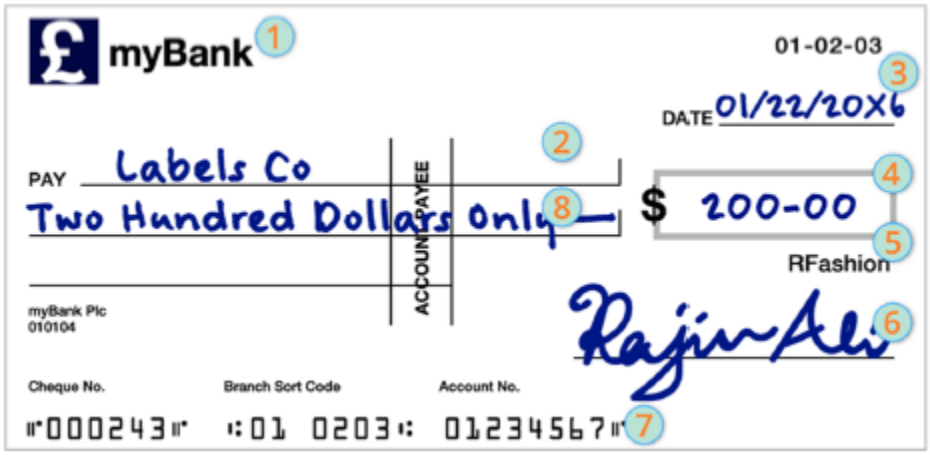
However, businesses may issue cheques before purchase invoices have been received. A business may issue cheques to organisations that do not provide invoices. The bookkeeper raises a **cheque requisition form** as financial documentation evidence in such cases.

Scenarios examples where Cheque Requisition Forms are raised include:

- Charities who do not request payment. Therefore, donations to charities by cheque might not have an invoice.
- Deposits for hiring a venue or renting a piece of equipment might not be invoiced until the total amount of the invoice is charged.
- Advances to travelling employees who may have to incur expenses before claiming the money back.

The cheque requisition form will include the date, payee, amount, signature of the person authorising payment, and any backing documentation.

2.2.2 Elements of a Cheque



1. Name of the bank

2. The payee's name. Only the payee, *Labels Co,* can cash this cheque.

3. Date of the cheque

4. Amount to be paid in numbers. The amount must match the written amount

5. Name of the business

6. Name of the authorised signatory of the business

7. Cheque code number

8. Written amount to be paid. "Dollars only" is written at the end for security purposes. This is to deter someone from adding extra amounts after the "two hundred", such as "thousand".

2.2.3 Bank Clearing System

Once a cheque is received, the payee will deposit it with their bank. The bank then passes it to a clearing centre, which transfers it to the drawer's bank.

The drawer's bank has a legal responsibility during this time (for example, three working days) to either pay the funds into the payee's account or return the cheque with reasons for non-payment.

Non-payment can be due to several reasons, including:

- insufficient funds in the drawer's account
- the cheque being filled incorrectly
- the cheque containing a fraud risk.

The returned cheque is called a **dishonoured or bounced** cheque. For dishonoured or bounced cheques, banks may incur charges on the drawer for processing an unpaid cheque.

Most cheques are cleared without complications. Therefore, businesses typically assume funds will be deposited into their account when they cash their cheque.

To **cancel or stop a cheque** before the cheque has been cleared, the drawer may contact the bank. The cheque stub in the chequebook should note all evidence of transactions, including cancelled cheques.

2.2.4 Cheque Payment Security Measures

When issuing cheques for payments, a business should ensure:

- The date in the cheque is the day the cheque is prepared. If the date is made incorrectly for the future date, the payee must wait until then to cash the cheque.
- Payee detail in the cheque is not omitted. If the payee section is not completed, this may lead to someone entering their name as the payee and transferring funds illegally.
- The cheque amount in words matches the amount in figures. If not, the banks may return the cheque due to incorrect filing.
- The cheque is signed by the person whose name is printed on the cheque.
- The cheque requisition form is authorised by a senior member of the accounts department.

When receiving cheques from customers, a business should ensure:

- All details in the cheque are correctly written, including the amount, the date, and the business name.

- The drawer signs the cheque.
- A copy of the cheque is obtained, and details are recorded in the business's accounting systems.
- Placing the received cheque in a locked safe if unable to cash into the bank.
- Cashing in the cheque at the bank immediately

Similar to banking in cash, the cheque deposit must be accompanied by filling a **paying-in slip** from the paying-in book provided by the bank. The paying-in slip confirms the details of the deposited cheque.

2.2.5 Banker's Draft

A banker's draft is a cheque from a bank. A business will first transfer the money to the bank, and the bank subsequently writes a cheque to the business's named recipient. A typical cheque can be refused if insufficient money is in the drawer's account, but a banker's draft is guaranteed to be paid.

A banker's draft is usually used to pay for high-value items. For example, to purchase property or land.

2.3 EFTPOS Payment – Credit and Debit Cards

Electronic Funds Transfer at Point of Sale (EFTPOS) is a system of paying for goods or services in shops using **credit** or **debit cards**. The payment from the customer's account is electronically transferred directly to the business's account using handheld machines.

The credit card company agrees to cover the payment for the goods at the point of sale. They debit their account with the customer, and credit their account with the seller. Sellers are usually paid by the credit card company after a few days and charge a commission on the sale (around 1%). At the end of each month, the customer receives a statement for the balance owed. The statement shows details of each transaction that has taken place, who it was to, the date and the amount. The customer then pays the balance. (Some credit card companies may accept a partial payment of the balance, in which case interest will be charged on the outstanding balance until it is paid off in full).

Debit cards work similarly. However, the money is taken from the customer's bank account rather than the customer being given credit from a credit card. The transactions then appear on the customer's bank statement.

2.3.1 Elements of a Credit and Debit Card



Details on the front of the card include:

- The card number
- Whether it is a debit or credit card
- The brand of card (e.g MasterCard or Visa)
- The account holder's name
- Validity start date and end date of the card

Details on the back of the card include:

- A signature strip for the card owner to sign
- The three-digit card verification number.

2.3.2 EFTPOS Clearing System

Credit cards or debit cards can be used to make purchases of items by inserting the card into the EFTPOS machine.

For debit cards, the machine automatically checks if sufficient funds are in the account to pay for the goods.

The customer confirms the value of their purchase by entering their four-digit PIN or signing the receipt. Upon successful transfer, the machine prints a receipt. For confirmation via signature, the sales assistant must ensure the customer's signature matches the signature on the back of the card.

Some cards have a 'contactless' facility which allows the user to make small payments by touching or waving the card over an electronic reader in a shop. The contactless facility is also

available on selected digital devices linked to a debit or credit card. Transactions will appear on the customer's statement a few days later.

2.3.3 Application of Credit and Debit Cards

- Online sales

Customers can enter their card details into an online purchasing system to make payments for goods purchased online.

- Telephone sales

A sale can be made by telephone by providing all the card details to the sales assistant, who will enter them into the machine to complete the payment.

2.3.4 EFTPOS Payment Security Measures

- Access to the card facility must be recorded and secured to specifically authorised individuals.
- The authorised user must sign the debit or credit card upon issue.
- Keep up to date with the card usage transactions to identify suspicious activities
- The authorisation pin should be secret and unique to each account
- When keying in the authorisation pin, customers should cover the keypad to limit public view
- Contact the banks and lodge a police report if the card is lost or stolen

Activity 2

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1. What is EFTPOS?
2. What is the method of payment where the bank writes a cheque?
3. What is a cheque? Who is the payee, and who is the drawer?
4. What examples of payment may need a cheque requisition form?

**Please use the notes feature in the toolbar to help formulate your answer.*

5.2.4 Bank Transfers – Standing Order, Direct Debit and Direct Credit

2.4 Bank Transfers – Standing Order, Direct Debit and Direct Credit

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There are different ways to transfer funds from one bank account to another. Bank Transfers can be made with standing orders, direct debits or credits.

2.4.1 Standing Order

A standing order is a way to set up regular payments. It is arranged between the business and its bank. The amount and intervals of the transfer are fixed.

For example, a business sets up a standing order to pay for the rent of $600 every month.

To view an example of a standing order, refer to Appendix 2.

2.4.2 Direct Debit

A direct debit is set up by the payee (person receiving payment). This transfer makes regular but variable amounts from the business bank account.

For example, a business allows a telecommunications company to make direct debits for phone bill payments from its account. The amount debited varies depending on how many calls have been made.

2.4.3 Direct Credit

Direct credit is a way to transfer money directly from a bank account to another bank account for one-off payments.

The payer requests their bank to initiate a payment transaction to the payee’s account. The payer's bank transmits payment to the clearing service, which deposits the funds in the recipient's bank account.

It is commonly used for payments of supplier invoices and salaries. Businesses may also receive payments from customers by direct credit. This form of bank transfer may take up to three working days for a transfer to be completed.

In the UK, this payment method is known as BACS (Bankers' Automated Clearing Services). In the USA, this payment method is known as ACH (Automated Clearing House).

2.4.4 Bank Transfer Security Measures

- When making bank transfers, do not use public Wi-Fi as malicious hacks and viruses can be imported into the device.

- Enable anti-phishing protection. (These measures will display a unique word or graphic known only to the account holder to enable the account holder to verify that the portal is genuine).
- Ensure bank account passwords are updated regularly
- Ensure text alert is in place. A business will be notified if any suspicious activity has taken place
- Direct debit transactions from the 3rd party should always be notified in advance
- Enable two-step verification (with transaction authorisation codes sent to an authorised device or with an authorised code generator).

Activity 3

Match the transactions on the right-hand side with the best payment method for that transaction on the left-hand side.

Direct Credit	$45.00 is paid each month for building insurance. This monthly amount is fixed.
Cash	$5.50 paid to the window cleaner
Direct Debit	A total of $2,451.10 is paid for the wages of ten employees
Cheque	$150.00 is paid for a telephone bill. The amount varies each month
Standing Order	$199.00 is paid to a supplier who does not accept payment by direct credit

**Please use the notes feature in the toolbar to help formulate your answer.*

5.3.1 Introduction to Cash Receipts and Payments

3.1 Introduction to Cash Receipts and Payments

In a cash sale or purchase, goods and services are bought and paid immediately using cash.

Remittance advice or receipt accompanies the cash receipt or payment transaction. These transactions are reflected in a business's accounting system by transferring information from the remittance advice or receipt into the relevant ledger accounts using double entries.

5.3.2 Relevant Cash Receipts and Payments Account

3.2 Relevant Cash Receipts and Payments Account

Cash transactions are recorded to relevant ledger accounts below:

1. Sales Account (Income)

In a cash sale, a business sells goods or services to a customer for cash.

A business may make cash payments for inventories or expenses. Inventory purchases will affect the Purchases account, while cash purchases for expenses will affect the general ledger expense account.

2. Purchases Account (Expense)

A business may purchase items from suppliers such as raw materials or finished goods to resell to customers. These purchases are classified as expenses.

3. General ledger Expense Account (Expense)

A business may pay for business expenses using cash. Examples of such costs include electricity bills and rental payments.

4. Cash/Bank Account (Asset)

Cash/Bank general ledger accounts are affected when cash is received or paid out.

5.3.3 Cash Receipts and Payment Transactions and Double Entries

3.3 Cash Receipts and Payment Transactions and Double Entries

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3.3.1 Cash Sales

A cash sale arises due to customers of a business paying cash for goods or services. It affects two ledger accounts.

- Cash/Bank Account
- Sales Account

	General Ledger Account	Category	Explanation
Dr.	Cash/Bank	Asset	Cash (Assets) increased
Cr.	Sales	Income	Sales (Income) increased

The amount to be entered into these accounts is the Net Amount (Price after Discounts and Sales Tax).

3.3.2 Cash Purchases (Inventory)

Cash purchases for inventory are immediate payments made for goods a business intends to sell. Cash purchase of stock affects two ledger accounts.

- Purchases
- Cash/Bank

	General Ledger Account	Category	Explanation
Dr.	Purchases	Expenses	Purchases (Expenses) increased
Cr.	Cash/Bank	Asset	Cash (Assets) decreased

3.3.3 Cash Payments (Expenses)

Cash payments for expenses such as electricity bills, rent, or advertising fees affect two ledger accounts.

- Relevant Expense account
- Cash/Bank

	General Ledger Account	Category	Explanation
Dr.	Relevant Expense account	Expense	Expenses have increased
Cr.	Cash/Bank	Asset	Cash (Assets) decreased

Example 1

In the first week of August 20X1, RFashion had the following business transactions:

- On 2nd August, a walk-in customer purchased two dresses for $180 and paid the amount with cash. There is a sales tax of 20%.
- On 3rd August, RFashion made a cash purchase of silk materials worth $364. RFashion also paid the electricity bill incurred during July 20X1 of $560 by making a bank transfer.

Question: What are the journal entries for each transaction, and what is their impact on the general ledger accounts?

1. Cash sale from walk-in customer

The double entry to account for the cash sale is to debit the Cash/Bank Account and credit the Sales Account as both cash (asset) and sales (income) have increased.

The amount received from the customer of $180 includes the sales tax of 20%. Therefore, the net price of the sale is calculated as:

Net Amount (100%)	+ Sales Tax (20%)	= Gross Payment (120%)
$150	+ $30	= $180
Cr. Sales account	Cr. Sales Tax account	Dr. Cash/Bank account

2. Cash purchase of inventory

The double entry to account for inventory cash purchases is to debit the Purchases account and credit the Cash/Bank account since purchases (expenses) have increased while cash (asset) has decreased.

Dr. Purchases $364.00

Cr. Cash/Bank $364.00

3. Cash payment for business expenses

The double entry to account for the electricity bill payment is to debit the Electricity Expense account as expenses have increased and credit the Cash/Bank account as a bank (asset) has decreased.

Dr. Electricity Expense $560.00

Example 1

Cr. Cash/Bank $560.00

The impact of these double entries on the general ledger accounts is shown below:

**The cash/bank account illustrates the journal entries only; it will not be in a net credit position.*

Dr.		Cash/Bank (Asset)			Cr.
02-Aug-X1	Sale	$180.00	03-Aug-X1	Purchases	$364.00
			03-Aug-X1	Electricity	$560.00

**This account illustrates the journal entries. The cash/bank account should not be in a net credit position.*

Dr.		Sales (Income)			Cr.
			02-Aug-X1	Cash/Bank	$150.00

Dr.		Sales Tax (Asset/Liability)			Cr.
			02-Aug-X1	Cash/Bank	$30.00

Dr.		Purchases (Expense)			Cr.
03-Aug-X1	Cash/Bank	$364.00			

Dr.		Electricity (Expense)			Cr.
03-Aug-X1	Cash/Bank	$560.00			

4.1 Bank Statements

At the end of each period, businesses will receive a bank statement with details of all transactions within the business bank account.

Bank statements are a reliable source of documentation and are an external source document. Bank statements should be monitored routinely to help identify errors. Reasons for keeping track of the bank statement include:

- Identifying if there are any fraudulent transactions
- Ensuring no outdated standing orders are being paid out
- Confirming transactions are not in the wrong amount
- Ensuring no omission and double payment of transactions
- Verifying there is sufficient money in the bank account for payments

Errors within the bank statement should be notified to the relevant bank quickly and professionally to ensure the business sustains no monetary losses and relationships with banks or vendors are not negatively affected due to these errors.

4.2 Bank Reconciliations

A Bank reconciliation is performed by comparing the information from the **bank statement** and the **bank ledger account**.

Both sources give information on the transactions and the bank account balance during a period. However, the balances may not tally due to:

- Timing differences such as:
    - **Unpresented cheque** is a cheque payment made to a supplier, and the supplier has not deposited it yet. Since there is no payment out of the bank account, the bank statement will not reflect this transaction while the bank ledger account has.
    - **Outstanding lodgement** is cash or cheque payments received and taken to the bank but not yet processed and recorded in the bank statement. This could be due to cheques cashed on the same day the bank statement is prepared.
    - **Direct credit** receipts or payments which take a few days to clear the bank may also cause a timing difference between when the transactions were made and when they appear on the bank statement.

- **Omission of transactions** such as standing orders, bank charges, or interest received. These are reflected in the bank statement but not in the ledger accounts.

- Transactions were posted twice, or an incorrect amount was posted into the Bank Ledger Account.

4.2.1 Steps for Bank Reconciliation

The bank reconciliation will align the balances in the bank statement and the bank ledger accounts. The bank reconciliation steps are:

1. Check that opening balances agree
2. Compare closing balances on the bank statement and the bank ledger. Entries in the bank statement with corresponding entries in the bank ledger are highlighted.
3. Items not highlighted on the bank statement (no associating entry in the ledger) are recorded in the ledger account. A new bank ledger balance is calculated.
4. The new bank ledger balance and bank statement balance are compared again.

A bank reconciliation is drawn up using a template if they still do not agree.

- Record the bank statement balance at the top.
- Make adjustments by deducting any uncleared payments (unpresented cheques) and adding any uncleared receipts (outstanding lodgements).
- The amended bank statement balance should agree with the new bank ledger balance.

Example 2

Reconcile the bank balances in the bank statement and the bank ledger account.

BANK STATEMENT

Date	Details	Withdrawals	Deposits	Balance
20X1				
25-Mar	Balance brought forward			680.00 CR
26-Mar	Rent (DD)	220.00		460.00 CR

Example 2

31-Mar	Cheque 301235	902.00		−442.00	CR
31-Mar	Bank giro credit 104214		825.00	383.00	CR
31-Mar	Bank charges	21.00		362.00	CR

Bank (Asset)

Dr.			Cr.		
25-Mar	Balance b/d	680.00	26-Mar	Payment to Watch Co 301235	902.00
26-Mar	Payment from Ahmed 214512	825.00	27-Mar	Advertising 301236	330.00
			31-Mar	Balance c/d	273.00
		1,505.00			1,505.00
31-Mar	Balance b/d	273.00			

Step 1 – Check the opening balance

The opening balance of $680.00 in the bank statement matches the opening b/d of $680.00 in the bank ledger account.

Step 2 – Compare the closing balance and highlight matched transactions

The closing bank statement balance of $362.00 does not match the closing balance c/d in the ledger account of $273.00

Transactions that are included in both the documents are:

Date	Details	Withdrawals	Deposits	Balance	
20X1					
25-Mar	Balance brought forward			680.00	CR
26-Mar	Rent (DD)	220.00		460.00	CR
31-Mar	Cheque 301235	902.00		−442.00	CR
31-Mar	Bank giro credit 104214		825.00	383.00	CR
31-Mar	Bank charges	21.00		362.00	CR

Example 2

Dr.		Bank Account (Asset)			Cr.
25-Mar	Balance b/d	680.00	26-Mar	Payment to Watch Co 301235	902.00
26-Mar	Payment from Ahmed 214512	825.00	27-Mar	Advertising 301236	330.00
			31-Mar	Balance c/d	273.00
		1,505.00			1,505.00
31-Mar	Balance b/d	273.00			

Step 3 – Include missing bank statement transactions to the ledger account and recalculate the balance b/d

Missing items included in the bank statement are rental payment of $220.00 and bank charges of $21.00

These transactions are entered into the bank ledger account, and a new balance b/d is calculated.

Dr.		Bank Account (Asset)			Cr.
25-Mar	Balance b/d	680.00	26-Mar	Payment to Watch Co 301235	902.00
26-Mar	Payment from Ahmed 214512	825.00	27-Mar	Advertising 301236	330.00
			26-Mar	Rent (DD)	220.00
			31-Mar	Bank Charges	21.00
			31-Mar	Balance c/d	32.00
		1,505.00			1,505.00
31-Mar	Balance b/d	273.00			

Step 4 – Compare balances and prepare a bank reconciliation template

The bank statement balance of $362 still does not match the bank ledger account balance c/d of $32. Therefore, a bank reconciliation template is prepared.

In the bank ledger account, there is an unpresented cheque for advertising where the business has paid via cheque to the supplier, which has not deposited it yet.

Example 2

Bank Reconciliation Statement	
Bank Statement Balance	$362.00
Less: Unpresented Cheques/ Uncleared Payments	
Advertising 301236	($330.00)
Add: Outstanding Lodgements	-
Bank Ledger Balance	**$32.00**

Activity 4

Reconcile the bank balances in the bank statement and the bank ledger account provided below.

Date	**Details**	**Debit**	**Credit**	**Balance**	
20X1		**($)**	**($)**	**($)**	
01-Apr	Balance brought forward			−1,536.00	DR
05-Apr	Bank giro credit 245784		500.00	−1,036.00	CR
05-Apr	Insurance SO	88.50		−1,124.50	DR
05-Apr	Telephone DD	67.90		−1,192.40	CR
07-Apr	Desmond direct credit		2,541.20	1,348.80	CR
07-Apr	2236	414.00		934.80	CR

Dr. **Bank Account (Asset)** **Cr.**

05-April	Cash 245784	500.00	01-April	Balance b/d	1,536.00
07-April	Lin 698745	247.00	02-April	Purses Co 2236	414.00
07-April	Balance c/d	1,703.00	07-April	Wages (Direct credit)	500.00
		2,450.00			2,450
			08-April	Balance b/d	1,703.00

**Please use the notes feature in the toolbar to help formulate your answer.*

5 Syllabus Coverage

Syllabus Coverage

This chapter covers the following Learning Outcomes.

A. Types of Business Transaction and Documentation

1. **Types of Business Transaction**

1. Describe the processing and security procedures relating to the use of:
    1. Cash
    2. Cheques
    3. Credit and debit cards
    4. Digital payment methods

C. Bank system and transactions

1. **The banking process**

1. Explain the differences between the services offered by banks and other financial services businesses.
2. Describe how the bank clearing system works.
3. Identify and compare different forms of payment.
4. Summarise the processing and security procedures relating to the use of cash, cheques, credit cards, debit cards and digital payment methods.

E. General ledger accounts

1. **Prepare general ledger accounts**

1. Prepare general ledger accounts, clearly showing the balances brought forward and carried forward as appropriate.

F. Cash and bank

1. **Maintaining cash records**

1. Record cash transactions within the accounting system, including any sales tax effect where applicable.

I. Reconciliation

2. **Reconcile the cash records**

1. Reconcile the cash records to a bank statement and deal with any discrepancies.

5 Summary and Quiz

Summary and Quiz

- A bank is a licensed financial institution where the public can deposit and borrow money.
- Three types of banking institutions are retail banks, investment banks, and central banks. Each of them provides different services.
- Retail banks provide services such as:
    - providing individuals or businesses with bank accounts to deposit money
    - issuing loans, overdraft facilities or credit cards facilities
    - making payments to organisations in other countries
    - supplying financial insurance
- Investment banks provide services such as:
    - advisory services on stock market fluctuations and mergers and acquisitions
    - trading financial instruments such as bonds, derivatives, and shares for clients or their own profit.
    - Arranging capital raising and initial public offering (IPO) for corporate clients
- A Central bank is an institution that exists within a country to manage a country's money supply and ensure financial stability. They are in charge of implementing the government's monetary policy and setting the currency rate daily.

- A current account facilitates receipts and payments from business activities. It pays a low rate of interest or none at all.
- A savings account is where a business usually keeps its surplus funds as it pays a higher interest than a current account.
- An overdraft account offers access to cash for short-term needs, with interest charges on the balance owed.
- There are different ways a business can receive money from our customers and make payments to our suppliers, such as:
    - Cash payments
    - Cheque payments
    - EFTPOS payments - credit or debit card
    - Electronic Bank Transfers – standing order, direct debit or direct credit
- A receipt is a financial document that confirms a cash receipt/payment has been made in exchange for goods or services.
- When making payments or receiving cash, security measures need to be in place, such as keeping cash in a locked safe and exercising caution when depositing money in the bank.
- A cheque is a written instruction from the drawer/ payer to their bank to pay the payee a sum of money from the drawer's account.
- A cheque clearing system works this way:

Once a cheque is received, the payee will deposit it with their bank. The bank then passes it to a clearing centre, which transfers it to the drawer's bank. The drawer's bank has a legal responsibility during this time (for example, three working days) to either pay the funds into the payee’s account or return the cheque with reasons for non-payment.

- Reasons for non-payment can be insufficient funds in the drawer’s account, the cheque being filled incorrectly, or the cheque being a fraud risk. The returned cheque is called a dishonoured or bounced cheque.
- When making payments or receiving cheques, security measures need to be in place, such as ensuring all details in a cheque are entered correctly and cheque requisition forms are authorised.
- A banker’s draft is a guaranteed cheque from a bank.

- EFTPOS uses credit cards or debit cards to make sale payments.

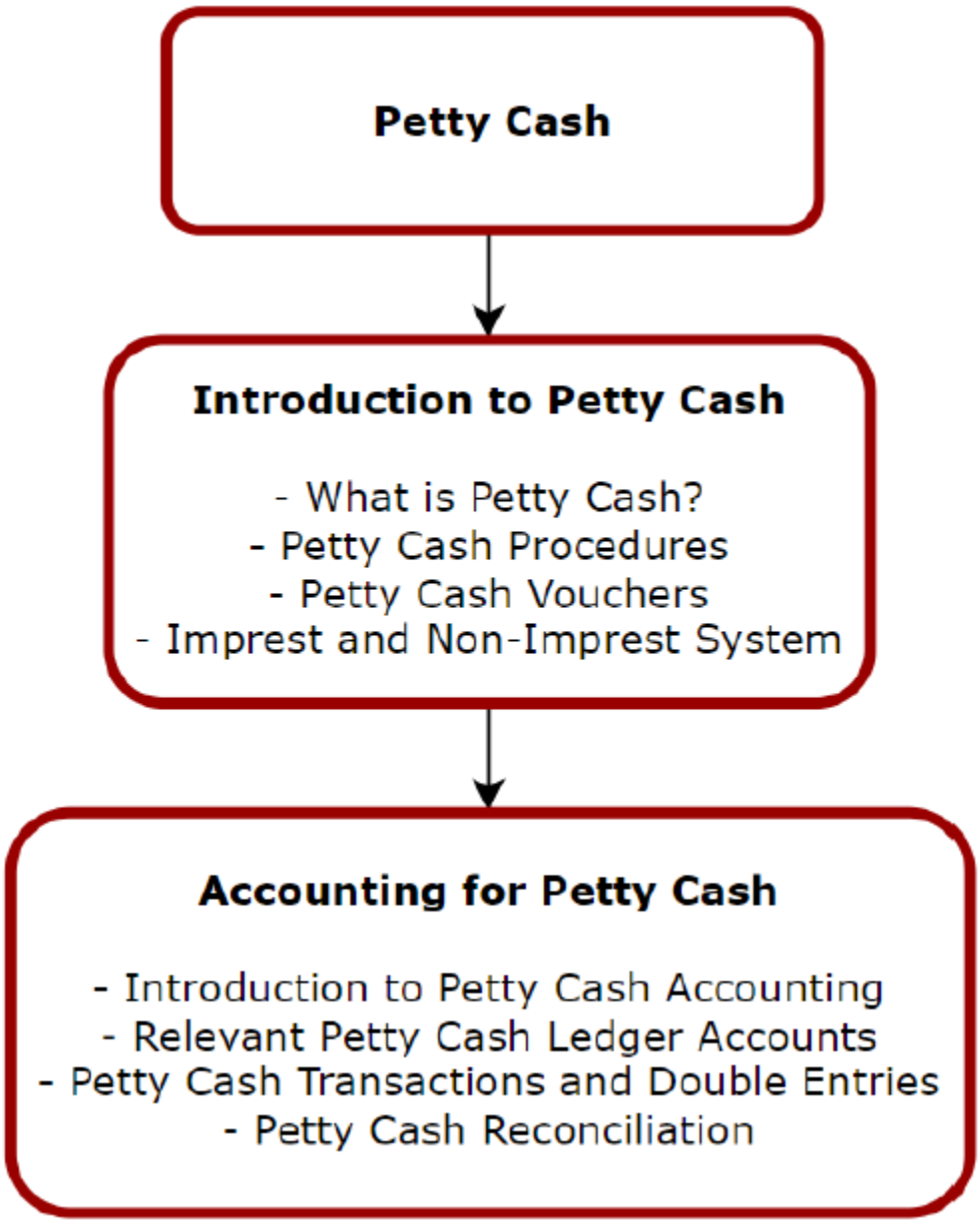
Payments using debit cards will transfer an amount from the account holder's bank account to the merchant.

Payments using credit cards will transfer the amount to a merchant, and the customer will later be billed the total amount spent.

- Security measures needed for EFTPOS payment include signing the back of the card right away and using strong 4-digit pins
- Bank transfer payments can be made with standing orders, direct debits or credits.
- A standing order is a way to set up regular payments. It is arranged between the business and its bank. The amount and intervals of the transfer are fixed.
- A direct debit is set up by the payee (person receiving payment). This transfer makes regular but variable amounts from the business bank account.
- Direct credit is a way to transfer money directly from one bank account to another for one-off payments.
- Security measures needed for bank transfer payments include updating bank account passwords regularly and ensuring text alerts are in place
- To reconcile customer payments, businesses will compare the remittance advice and the sales invoice and, if any, credit notes
- To reconcile supplier payments, businesses will compare the supplier (payable ledger) account and the supplier statement of accounts.

CHAPTER 6: Visual Overview

CHAPTER 6: Visual Overview



6.1.1 What is Petty Cash?

1.1 What is Petty Cash?

Definition

Petty cash is the money (notes and coins) a business holds to pay for low-value items and deal with any other transactions requiring cash.

Petty cash is usually kept in a cash tin or box and then in a safe on the business premises. It is quicker and more convenient for the business to make payments for low-value items using petty cash than a bank transfer.

Examples of small value items paid using petty cash are:

- tea and coffee for its employees
- small office supplies such as paper for the printer or postage stamps
- small taxi/cab fare for employees attending business-related events
- flowers or birthday cards

Activity 1

For each transaction below, state whether the items can be paid using petty cash.

1. Rajiv buys a printer costing $105 for the office.
2. Rajiv asks an employee, Puja, to purchase flowers costing $8.99 to make the shop attractive.
3. Rajiv asks one of his employees, Amit, to purchase paper cups for the water cooler in the shop. Amit spends $6.99 of his own money on the cups and asks for reimbursement.

**Please use the notes feature in the toolbar to help formulate your answer.*

6.1.2 Petty Cash Procedures

1.2 Petty Cash Procedures

These are the steps to follow to make small-value purchases using petty cash:

1. When money is taken out to make purchases for small value items, an I.O.U. note (I owe you) is put into the tin. An I.O.U contains details of:
    - the amount used from the petty cash tin
    - the date of transaction
    - the person who took out the petty cash
2. After purchasing the item, any change is returned to the tin.
3. The IOU is replaced with a **petty cash voucher** (or petty cash receipt) with an attached purchase receipt.
4. If employees spend their own money for a purchase, they will be reimbursed directly from the petty cash tin. The petty cash voucher is raised during the reimbursement with the supporting receipt attached.

6.1.3 Petty Cash Vouchers

1.3 Petty Cash Vouchers

A petty cash voucher records details of the petty cash payments. The voucher is included in the petty cash tin with the purchase receipt.

A petty cash voucher is issued when:

- An I.O.U. is removed
- Reimbursement to employees who used their own money for small-value business purchases

Key Point

Each petty cash voucher must have a **supporting receipt** attached to it. The supporting receipt is evidence of the item that was purchased.

The receipt is stapled together with the petty cash voucher and placed in the tin.

1.3.1 Elements of a petty cash voucher

Date: 31 March 20X1

Petty cash voucher

Voucher Number: 097

	Amount in $
Details: Flowers decoration	
Net amount:	2.50
Sales tax:	0.50
Total amount:	**3.00**

Signature: *Claire*

Authorised by: *Stella*

- Date – The date of transaction
- Voucher number – Petty cash vouchers are issued in numerical order
- Details – A brief description of the transaction purchase. The Description should be detailed enough for the accountant to analyse the petty cash transactions later.
- Net amount – The amount for purchases before sales tax
- Sales tax – The sales tax incurred on the purchase.

The sales tax paid to the supplier is a form of input tax and is refundable from the tax authorities. Therefore, it is part of a business's current asset.

- Total amount – The total amount paid for the purchase
- Signature – The signature of the employee who received cash to make the purchase
- Authorised by – The signature of the person responsible for the petty cash system

Exam Advice

Most businesses buy blank petty cash voucher books that are pre-numbered to be recorded quickly. Petty cash vouchers may look different in different organisations.

1.3.2 Preparing a Petty Cash Voucher

Key Point

The **net amount** (amount before sales tax) is **always 100%.** The gross amount is 100% + sales tax %

Example 1

Prepare a petty cash voucher for each of the transactions below.

1. On 2nd March 20X1, Rajev authorises Seema to buy some envelopes using petty cash for $18. The sales tax incurred on the net amount is 20%.

Date: 2nd March 20X1 **Petty Cash Voucher** Voucher Number: 103	
	Amount in $
Details: Envelopes	
Net amount (100%):	15.00
Sales tax (20%):	3.00
Total amount (120%):	**18.00**
Signature: *Seema* Authorised by: *Rajev*	

2. Puja recently attended a health and safety at work course held in a neighbouring city. She wants to reclaim the $6 she paid for the train fare. She hands Seema the receipt dated the 3rd of March 20X1 for the train fare. There is no sales tax on train fares.

Example 1

Date: 3rd March 20X1

Petty Cash Voucher

Voucher Number: 104

	Amount in $
Details: Travel	
Net amount:	6.00
Sales tax:	-
Total amount:	**6.00**

Signature: Puja

Authorised by: Seema

3. On the 5th of March 20X1, Kimmy buys two stamps from RFashion for her use. In exchange for the stamps, $1 was paid into the petty cash tin. There is no sales tax.

Since this is cash received, the transaction details are highlighted in red.

Date: 5th March 20X1

Petty Cash Voucher RECEIPT

Voucher Number: 105

	Amount in $
Details: RECEIPT for two stamps	
Net amount (100%):	1.00
Sales tax (20%):	-
Total amount (120%):	**1.00**

Signature: Kimmy

Authorised by: Seema

- Businesses may use a different voucher type for petty cash receipts. However, for companies where receipts into petty cash are rare, a petty cash voucher can be used by highlighting the cash receipt.

6.1.4 Imprest and Non-Imprest System

1.4 Imprest and Non-Imprest System

Key Point

Imprest and non-imprest systems are **methods of replenishing** the petty cash tin. A business may manage the level of cash by operating either the imprest or non-imprest system.

In an imprest system, the amount of cash in the petty cash tin is replenished up to the fixed imprest amount set by the business. During the month, the total value of cash in the tin plus the value of receipts must equal this fixed amount. The amount to replenish in an imprest system is the total amount of petty cash vouchers in the tin.

Any other form of replenishing is called a non-imprest system.

1.4.1 Imprest System (Cash Float)

In an imprest system, there is a fixed amount of money in the petty cash tin at the beginning of each period.

At the end of the period, the amount of cash in the tin is counted. When cash is paid from the tin, petty cash vouchers are placed into the tin, so that the value of cash plus the value on the vouchers will always equal the fixed amount. The fixed amount of money is called a "**cash float**".

- For example, $100 is in the petty cash tin at the start of each week. The tin is left with $75 in cash at the end of the week. $25 is added back to the tin to bring the total cash to $100 for the start of the following week.

The petty cash vouchers are removed and filed in a folder separately from the tin for record purposes.

Key Point

Imprest amount = balance in the petty cash tin + IOUs + petty cash vouchers amount total (amount spent)

Top up amount = payment vouchers + IOUs – receipt vouchers

Example 2

1. The balance in the petty cash tin is $50, and the vouchers total is $150.

Example 2

What is the imprest amount?

Petty cash tin balance + Petty cash vouchers total = Imprest amount

Petty cash balance $50 + Petty cash vouchers $150 = $200

2. The imprest is $150, and the balance in the tin is $15.

What is the value of the petty cash vouchers?

Imprest amount – Petty cash tin balance = Petty cash vouchers total

Imprest $150 – Petty cash balance $ 15 = $135

3. The table below summarises the petty cash transactions in a week.

How much money should be added to the petty cash tin if the cash float is $500?

Income	$	Expenditure	$
Opening balance	500	Travelling expenses	150
Sale of stamps	10	Subsistence expenses	250
Sale of paper	50		

Payment vouchers – Receipt vouchers = Top-up amount

($150 + $250) – ($10 + $50) = $340

4. The imprest Amount is $500. At the end of the week, payment vouchers in the tin totalled $400, and receipt vouchers totalled $60. There are also IOUs amounting to $5.

What is the balance in the tin at the end of the week?

Imprest amount – IOUs – Petty cash vouchers total = Petty cash tin balance

Imprest $500 – IOUs $5 – Payment voucher $400 + Receipt voucher $60 = $155

1.4.2 Non-Imprest System

Non-imprest system is any other method of replenishing than an imprest system.

An amount added into the petty cash tin, regardless of the cash taken out during the week, is a non-imprest system.

- For example, a business starts with $125 in the petty cash tin at the beginning of the period. During the week, the business uses up $38 of petty cash. $40 is added back into the petty cash tin, bringing to total petty cash amount to $127.
- Another example of a non-imprest method is when a business replenishes a fixed amount of $30 regardless of the balance in the petty cash tin

6.2.1 Introduction to Petty Cash Accounting

2.1 Introduction to Petty Cash Accounting

At the end of each period, the business accountant will record all activities relating to petty cash into the accounting system. The accounting system (general ledger) comprises general ledger accounts representing categories such as assets, liabilities, capital, income and expenses.

The transactions are entered into the general ledgers using double entry. Each general ledger is represented using T-accounts.

2.1.1 Petty Cash Accounting Process

1. All petty cash transactions are recorded in the general ledger accounts using journal entries at the end of the week.
2. The petty cash vouchers and attached receipts are removed from the petty cash tin and kept in a separate folder as supporting documentation.
3. The physical notes and coins in the petty cash tin are counted, and the balance is known as 'cash-in-hand'.
4. The petty cash ledger accounts are closed off. (Opening balance + petty cash income − petty cash expense + reimbursements)

The balance carried/down is the petty cash balance when closing the accounts.

5. Reconciliation is performed by comparing the ‘cash-in-hand’ balance to the balance calculated in the petty cash ledger account. If the balances do not match, the differences are investigated.

6.2.2 Relevant Petty Cash Ledger Accounts

2.2 Relevant Petty Cash Ledger Accounts

A journal is used to record transactions or adjustments in the general ledger and is a part of the double-entry process. Journals are covered in Chapter 8 (Trial Balance).

Petty cash transactions are recorded using journals to relevant petty cash ledger accounts. Transactions are recorded in the ledgers as soon as they occur.

1) Petty cash account (asset)

This account shows every transaction relating to petty cash. The balance c/d of the petty cash ledger accounts is the petty cash balance at the period end.

2) Bank account (asset)

Petty cash tins are replenished using money in the bank.

3) Expense accounts (expense)

Purchases made using petty cash is reflected in their individual expense account.

For example, the purchase of postage stamps affects the stationery expense account. The purchase of train fare tickets affects the travel expense account.

4) Sales tax account (Asset)

There may be sales tax incurred on business purchases using petty cash. This input sales tax paid is refundable from tax authorities. Therefore, it is categorised as an asset as the business expects an inflow of money.

2.3 Petty Cash Transactions and Journal Entries

Journal entries are created on each petty cash transaction to be posted into the relevant ledger accounts. In the FA1 exam, it is assumed that cash receipts and payments are entered into the system using manual journals. Below is a list of petty cash transactions and their associated journal entries.

2.3.1 Payments for Business Expenses

Employees may use petty cash to make business purchases such as flower decorations or birthday cards. Money is taken from the petty cash tin to pay for these expenses.

For business expenses paid using petty cash, two ledger accounts are affected.

- Individual expense
- Petty cash

	General Ledger account	Category	Explanation
Dr.	Individual expense	Expense	Business expenses increased
Cr.	Petty cash	Asset	Petty cash (asset) decreased

Relevant expense account

Relevant expense accounts mean the expense account which relates to the expenditure.

For example, the purchase of pens and erasers is recorded in the stationery expense account. On the other hand, plant or decoration purchases are recorded in the office expense account, while train tickets or petrol fuel payments are recorded in the travel expense account.

For petty cash purchases for items with **sales tax**, the amount attributable to sales tax is recorded in the sales tax account.

	General Ledger Account	Category	Explanation
Dr.	Relevant expense	Expense	Business expenses increased
Dr.	Sales tax	Asset	Sales tax recoverability (asset) increased
Cr.	Petty cash	Asset	Petty cash (asset) decreased

2.3.2 Receipts from Petty Cash Sale

Receipts into the petty cash tin are due to the sale of previous petty cash purchases. For example, a business purchases ten postage stamps using petty cash. An employee buys two postage stamps and adds money into the petty cash tin.

This effectively reduces the expenses for the previous petty cash purchase.

Receipts from a petty cash sale affect two ledger accounts.

- Petty cash
- Relevant expense

General Ledger Account	Category	Explanation
Dr. Petty cash	Asset	Petty cash (asset) increased
Cr. Individual expense	Expense	Business expenses decreased

2.3.3 Reimbursement of Petty Cash

The petty cash tin is reimbursed using either the imprest or non-imprest system. Cash is taken from the bank and added into the petty cash tin at the end of every period.

Reimbursements into petty cash will impact two ledger accounts.

- Petty cash
- Bank

General Ledger Account	Category	Explanation
Dr. Petty cash	Asset	Petty cash (asset) increased
Cr. Bank	Asset	Cash in bank (asset) decreased

Example

For each of the transactions listed below, what are the journal entries and the impact of these on the ledger accounts?

1. In a week, there were three purchases. Details of the purchases were included in the petty cash voucher.

No: 106	
Date: 8 March 20X1	
	Amount ($)
Postage stamps	
Net	2.80
Sales tax	0.00
Total	2.80
Signature: Amit	
Authorised by: Rajiv	

No: 107	
Date: 10 March 20X1	
	Amount ($)
Plants	
Net	5.90
Sales tax	1.18
Total	7.08
Signature: Amit	
Authorised by: Rajiv	

No: 108	
Date: 11 March 20X1	
	Amount ($)
Paper	
Net	19.16
Sales tax	3.83
Total	22.99
Signature: Amit	
Authorised by: Rajiv	

Example

The petty cash vouchers highlight the expenses made during the week.

- To increase an expense account, debit the individual expense account with the net amount paid.
- The sales tax paid is recoverable and is an asset. To increase an asset account, debit the sales tax account.
- Since petty cash (asset) has decreased, credit the petty cash asset account with the total amount paid.

The manual journal entries would be:

Petty cash voucher 106

Dr.	Stationery (expense)	$2.80
Cr.	Petty cash (asset)	$2.80

Petty cash voucher 107

Dr.	Office expense (expense)	$5.90
Dr.	Sales tax (asset)	$1.18
Cr.	Petty cash (asset)	$7.08

Petty cash voucher 108

Dr.	Stationery (expense)	$19.16
Dr.	Sales tax (asset)	$3.83
Cr.	Petty cash (asset)	$22.99

2. *RFashion* then receives $2 on 12th March 20X1 into the petty cash tin in respect of providing photocopier services to one of its employees.
    - An inflow of cash into the petty cash account reduces expenses. Therefore, the individual expense account will be credited.
    - As petty cash has increased, debit the asset account.

Example

Dr. Petty cash account (asset) $2

Cr. Office account (expense) $2

3. On 14th March 20X1, Seema adds in $30.87 into the petty cash account of *RFashion*.
    - The petty cash account has increased, while the bank account has decreased.
    - To increase an asset account, debit the petty cash account. To decrease an asset account, credit the Bank account.

Dr. Petty cash (asset) $30.87

Cr. Bank (asset) $30.87

4. Note: Top up amount = Payment vouchers – Receipt vouchers
5. Top Up $30.87 = Payment ($2.80 + $7.08 + $22.99) – Receipt ($2)
6. The top-up amount is the petty cash voucher amount. *RFashion* uses an imprest system of replenishing its petty cash tin.
    - **The impact on each general ledger account** should look like this at the end of the week (14th March 20X1) (Note that the opening cash balance is $70):

Dr.		**Petty cash account (asset)**			Cr.
08-Mar-X1	Balance b/d	$70	08-Mar-X1	Stationery	$2.80
12-Mar-X1	Office Expense	$2	10-Mar-X1	Office Expense	$7.08
14-Mar-X1	Bank	$30.87	11-Mar-X1	Stationery	$22.99
			14-Mar-X1	Balance c/d (Petty Cash bal.)	$70
		$102.87			$102.87
15-Mar-X1	Balance b/d	$70			

Dr.		**Bank account (asset)**			Cr.
			14-Mar-X1	Petty Cash	$30.87

Example

Dr.		Stationery account (expense)		Cr.
08-Mar-X1	Petty Cash	$2.80		
11-Mar-X1	Petty Cash	$19.16		

Dr.			Office expense account (expense)		Cr.
10-Mar-X1	Petty Cash	$5.90	12-Mar-X1	Petty Cash	$2

Dr.		Tax account (asset)		Cr.
10-Mar-X1	Petty Cash	$1.18		
11-Mar-X1	Petty Cash	$3.83		

Activity 2

---

1. **For each petty cash transaction listed below, what are the journal entries to be recorded into the general ledger accounts?**

1.

Date: 2nd March 20X1 **Petty Cash Voucher** Voucher Number: 103	
	Amount in $
Details: Envelopes	
Net Amount (100%):	15.00
Sales Tax (20%):	3.00
Total Amount (120%):	**18.00**
Signature: *Seema* Authorised by: *Rajev*	

2.

Date: 3rd March 20X1

Petty Cash Voucher

Voucher Number: 104

	Amount in $
Details: Travel	
Net Amount (100%):	6.00
Sales Tax (20%):	-
Total Amount (120%):	**6.00**
Signature: *Puja*	
Authorised by: *Seema*	

3.

Date: 5th March 20X1

Petty Cash Voucher RECEIPT

Voucher Number: 105

	Amount in $
Details: RECEIPT for two stamps	
Net Amount (100%):	1.00
Sales Tax (20%):	-
Total Amount (120%):	**1.00**
Signature: *Kimmy*	
Authorised by: *Seema*	

4. On 7th March 20X1, $23 was replenished into the petty cash tin. The balance b/d during the start of the period (1st March 20X1) is $150.

2. **How much cash needs to be reimbursed at the end of the week to maintain its cash float of $150?**

3. If Rajiv uses a non-imprest system and believes a maximum of $160.00 is sufficient for the petty cash tin to cover petty cash payments in the next week.

How much cash needs to be paid into the petty cash tin for the start of the following week?

**Please use the notes feature in the toolbar to help formulate your answer.*

6.2.4 Petty Cash Reconciliation

2.4 Petty Cash Reconciliation

Reconciliation is ensuring the balances of two separate sources of information agree. Any discrepancies between the two sources of information are investigated.

Petty cash reconciliation compares the balances from:

- Petty cash tin (cash-in-hand)
- Petty cash records (petty cash ledger account)

The cash that remains in the petty cash tin is physically counted periodically. The balance is known as the "**cash-in-hand**". This amount is recorded on a cash sheet.

The petty cash ledger account accounts for all petty cash transactions. In a T-Account, the petty cash balance is the **balance c/d figure**.

2.3.1 Differences in Petty Cash Reconciliations

The balance of cash-in-hand might not always reconcile to the balance c/d figure due to several reasons:

- Errors when calculating cash-in-hand
    - The numbers of notes and coins are miscounted
    - The amount is incorrectly recorded on the cash count sheet.
    - The total amount is incorrectly calculated on the cash count sheet.

To resolve this difference, cash in the petty cash tin should be recounted again. The cash count sheet should be amended as well.

- Errors in petty cash ledger accounts
    - The petty cash ledger omitted one or a few petty cash vouchers.
    - A petty cash transaction is not recorded on a petty cash voucher.

All missed transactions should be recorded in the ledger accounts to resolve differences due to this error. The balance carried/ down should also be recalculated.

- Theft and fraudulent activities
    - Cash is stolen from the petty cash tin.

The cash lost needs to be recorded as “payment out” in the ledger account to resolve differences due to theft. The business also needs to investigate its security procedures in handling petty cash.

Example 4

Continuing from Example 3, Seema from RFashion finished counting the petty cash balance in the tin of $51.21 for the week starting 6th March 20X1. She then prepares the following reconciliation:

Cash-in-hand balance	$51.21
Petty cash account balance (bal c/d)	$70.00
Difference	**$18.79**

She compares the two balances and calculates that the difference is $18.79. She then investigates and finds two reasons for the difference:

Reason 1 – Seema miscounted the petty cash balance in the tin. The correct cash-in-Hand is $56.

Reason 2 – There was a payment made by Puja for business refreshments for $14 on 13th March. No petty cash voucher was raised. Puja was able to provide Seema with the receipt.

Answer:

For Reason 1, Seema should amend the cash count sheet to the correct total. The reconciliation sheet will now be:

Cash-in-hand balance	$56
Balance c/d in Petty cash ledger accounts	$70
Difference	**$14**

For Reason 2, a petty cash voucher should be raised, and a journal entry made into the ledger account (Dr. Expense account, Cr. Petty cash account). The revised petty cash account should look like this:

Example 4

Dr.			Petty cash account (asset)		Cr.
06-Mar-X1	Balance b/d	$70	08-Mar-X1	Stationery	$2.80
12-Mar-X1	Office expense	$2	10-Mar-X1	Office expense	$7.08
14-Mar-X1	Bank	$30.87	11-Mar-X1	Stationery	$22.99
			13-Mar-X1	Refreshments	$14
			14-Mar-X1	Balance c/d	$56
		$102.87			$102.87

The refreshments payment is reflected in the ledger account, and a new balancing figure (bal c/d) is calculated.

Finally, the reconciliation between the two balances should now agree:

Cash-in-Hand balance	$56
Balance c/d in Petty cash ledger accounts	$56
Difference	**$0**

Syllabus Coverage

This chapter covers the following Learning Outcomes.

A. Types of Business Transactions and Documentations

2. **Types of business documentation**

1. Prepare a petty cash voucher including the sales tax element of an expense when presented with an inclusive amount.

E. General ledger accounts

1. **Prepare general ledger accounts**

1. Prepare general ledger accounts, clearly showing the balances brought forward and carried forward as appropriate.

F. Cash and bank

2. **Maintaining a petty cash record**

1. Enter and analyse petty cash transactions in the accounting system including any sales tax effect where applicable.
2. Demonstrate using the imprest and non-imprest systems to maintain a petty cash record.
3. Reconcile the petty cash record with cash in hand.
4. Prepare and account for petty cash reimbursements.

6 Summary and Quiz

Summary and Quiz

- Petty cash is the money (notes and coins) a business holds to pay for low-value items and deal with any other transactions requiring cash.
- The petty cash procedure is:
    - When money is taken out to make purchases for small value items, an I.O.U Note (I owe you) is put into the tin.
    - After purchasing the item, any change is returned to the tin.
    - The IOU is taken out and replaced with a **petty cash voucher**
- A petty cash voucher records details of the petty cash payments. The voucher is included in the petty cash tin with the purchase receipt.
- In the petty cash voucher, the **net amount** (amount before sales tax) is **always 100%.** The gross amount is 100% + sales tax %
- Imprest and non-imprest systems are **methods of replenishing** the petty cash tin. A business may manage the level of cash by operating either the imprest or non-imprest system.

- In an imprest system, there is a fixed amount of money in the petty cash tin at the beginning of each period. At the end of the period, the amount of cash in the tin is counted. The business then adds money to bring the cash total to the original fixed amount.
- Non-imprest system is any other method of replenishing than imprest System.
- The double entry to record petty cash payments for business expenses is:

	General Ledger Account	**Category**
Dr.	Individual expense	Expense
Cr.	Petty cash	Asset

- The double entry to record petty cash receipts is:

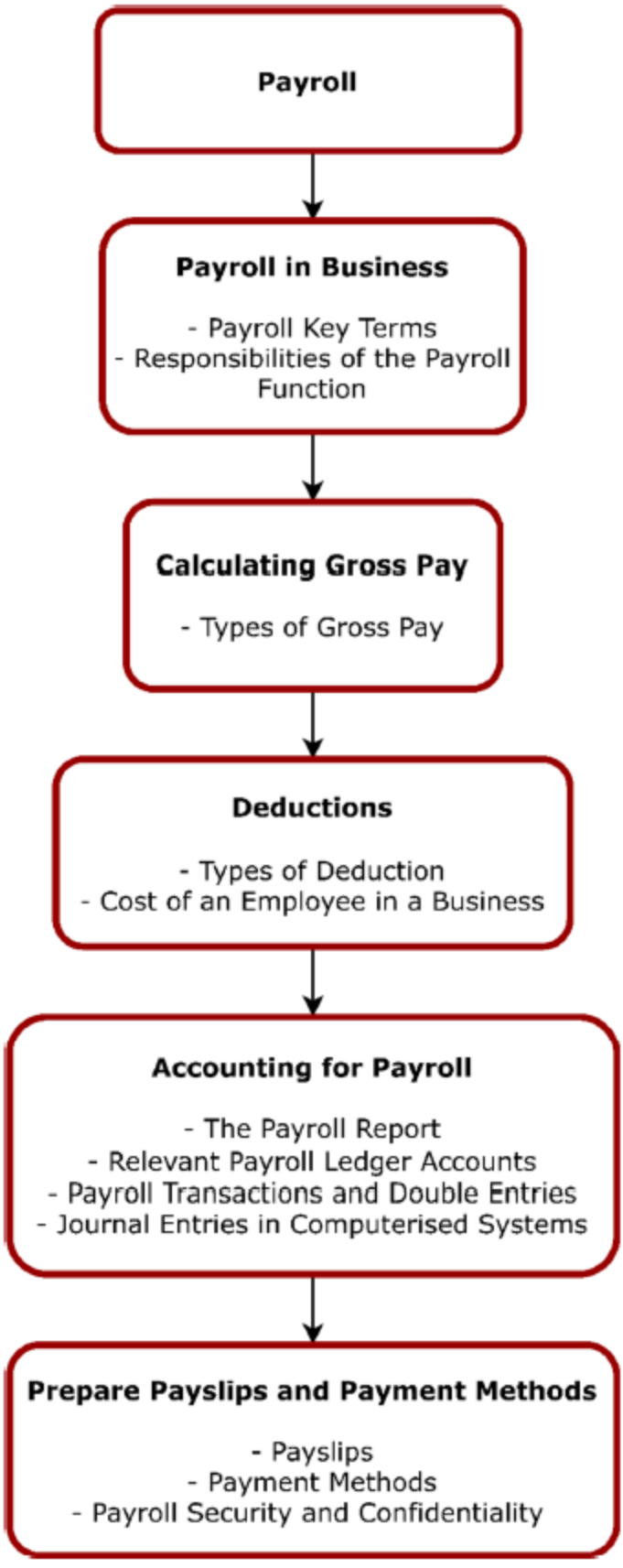
	General Ledger Account	**Category**
Dr.	Petty cash	Asset
Cr.	Individual expense	Expense

- The double entry to record petty cash reimbursements is:

	General Ledger Account	**Category**
Dr.	Petty cash	Asset
Cr.	Bank	Asset

- Petty cash reconciliation compares the balances from petty cash tin (cash-in-hand) and petty cash records (petty cash ledger accounts)
- Differences may arise between the two balances due to:
    - Errors when calculating cash-in-hand
    - Errors in petty cash ledger accounts
    - Theft and fraudulent activities

CHAPTER 7: Visual Overview


Payroll
Payroll in Business
- Payroll Key Terms
- Responsibilities of the Payroll Function
Calculating Gross Pay
- Types of Gross Pay
Deductions
- Types of Deduction
- Cost of an Employee in a Business
Accounting for Payroll
- The Payroll Report
- Relevant Payroll Ledger Accounts
- Payroll Transactions and Double Entries
- Journal Entries in Computerised Systems
Prepare Payslips and Payment Methods
- Payslips
- Payment Methods
- Payroll Security and Confidentiality

7.1.1 Payroll Key Terms

1.1 Payroll Key Terms

- **Payroll** – Payroll is the record a business keeps of employees' work, remuneration (wages, salaries, bonuses, etc.), and other expenses.
- **Employee** – An employee is a person who works for the business in return for wages or salary.
- **Wages –** Wages are amounts paid to work employees. Wages can be based on hours worked or the output achieved.

For example, an employee can be paid $10 for each hour worked or $1 for each item produced.

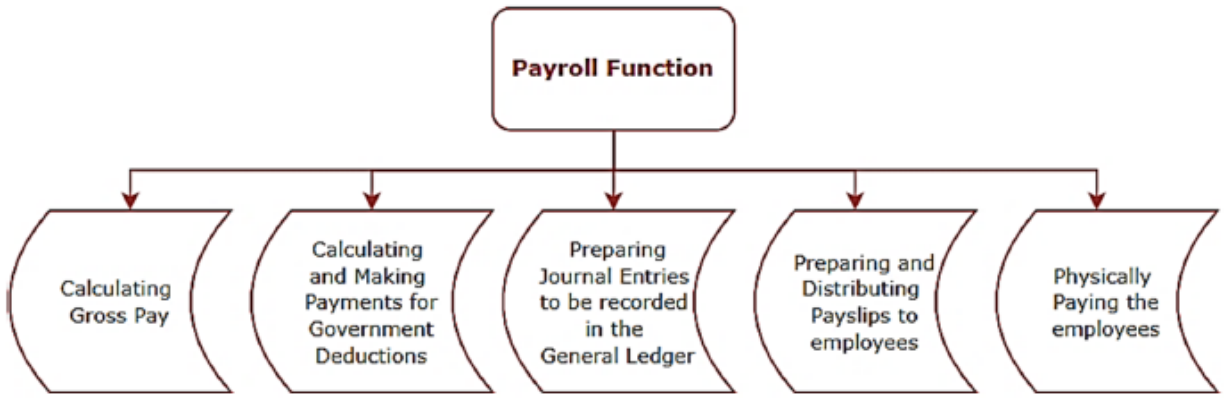
- **Salary –** Salaries are fixed payments to employees for the period of employment, regardless of hours worked or their output level.

For example, a salaried employee is paid $2,000 every month.

- **Payroll System –** The payroll system is the set of procedures a business uses in dealing with all payroll-related matters. The procedures include determining the amount to pay its employees, making physical payments, and recording these payments in the general ledger.
- **Payroll Function –** The payroll function/department manages the payroll system.

7.1.2 Responsibilities of the Payroll Function

1.2 Responsibilities of the Payroll Function



- **Calculating gross pay**

Gross pay is the amount each employee earns before any statutory deductions are made.

Gross pay can be made up of wages or salaries. It can also be combined with many elements, including overtime, bonus, commission, and others.

Key Point

Gross wage or salary is an employee's earnings **before deductions** are made.

- **Calculating and making payments for government deductions**

Most governments expect employers to make deductions from employees on their behalf, such as:

-
    - Employee income taxes
    - State benefit contributions
    - Employee's pension contributions.

The payroll department is responsible for applying the government's rules to correctly calculate the amount deducted from each employee's gross pay.

As a result of these deductions, an employee is paid less than the amount earned.

-
    - For example, an employee earns a salary of $2,000 a month. A total of $450 is deducted from the employee for tax. Therefore, the employer will pay $1,550 to the employee and $450 to the government.

The $2,000 monthly salary is the employee's gross salary, and the $1,550 he receives is his net salary.

- **Preparing journal entries to be recorded in the general ledger**

All payroll transactions, such as payroll expenses and employee payments, must be accounted for and recorded in the general ledger.

The payroll department is responsible for creating journal entries to record all payroll information at each point of transaction.

- **Preparing and distributing payslips to employees**

Each employee is provided with a detailed payslip every time they are paid. A payslip is a document given to the employee showing gross pay, deductions, employee information, etc.

- **Physically paying the employees**

Employees will be paid by cash, cheque, or direct credit. Security and control procedures ensure payments are made correctly.

7.2.1 Types of Gross Pay

2.1 Types of Gross Pay

Elements that make up the gross amount paid to an employee include:

2.1.1 Salary

Salaries are fixed amounts paid to employees each month regardless of output. They form part of basic pay.

2.1.2 Wage

Wages are based on variable factors such as the number of hours worked or the amount of output achieved (piecework). Wages form part of basic pay.

To record the employee work hours, businesses may:

- use a "**clocking in**" machine where employees swipe their cards on arrival and exit.
- provide employees with **timesheets** where working hours are recorded.

Wages paid according to the amount of output achieved is called piecework. To calculate an employee's wages based on piecework, businesses must determine the pay rate per unit and the number of units (output) produced by an employee.

- Employers may give employees a minimum wage to ensure they still get paid for production below specific amounts.

Gross wage or salary is an employee's earnings before deductions are made.

2.1.3 Overtime

Agreements between employer and employee are set in place, stipulating work conditions such as expected working hours.

Employees who work more than the contracted hours are paid overtime. Employers usually pay overtime at a higher rate than normal.

For example, an employer may pay time-and-a-half (150% of the normal rate) or double-time (200% of the normal rate).

2.1.4 Other Additional Earnings

Employees may also earn additional pay in addition to their regular wage or salary. This could be bonus payments due to excellent work performance or commission payments on the number of goods the employee sells.

Commission payment is generally based on the percentage of sales generated, the number of units sold, or the monetary value of units sold. Commission gives employees a strong incentive to increase sales for the business.

2.1.5 Holiday Pay

Businesses have legal requirements to pay employees holiday pay in most countries.

2.1.6 Statutory Sick Pay and Maternity Pay

Employees who cannot work due to sickness or have recently delivered a baby can still receive payment. Factors determining the amount of sick pay and maternity pay vary by country and business.

2.1.7 Back Pay

Employees may receive pay increments on a fixed date each year. Employees are entitled to the rise from a selected date, and additional amounts paid to reflect this backdated increase are known as back pay.

Key Point

When referring to **gross pay**, it can be formed from **any combination** of the elements above.

There are several ways to earn gross pay, each of which has a different calculation.

Example 1

1. **Wages based on Hours worked**

Jasmine earns $6.70 an hour and is expected to work 36 hours each week.

Joey earns $7.50 an hour and is expected to work 30 hours weekly.

Answer:

If each employee works their expected hours, their gross basic wage each week is:

Jasmine: $6.70 × 36 hours = **$241.20**

Joey: $7.50 × 30 hours = **$225.00**

If Jasmine only works 24 hours a week, her gross basic wage would be $6.70 × 24 hours = $160.80.

2. **Wages based on Piecework (Constant amount per unit)**

Melissa receives $2 for each item she produces.

In Week 1, she produces 360 items. Therefore, Melissa's weekly wage is 360 units × $2/unit = $720.

The following week (Week 2), there were not as many orders, and Melissa only produced 190 items. However, the employer guarantees a minimum weekly wage of $400.

Answer:

Melissa's wage for week 2 is 190 units × $2 per unit = $380.

However, this is less than the $400 minimum wage the employer has promised to pay. Therefore, she earns the minimum wage of **$400** in Week 2.

3. **Wages based on Piecework (Piecework rate per hour)**

Gautham is paid on a piecework basis. Each unit he makes is allowed a fixed amount of time. If there is a set rate for each productive time hour, it is known as the piecework rate per hour. The piecework rate per hour is $4.

Example 1

Each unit Gautham makes is allowed a fixed amount of time. The time allowed for each unit is as follows:

Unit of A = 1 hour

Unit of B = 0.5 hours.

In a 38-hour week, Gautham produced 20 units of A and 30 units of B.

Answer:

To work out the piecework (productive) hours

= number of units produced × time allowed for the unit

Units of A = 20 units × 1 hour = 20 hours

nits of B = 30 units × 0.5 hours = 15 hours

Total piecework hours = (20 hours + 15 hours = 35 hours)

Gautham is paid $4 for each piecework hour, so his gross wage is:

$4 × 35 hours = **$140**.

*Note that he is only paid for 35 standard hours, not the 38 hours he worked.

4. **Overtime Payment**

Brian is expected to work 36 hours weekly, with overtime paid time-and-a-half.

Cassie is expected to work 30 hours each week; overtime is paid double-time.

In this example, the standard rate of pay is $7.50.

In a week, Brian worked 40 hours, and Cassie worked 35 hours. The overtime payment is the excess of standard working hours.

Answer:

Overtime payment = (hours worked − expected hours) × overtime rate/hour

Brian is paid overtime of: (40 hours − 36 hours) × ($7.50 × 1.5) = $45

Cassie is paid overtime of: (35 hours − 30 hours) × ($7.50 × 2) = $75

Brian's gross pay: (36 hours × $7.50) + $45 = **$315**

Example 1

Cassie's gross pay: (30 hours × $7.50) + $75 = **$300**

5. **Commission Payment**

Javene has a gross annual salary of $15,000, and he receives $1,250 gross monthly. Apart from her salary, she gets a commission of 4% on the value of sales she has made in the previous month.

Last month, Javene sold $25,000 worth of goods.

Answer:

Therefore, she will receive commission of $25,000 × 4% = $1,000.

Her gross pay will be $1,250 (salary) + $1,000 (commission) = **$2,250**

6. **Bonus Payment (Fixed)**

Lavender works 37 hours at an hourly rate of $5.80 and is also offered a bonus of $100.

Answer:

Her gross pay for that week is: (37 hrs × $5.80 = $214.60) + $100 bonus = **$314.60**

7. **Bonus Payment (per Unit)**

For every unit that Alicia produces over 1,200 units per week, she receives a bonus of $2 per unit. Alicia's basic weekly wage is $250. This week, she produced 1,320 units.

Answer:

Bonus Pay = number of units qualified for bonus × bonus rate

(1,320 units - 1,200 units) × $2 per unit = $240

Alicia's gross pay is $250 Basic + $240 Bonus = **$490**

8. **Bonus Payment (Percentage)**

In Silk Savers Ltd, employees are paid a bonus of 13% of their basic wage of $340 per week if production is 5% more than planned. This week, the planned unit production was 3,000 units. The actual units produced were 3,201 units.

Answer:

Example 1

Actual production must be at least 5% more than the planned production for bonus entitlement.

Production target for bonus entitlement: 5% of 3,000 units =150 extra units

3,000 units planned + 150 units extra = 3,150 units required to earn bonus.

Silk Savers employees produced 3,201 units, exceeding planned production by more than 5%, and are entitled to a bonus of 13% of their basic wage.

Bonus: 13% × $340 = $44.20

Gross Pay is: $340 Basic + $44.20 Bonus = **$384.20**

Activity 1

---

1. Chen is paid weekly on a piecework basis and is guaranteed a minimum wage of $500 weekly. The piecework rate is:
    - $1.40 for each product A produced
    - $0.80 for each product B produced.

In a week, he produces 200 As and 300 Bs. What is Chen's gross wage for the week?

2. Naima is paid weekly on a piecework basis. The hourly piecework rate is $6 an hour. The time allowed for each unit that the business makes is as follows:
    - 1 hour for product C
    - 30 minutes for product D
    - 15 minutes for product E.

In a 40-hour week, Naima produces these many items:

12 units of C, 20 units of D and 60 Units of E.

What is Naima's gross wage for the week?

3. It is the last week of June, and Rajiv, who takes on the role of a payroll department, calculates the gross pay for Seema, Puja, Amit and Kimi. Seema is paid monthly and earns a salary of $3,000 a month, while the rest are paid weekly for their work hours.

Rajiv has the following information:

- Puja, Amit and Kimi are all expected to work 35 hours a week, the hourly rate for which is $9 an hour
- Overtime is paid at time-and-a-half
- Sick pay is paid at a rate of $25 for each day that an employee is absent
- Puja worked 42 hours during the week
- Amit worked 21 hours and was absent from work for 2 days due to sickness
- Kimi worked 38 hours during the week
- Seema is entitled to a commission of 2% of the amount she sells in a month. In June, she sold $8,500 worth of clothing
- Puja, Amit and Kimi are paid a bonus if they achieve sales of more than $1,800 weekly. The bonus is 5% on sales achieved above this target
- During the week, sales were: $2,400 for Puja, $1,000 for Amit and $1,900 for Kimi.

1. **What is Seema's gross pay for the month?**
2. **What is Puja's gross pay for the week?**
3. **What is Amit's gross pay for the week?**
4. **What is Kimi's gross pay for the week?**

**Please use the notes feature in the toolbar to help formulate your answer.*

3.1 Types of Deduction

Key Point

The final payment an employee receives is the **net pay** (gross earnings **less deductions**).

It is the employer’s responsibility to forward employee deductions to the government accurately and on time.

3.1.1 Taxes

Governments of each county require individuals to pay income tax on their earnings. The government body in charge of income taxes is the tax authority.

To facilitate tax payments, employers deduct the income tax from the employee's gross earnings and pay the deductions to the tax authority on the employee's behalf.

Most countries' tax authorities require payments to be made in the month following the deductions.

3.1.2 State Benefit Deductions

State benefit contribution is another tax imposed on employees by tax authorities.

This contribution to the government supports the welfare of citizens by paying state pensioners, disabled and older people who cannot work.

State benefit contribution is also deducted from the employee's gross payment by the employer. This is then paid over to the tax authority together with the income tax by the employer on behalf of the employee.

In addition to the employee's contributions, employers may also pay a percentage of state benefit contributions on behalf of the employee.

3.1.3 Private Pension Fund

An employee may also contribute to a private work-based pension fund. A private pension fund is an investment savings pot where individuals invest part of their gross earnings to be withdrawn after retirement.

The value of contributions to the pension plan is usually a fixed percentage of their gross Pay. Contributions paid into private pension funds are voluntary in most countries.

In addition to the employee's contributions, employers may also pay a percentage of private pension contributions into the employee's fund.

3.1.4 Other Deductions

'Other deductions' covers anything else that needs to be deducted from an employee's gross pay by the business.

Some businesses have voluntary saving schemes in which employees hold back part of their gross pay to be saved until an agreed date.

Employees may also choose to make donations to charity from their wages. This will be deducted from gross pay.

Exam advice

FA1 questions may require deductions to be calculated as a direct amount or a percentage of gross pay.

The specific calculation of income tax and other deductions on an employee's gross pay is beyond the scope of FA1.

Example 2

Stephanie earns a salary of $25,000 a year. She pays 6% of her salary into her pension, and her employer pays 10%.

How much do she and her company pay into the pension scheme in a month?

Answer:

Stephanie's salary contribution (per annum) = $25,000 × 6% = $1,500 per year.
Stephanie's salary contribution (per month) = $1,500 / 12 months = **$125** per month

Company's contribution (per annum) = $25,000 × 10% = $2,500 per year
Company's contribution (per month) = $2,500 /12 = **$208.33** per month

3.2 Cost of an Employee in a Business

The cost of an employee to an employer includes all aspects of an employee's gross pay, such as their basic wage, overtime, sick pay, and other earnings.

Also, businesses that contribute to employees' state benefits and private pension funds must include these payments in the cost of an employee.

Key Point

The **total cost of an employee** is:

Key Point

Gross pay of employee + **Employer contribution** to employee state benefits/pension funds (or any other employer contributions)

Example 3

Wendy's salary is $20,000 a year. The state benefit contribution the employer pays on top of the employee's contribution is 12% of gross pay.

In addition, Wendy's employer pays its contribution of 5% of gross pay into a pension fund. What is the total annual cost to the employer of employing Wendy?

Answer:

Employer state benefit contributions: $20,000 × 12% = $2,400
Employer pension contributions: $20,000 × 5% = $1,000

The total cost of an employee is = Gross pay + Employer contributions
$20,000 Gross + $2,400 State benefit + $1,000 Pension = **$23,400**

4.1 The Payroll Report

All payroll details such as basic Wage, bonuses and deductions are entered into the computerised system using journal entries. A **payroll report** is generated from the information entered into the system.

The payroll report shows a summary of the information such as:

- Gross pay
- Income tax deduction from employees
- State benefit contribution deduction from employees
- Pension fund contribution deduction from employees
- State benefit contribution deduction from employer
- Pension fund contribution deduction from employer
- Net pay

Example 4

Rajiv from *RFashion* received the payroll report for *RFashion*, showing a summary of all payroll information for March 20X1.

	$
Gross Pay	6,800
Income tax deducted	1,340
State benefit contributions deducted from employees	710
State benefit contributions from employer	865
Pension contributions deducted from employees	325
Pension contributions from employer	520
Net Pay to Employees	

1. What is the total cost of employees to *RFashion*?

Answer:

The total cost to *RFashion* is the gross pay of $6,800 plus anything that is an additional cost for the employer:

State benefit contributions from employer = $865

Pension contributions from employer = $520

$6,800 Gross + $865 State benefit + $520 Pension = **$8,185**

2. What is the Net pay to employees of *RFashion*?

Answer:

Net pay to employees = Gross pay − All employee deductions

$6,800 Gross - $1,340 Income tax - $710 State benefit - $325 Pension = **$4,425**

7.4.2 Relevant Payroll Ledger Accounts

4.2 Relevant Payroll Ledger Accounts

A journal records transactions or adjustments in the general ledger and is, therefore, part of the double-entry process.

Payroll transactions are recorded using journal entries to relevant payroll ledger accounts.

1) Payroll Account (Liability)

This account shows every transaction relating to payroll. The items in this account should have a zero balance every period end.

2) Employee Account (Expense)

This account shows all employee's expenses to the business. It is debited because expense accounts are debit accounts.

This expense account can also be called wages cost or staff costs account.

3) Income Tax Account (Liability)

This account records deductions from employees for income tax. It is credited to show that the business owes money to the tax authority.

4) State Benefit Contribution Account (Liability)

This account records all amounts relating to state benefit contributions. It is credited to show that the business owes money to the tax authority.

5) Pension Fund Account (Liability)

This account records all amounts relating to the pension fund. It is credited to show that the business owes money to the pension fund.

6) Bank Account (Asset)

This account includes all the payments involved. This account will always be credited, as a payroll payment reduces the bank asset.

7.4.3 Payroll Transactions and Journal Entries

4.3 Payroll Transactions and Journal Entries

Key Point

Salaries and other remuneration paid to the owner of the business as a sole trader are recognised as drawings, not business expenses (Wages)

The double entry for the owner's (sole trader) remuneration is

Dr Drawings

Cr Cash / Bank

Each payroll transaction is posted into the relevant ledger accounts. Below is a list of payroll transactions and their associated journal entries.

4.3.1 Total Cost of Employees

The total cost of an employee is the gross pay plus any employer contributions. The cost of employing workers increases a business's employee expenses (expenses).

The total cost of employees is recorded using double-entry in two ledger accounts.

- Employee Expense
- Payroll

	General Ledger Account	Category	Explanation
Dr.	Employee expense	Expense	Employee expenses increased
Cr.	Payroll	Liability	Payroll (liability) increased

The payroll liability account is purely used to control all the entries relating to payroll to ensure they have been appropriately recorded.

4.3.2 Deductions

Income taxes, state benefit contributions and private pension contributions are deducted from an employee's gross pay. An employer deducts these contributions on behalf of an employee. The employer owes that amount upon deduction to the tax authorities and pension fund institutions.

Since actual payments are made only in the following month, this gives rise to liability as the business owes money when the payroll is recorded.

Deductions from the gross payment affect two ledger accounts.

- Payroll
- Individual Deduction Institution (Income Tax/ State Benefit/Pension Fund)

	General Ledger Account	Category	Explanation
Dr.	Payroll	Liability	Payroll (liability) decreased
Cr.	Individual deduction institution	Liability	Deductions to Institutions (liability) increased

To increase a liability account, we will credit the income tax, state benefits and private pension contribution liability accounts and debit the payroll liability account.

In the following month, payments are made to the tax authorities and pension fund.

The business will then debit the individual deduction institution account (liability decreased) and credit the bank account (asset decreased).

4.3.3 Payments to Employees

The employees will be paid their net earnings (after all deductions) every month.

Payments to employees will impact two ledger accounts.

- Payroll
- Bank

	General Ledger Account	Category	Explanation
Dr.	Payroll	Liability	Payroll (liability) decreased
Cr.	Bank	Asset	Bank (asset) decreased

Employee wages and salaries are paid by bank transfer. This will decrease the balance left in the business's bank account.

Example 5

From the payroll report for RFashion, what is the journal entry for each transaction and its impact on the General ledger accounts?

Example 5

	$
Gross pay	6,800
Income tax deducted	1,340
State benefit contributions deducted from employees	710
State benefit contributions from employer	865
Pension contributions deducted from employees	325
Pension contributions from employer	520
Net pay to employees	

1. <u>Total cost of employees</u>

The total cost of an employee is:

$6,800 Gross + $865 State benefit + $520 Pension = **$8,185**

$8,185 is the cost to the business. Therefore, it needs to be recorded in the employee expense account (expenses).

To increase an expense account, we will debit the employee expense account by $8,185 and credit the payroll liability account.

Dr.	Employee expense (expense)	$8,185
Cr.	Payroll (liability)	$8,185

2. <u>Deductions</u>

To increase a liability account, we will credit the income tax, state benefits and private pension contribution liability accounts and debit the payroll liability account by their corresponding amounts.

For income taxes,

Dr.	Payroll (liability)	$1,340
Cr.	Income tax (liability)	$1,340

Example 5

For state benefit contributions, the total owed to tax authorities is $710 + $865 = $1,575

Dr. Payroll (liability) $1,575

Cr. State benefit contribution (liability) $1,575

For private pension fund, the total owed to the pension fund is $325 + $520 = $845

Dr. Payroll (liability) $845

Cr. Pension fund (liability) $845

3. Payments to Employees

During the month, the net total paid to employees is:

$6,800 Gross - $1,340 Income tax - $710 State benefit - $325 Pension = $4,425

Payments out of the bank will decrease the bank balance by crediting the Bank account (asset) and debiting the Payroll (liability) account by $4,425.

Dr. Payroll (liability) $4,425

Cr. Bank (asset) $4,425

The impact on each ledger account should look like this:

Example 5

Dr.	Payroll (liability)		Cr
Income Tax	$1,340	Employee Expense	$8,185
State Benefit Contribution	$1,575		
Pension Fund	$845		
Bank	$4,425		
	$8,185		$8,185

Dr.	Employee expense (expense)	Cr.
Payroll Account	$8,185	

Dr.	Income tax (liability)	Cr.
	Payroll	$1,340

Dr.	State benefit contribution (liability)	Cr.
	Payroll	$1,575

Dr.	Pension fund (liability)	Cr.
	Payroll	$845

Dr.	Bank (asset)	Cr.
	Payroll	$4,425

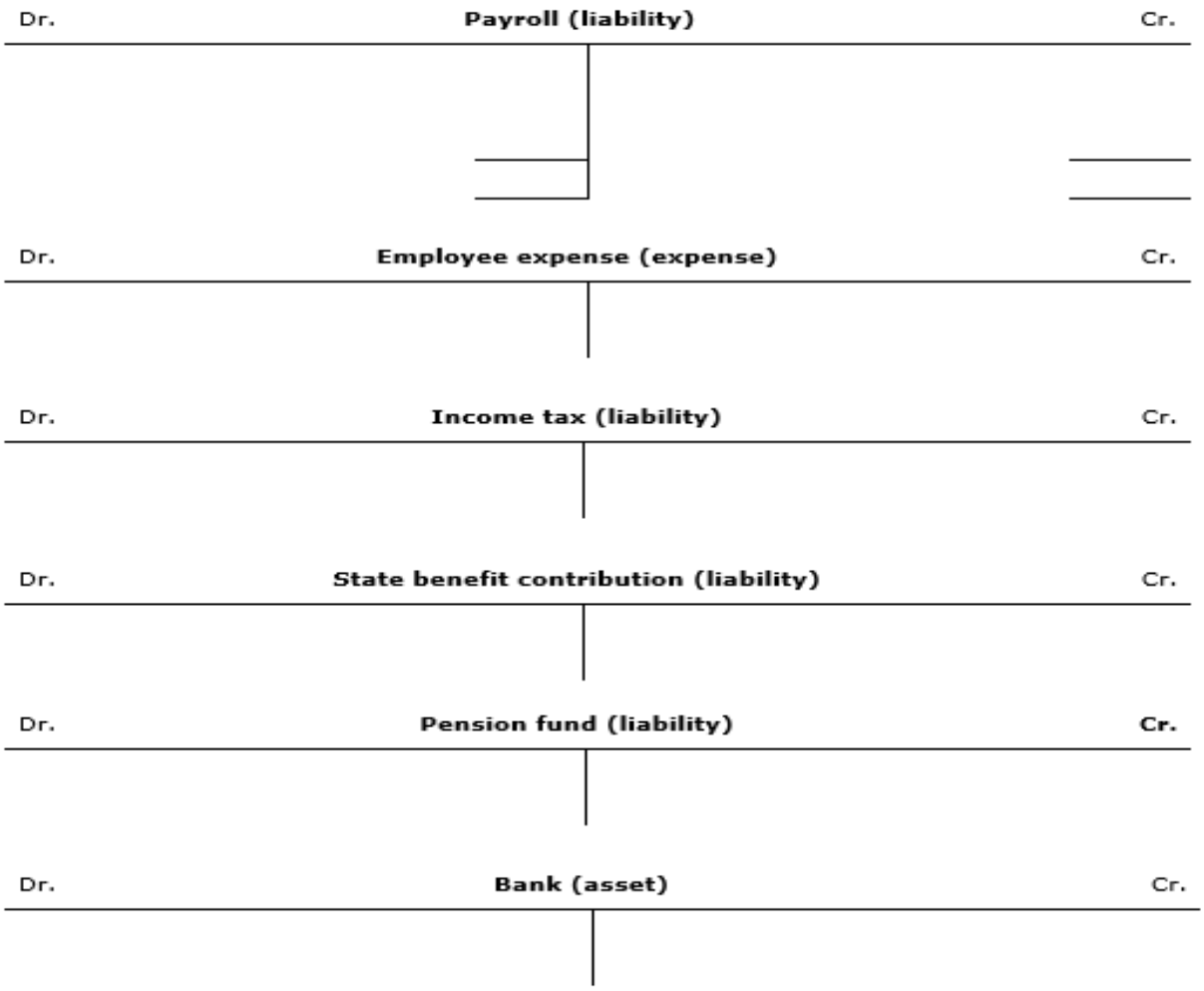
Activity 2

Rajiv was provided with the payroll report as of 31st October 20X1.

	$
Gross pay	7,100
Income tax deducted from employees	1,420
Employee benefit contribution	774
Employer benefit contribution	980
Employee contribution to pension fund	355
Employer contribution to pension fund	586
Net pay to employees	4,551

Complete the payroll journals and show the impact of journals in the ledger T-accounts.

	GL Account Name	**Debit ($)**	**Credit ($)**
Record Rajiv's total cost			
Record income tax liability			
Record state benefit liability			
Record pension fund liability			
Record payment to employees			



**Please use the notes feature in the toolbar to help formulate your answer.*

Key Point

Salaries and other remuneration paid to the owner of the business as a sole trader are recognised as drawings, not business expenses (Wages)

The double entry for the owner's (sole trader) remuneration is

Dr Drawings

Cr Cash / Bank

4.4 Journal Entries in Computerised Systems

Depending on the computerised system of each company, it may no longer be necessary to create manual journal entries. Most computerised systems have the option to automate posting these journals into the payroll ledger alongside generating payroll reports.

However, many small businesses with limited IT budgets still rely on manual journal entries to reflect transactions into the general ledgers. Moreover, it is essential to understand the basics of double entry and its' effect on the accounting system.

5.1 Payslips

Payslips are prepared by a company's payroll function to be distributed to employees when payments are made. A payslip is a financial document with details of the employee, and it shows how an employee's net amount paid is derived.

5.1.1 Elements of a Payslip

RFashion	NAME:	Puja
	DEPT:	Shop

EMPLOYEE No.	EMPLOYEE CODE	TAX CODE	WEEK	NATIONAL IDENTITY No.	PAY DATE
0004	PUJA	900 XX	12	123456C	2 June 20X5

DESCRIPTION	HOURS	AMOUNT $	DEDUCTIONS	AMOUNT $	YEAR TO DATE TOTALS	
Expected hours	35.00	315.00	Income tax	87.90	Gross pay	4,323.25
Overtime	7.00	94.50	State benefit cont.	35.16	Tax paid	864.65
Bonus		30.00	Pension cont.	16.40	State benefit	345.86
					Pension	168.40
					THIS PERIOD	
					Gross pay	439.50
					Income tax	87.90
					State benefit	35.16
					Pension	16.40
					NET PAY	**300.04**

- Header – Name of business
- Name and dept – Name and department the employee works in
- Employee information – The employee's unique internal reference number, employee code and national identity number are shown. The tax code, payment date and payroll week are also shown.
- Description – This column details every type of gross pay earned.
- Hours – This column indicates the hours worked for each gross pay.
- Amount (Gross) – This column shows the gross amount for each type of gross pay.
- Deductions – This column shows all deductions from the employee's gross pay.
- Amount (Deduction) – This column indicates the deduction made from the employee's pay.
- Year-to-date totals – The summary payment in a tax year, broken down into gross pay, income tax, state benefit contributions and pension paid.

Note that a tax year runs from April to March (6 April to 5 April) in the UK.

- This period – The total earned in the specific period.
- Net Pay – The column shows the employee‘s actual amount received.

7.5.2 Payment Methods

5.2 Payment Methods

There are 2 payment methods to pay their employees: cash/cheque or bank transfer. For a deeper understanding of various payment types, return to 5 Cash and Bank.

5.2.1 Cash or Cheque

Cash or cheques are distributed to employees in envelopes with each employee’s name on the pay envelopes. The payslip is usually included together with the cash or cheque.

5.2.3 Direct Credits

Bank transfers (direct credit) are typically used to make payments to employees. Organisations send the bank a list of employee bank accounts and the amount to be paid. The bank transfers money from the business’s bank account to the employees. Payslips are then sent to employees separately by email or in hard copy.

7.5.3 Payment Security and Confidentiality

5.3 Payment Security and Confidentiality

5.3.1 Payroll Payments Security

There are several safeguards a business will undertake when paying an employee, such as:

1. Manager authorisation is obtained for payroll payments to ensure:
    - Gross wage or salary has been correctly calculated

- Correct deductions have been made for each employee. Businesses may face severe fines and penalties if an incorrect amount is paid to the government.
- Only genuine employees are paid. If not, it may be possible that someone puts in a fictitious employee and directs wages into their account.

2. For larger organisations, ensure that the segregation of duties is in place. This means that different people oversee different activities within the payroll department.

For example, the person calculating the net payment differs from the one issuing cheques.

3. For cash payments, employees need to produce identification cards or passports for verification
4. Employees are to provide signatures in the payroll record after receiving pay envelopes in case of future discrepancies
5. Only authorised payroll personnel can distribute pay envelopes to employees
6. In case of absent employees, pay envelopes should be stored in a locked safe

5.3.2 Payroll Confidentiality Measures

The payroll department deals with private and sensitive information of business employees. Employee personnel records such as their name, address, date of birth, details of any work absences, qualifications and bank details are considered sensitive information.

The employer is legally responsible for keeping such information about employees safe per the data protection legislation.

If leaked, sensitive data can be used in a fraudulent manner whereby employees' bank details are obtained, and money is stolen from their accounts.

To ensure confidential payroll information is protected, safeguards should be placed as follows:

Businesses that keep paper records (manual)	All information about an employee should be stored in a locked cabinet in a locked office. Only the payroll supervisor should have keys to the office and cabinet. Information should be stored alphabetically so it is organised and easy to access.

Businesses that store information on a computer (digital)	Only payroll employees should be able to access the data on the computer. The payroll software must be password protected. The computer screen is locked if payroll personnel is away from the computer to prevent others from viewing the data on the screen. There must also be a regularly scheduled backup of the data.

Activity 3

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1. Why does payroll information need to be kept secure?
2. Why do payroll payments need to be authorised?
3. How should payroll information be stored?

**Please use the notes feature in the toolbar to help formulate your answer.*

7 Syllabus Coverage

Syllabus Coverage

This chapter covers the following Learning Outcomes.

D. Payroll

1. **Process payroll transactions within the accounting system**

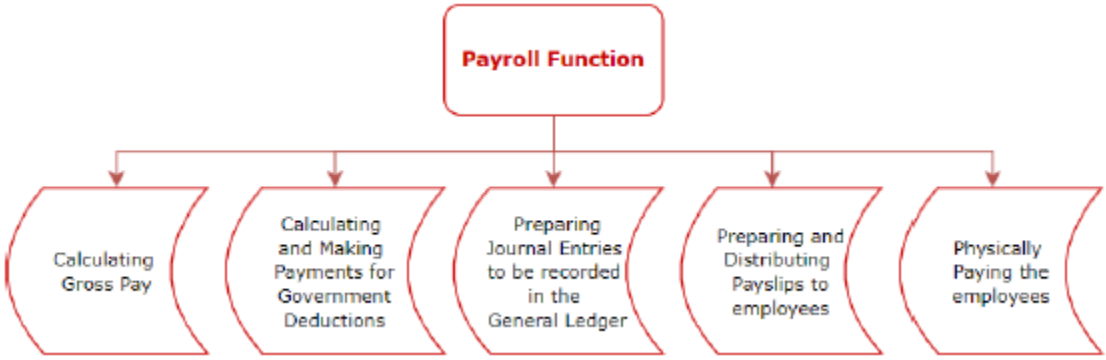
1. Calculate and prepare entries in the accounting system to process payroll transactions including:
    1. Calculation of gross wages for employees paid by the hour, paid by output and salaried workers
    2. Accounting for payroll costs and deductions
    3. The employers' responsibilities for taxes, state benefit contributions and other deductions

2. Identify the different payment methods in a payroll system, e.g. cash, cheques, automated payments.
3. Explain why an organisation's authorisation of payroll transactions and security of payroll information is important.

7 Summary and Quiz

Summary and Quiz

- Payroll is the record a business keeps, listing employee expenses and their work.
- The responsibilities of the payroll function include:



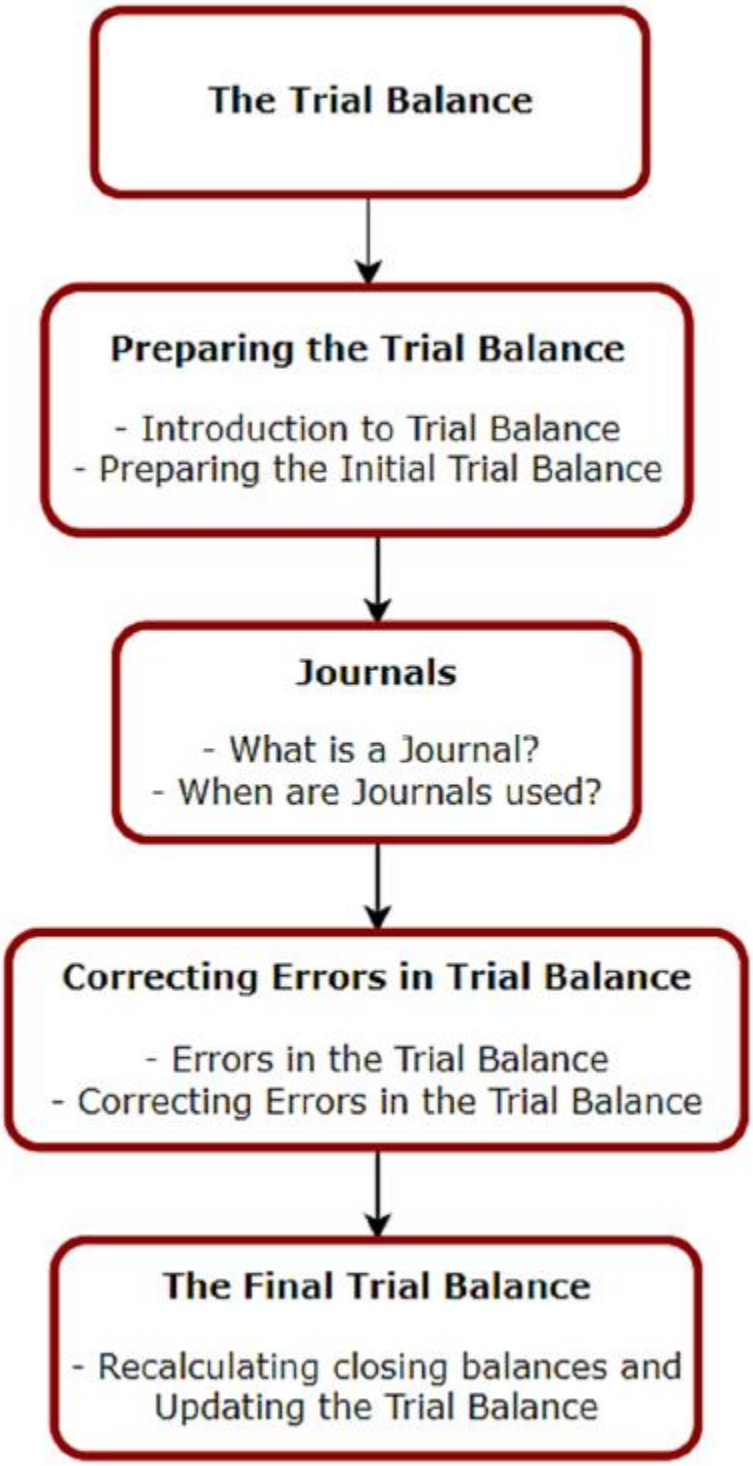
- **Gross** wage or salary is an employee's earnings **before deductions** are made.
- The types of gross pay are salary, wages, overtime, other additional earnings, holiday pay, sick/maternity pay and back pay. When referring to gross pay, it can be formed from any combination of the element listed.
- An employee is paid their gross earnings **after deductions**. This is known as **net pay**.
- The total cost of an employee is:
- Employee gross pay + Employer contribution to employee state benefits / Pension funds (or any other employer contributions)
- The payroll report shows a summary of the information such as:
    - Gross pay
    - Income tax deduction from employees

    - State benefit contribution deduction from employees
    - Pension fund contribution deduction from employees
    - State benefit contribution deduction from employer
    - Pension fund contribution deduction from employer
    - Net pay
- Journal entries are created and subsequently entered into the accounting system from information obtained from the payroll report
- The double entry for the total cost of employees is Dr. Employee Expense and Cr. Payroll Liability
- The double entry for each deduction is Dr. Payroll Liability and Cr. Each deduction liability
- The double entry for payments to employees is Dr. Payroll Liability and Cr. Bank
- Payroll liability should balance to zero every period end.
- Payment will be made to the tax authorities and pension fund in the following month. The double entry for this is Dr. Deduction Liability (liability decreased) and Cr. Bank (asset decreased).
- Payslips are prepared by a company's payroll function to be distributed together with payments to an employee.
- There are 2 payment methods most organisations use to pay their employees: cash/cheque or bank transfer payments.
    - Cash or cheques are distributed to employees in envelopes with the respective employee's name on the pay envelopes
    - Bank transfers (direct credit) are typically used to make payments to employees by informing banks to make transfers.
- Payroll payment safeguards include:
    - Manager authorisation has been obtained for payroll payments
    - For larger organisations, ensure segregation of duties is in place.
    - For cash payments, employees need to produce identification cards or passports for verification

    - Employees to provide signatures in the payroll record after receiving pay envelopes
    - Only authorised payroll personnel can distribute pay envelopes to employees
    - In case of absent employees, pay envelopes should be stored in a locked safe
- Payroll departments deal with private and sensitive information of business employees. The employer is legally responsible for keeping such information about employees safe per the data protection legislation.

CHAPTER 8: Visual Overview

CHAPTER 8: Visual Overview



8.1.1 Introduction to Trial Balance

1.1 Introduction to Trial Balance

Definition

A **trial balance** lists the closing debit or credit balances from all general ledger accounts.

The trial balance is usually prepared at the end of the accounting period to ensure the completeness of recorded double-entry transactions. From the trial balance, businesses will prepare the financial statements – the Statement of Profit or Loss and the Statement of Financial Position.

The credit and debit balances of all general ledger accounts should be equal.

To extract the trial balance, the following steps are made:

1. Close off each ledger account

Each ledger account is closed off, and the balance b/f is identified.

2. Prepare the initial trial balance

Each ledger account balance b/f is summarised and collected to form the initial trial balance.

3. Check for errors and make corrections

The initial trial balance is analysed for any errors that need to be corrected via **journals**.

4. Prepare the final trial balance

Once the errors are corrected via journal entries, the balances of the affected ledger accounts are updated and summarised into the final trial balance.

The final trial balance will be used to prepare the business's financial statements.

8.1.2 Preparing the Initial Trial Balance

1.2 Preparing the Initial Trial Balance

A trial balance is a list of all the closing balances from the ledger accounts in the general ledger. Debit or credit balances will be determined from the category of each ledger account (DEAD CLIC mnemonic).

DEBIT	Examples:	CREDIT	Examples:
Expense	• Telephone Bill • Rental • Sales Returns • Purchases	**L**iabilities	• Loans • Trade Payables • Output Sales Tax • Bank overdraft
Assets	• Motor Vehicles • Bank balance • Inventories • Trade Receivables • Input Sales Tax	**I**ncome	• Sales • Purchase Returns • Bank Interest received • Discounts received
Drawings	• Drawings	**C**apital	• Capital investment

Bank and **Sales Tax** account balances may appear as either debit or credit, depending on their substance.

- Bank account - If the balance is in debit, money is in the bank account (asset). If the balance is in credit, the bank account is overdrawn (liability)
- Sales tax account – If the sales tax account is in debit (asset), the tax authorities owe the business the money. If the sales tax account is in credit, the business owes money to the tax authorities (liability).

Example 1

Below is an example of a trial balance at the end of the accounting period. The balance on the debit side should match the balance on the credit side. This confirms that the double-entry process is completed for each transaction.

	DEBIT ($)	CREDIT ($)
Bank deposit	3,404	

Example 1

Cash	641	
Capital		30,000
Fixtures & fittings	4,500	
Receivables	25,410	
Payables		6,390
Purchases	2,100	
Sales		23,009
Purchase returns		410
Sales returns	525	
Inventory	13,400	
Sales tax owed		2,804
Drawings	2,500	
Wages	3,781	
Other Expenses	6,352	
	62,613	**62,613**

Activity 1

Account	**Debit**	**Credit**
	$	**$**
Bank		3,000
Cash	400	
Capital		20,000

Motor vehicles	5,500	
Receivables	12,400	
Payables		8,280
Purchases	22,100	
Sales		30,700
Inventory	3,900	
Sales tax		1,700
Drawings	5,000	
Wages	8,100	
Other expenses	6,280	
	63,680	63,680

Based on the initial trial balance provided above, decide whether the statements below are True or False.

1. There is money in the bank account.
2. The tax authorities owe the business money.
3. Customers owe the business $12,400.
4. The proprietor/owner has not taken any money from the business.

**Please use the notes feature in the toolbar to help formulate your answer.*

Activity 2

---

1. The sales account balance is usually a _____ on the trial balance. This is because it is a/an _____ account.
2. The sales return account balance is usually a _____ on the trial balance because the return of faulty or unwanted goods is a/an _____ to a business.
3. The heating and light balance is usually a _____ on the trial balance because it is a/an _____ to the business.

4. The loan account is usually a _____ balance because it is a/an _____ to the business.
5. Sales tax owed to the tax authorities is usually a _____ on the trial balance because it is a/an _____ to the business.
6. The office equipment account balance is usually a _____ on the trial balance because it is a/an _____.

**Please use the notes feature in the toolbar to help formulate your answer.*

Example 2

For each of the ledger accounts below, the account category is determined, and the amount is placed on the correct debit or credit side.

The debit balance will match the credit balance when correctly recorded.

Account	**Amount ($)**	**Debit ($)**	**Credit ($)**	**Category**
Bank (not in overdraft)	10,210.00	10,210.00		Asset
Cash	350.00	350.00		Asset
Capital	11,828.00		11,828.00	Capital
Vehicles	6,540.00	6,540.00		Asset
Commission received	740.00		740.00	Income
Rent Received	3,650.00		3,650.00	Income
Purchases	6,354.00	6,354.00		Expense
Sales	16,451.00		16,451.00	Income
Purchase Returns	1,004.00		1,004.00	Income
Sales Returns	1,340.00	1,340.00		Expense
Payables	12,140.00		12,140.00	Liability
Receivables	24,700.00	24,700.00		Asset
Bank Loan	6,000.00		6,000.00	Liability

Example 2

Drawings	2,000.00	2,000.00		Capital
Vehicle expenses	526.00	526.00		Expense
Office Stationery	142.00	142.00		Expense
Sales Tax (owed to tax authorities)	2,012.00		2,012.00	Liability
Discount received	340.00		340.00	Income
Other Expenses	2,003.00	2,003.00		Expense
		54,165.00	**54,165.00**	

Activity 3

Enter the amount into the debit or credit column based on the ledger account and state the account category.

Account	**Amount ($) Debit ($) Credit ($) Category**
Bank Overdrawn	4,100.00
Cash	210.00
Capital	16,810.00
Vehicles	12,000.00
Bank Interest received	362.00
Rent Income	2,400.00
Purchases	9,874.00
Sales	24,512.00
Purchase Returns	635.00
Sales Returns	950.00

Payables	8,700.00
Receivables	32,650.00
Drawings	1,220.00
Telephone	417.00
Postage	65.00
Sales Tax (owed to tax authorities)	3,240.00
Discount received	367.00
Other Expenses	3,740.00

**Please use the notes feature in the toolbar to help formulate your answer.*

8.2.1 What is a Journal?

2.1 What is a Journal?

Definition

A **journal** is a record of accounting entries posted to the general ledger.

A **journal** is part of the double-entry process and in the era of computerised accounting systems remains one of the few ways in which accountants directly post transactions into the general ledger.

The term “journal entries” has been used throughout this study text to denote which accounts are debited and credited by various transactions. Many of these journals are processed automatically by the accounting system (eg when a sales invoice is issued, the Sales account will be credited and the Trade receivables account will be debited).

Some journal entries are prepared manually, and then entered into the accounting system by a member of the accounting staff. These are referred to as manual journal entries.

2.1.1 Elements of a Journal

Manual journal entries are compiled in the journal, and below is the record format.

Journal Ref.	Date	GL Account	Debit ($)	Credit ($)
1.	1 June 20X1	GL account name GL account name Description of journal	100.00	100.00
2	3 June 20X1	GL account name GL account name Description of journal	50.00	50.00

- Journal ref – each journal entry has its unique reference number
- Date – the date a journal entry is recorded
- GL account – a journal is an accounting entry record made to the general ledger account. The names of the general ledger accounts affected are mentioned.
- Debit/credit – the amount in each GL account is recorded either in debit or credit
- Description of journal – each journal entry will end with a clear explanation

2.2 When are Journals used?

A manual journal entry is used to record non-routine financial transactions such as:

2.2.1 Unusual or One-off Transactions

For example, RFashion purchases a new display unit for its office. This is a one-off purchase, and it should be recorded in the general ledger by making a manual journal entry.

2.2.2 Period-End Adjustments

For example, RFashion has identified an irrecoverable receivable (bad debt) at the end of the financial period. The irrecoverable debt will be written off through a manual journal entry.

2.2.3 Correct Errors in the trial balance

Errors of commission, principle, omission, and reversal may occur. These errors are covered in detail in *Section 3*.

Example 3

For each transaction in RFashion, create a manual journal entry to be posted to the relevant general ledger accounts.

1. RFashion purchased a new shop display unit on 15 December 20X1 for $4,500. He paid for the shop display unit through a bank transfer.

The shop display unit is a one-off expense of a business. RFashion uses a journal entry to record the purchase of the display unit.

2. At year-end, Rajiv identifies a customer in the receivables ledger who is bankrupt and unable to make payments owed to RFashion of $380.

Since the amount remains in the trade receivables account, it must be written off to the irrecoverable debt expense account.

3. After performing the bank reconciliation for December 20X1 (bank statement vs bank ledger account), Rajiv found that a bank fee of $100 was charged but no record of the expense had been made in the Bank ledger account.

Rajiv will include this transaction due to the error of omission into the bank ledger account using journal entries.

4. After creating the trial balance, Rajiv discovered that an insurance expense of $1,200 had been classified as a purchase expense.

This is an error of commission as the transaction has been posted to the wrong account of the same "type". Rajiv will correct this error using journal entries.

Actual Entry	Correct Entry	**Correction:**
Dr. Purchases (expense)	Dr. Insurance (expense)	**Dr. Insurance (expense)**
Cr. Bank (asset)	Cr. Bank (asset)	**Cr. Purchases (expense)**

The journal entries are compiled into the journal below and subsequently included in the individual general ledger T-Accounts:

Journal Ref.	**Date**	**GL Account**	**Debit ($)**	**Credit ($)**

Example 3

1.	15 Dec 20X1	Office equipment (asset) Bank (asset) *Purchase of shop display unit*	4,500.00	4,500.00
2.	31 Dec 20X1	Irrecoverable debt (expense) Trade receivables (asset) *Write-off of a Bad Debt*	380.00	380.00
3.	31 Dec 20X1	Bank charges (expense) Bank (asset) *Bank Charges not recorded*	100.00	100.00
4.	31 Dec 20X1	Insurance (expense) Purchases (expense) *Correction of commission error*	1,200.00	1,200.00

Activity 4

Determine if the statements below are True or False.

1. A manual journal entry records accounting entries made in the trade receivables and trade payables ledgers accounts.
2. A journal will include the following information: a unique reference, the date, the names of the general ledger accounts affected, and the amounts to be debited and credited.

**Please use the notes feature in the toolbar to help formulate your answer.*

8.3.1 Errors in Trial Balance

3.1 Errors in Trial Balance

When a business extracts its initial trial balance, it will investigate if any errors remain. Errors can still exist within a trial balance even when the debit and credit balances are equal.

Once these errors are identified, the business will make the necessary corrections using **journal entries**. The entries will flow into the general ledger accounts, and a new closing balance will be calculated. The corrected trial balance is then redrafted.

Errors can be categorised into those that affect the trial balance and those that do not.

8.3.2 Errors That Cause the Trial Balance Not to Balance

3.2 Errors That Cause the Trial Balance Not to Balance

These errors are due to unbalanced double entries where the debit and credit balances do not match. The trial balance will show an unbalanced debit and credit figure.

The difference is transferred to a **suspense account** to match the debit and credit amount while the business investigates and corrects the errors.

In a computerised accounting system, the system does not allow entries where the debit and credit side of the transaction are not equal.

- Error of Partial Omission

An error of partial omission occurs when only one side of the entry (either debit or credit) is posted in the general ledger.

For example, payment of wages is correctly debited to the wages expense account, but no credit entry is made.

- Error of Posting

An error of posting occurs when either the debit or credit entry is posted with an incorrect value.

For example, the petty cash tin is being replenished with $40. However, the double entry made is Dr. Petty Cash $44 and Cr. Bank $40

The debit entry is posted with an incorrect amount.

Exam Advice

With the advent of computerised systems, the likelihood of errors arising from unbalanced double entries is minimised.

Modern accounting systems have embedded controls that prevent these errors from occurring. However, it is still helpful to learn the nature of these errors.

3.1.2 The Suspense Account

The likelihood of errors arising from imbalanced double entries is low in a computerised accounting system.

However, a suspense account may still exist as businesses may deliberately post an entry into the suspense account due to uncertainty about which account to record a transaction correctly.

The bookkeeper may temporarily make the posting into the suspense account and correct the posting later.

8.3.3 Errors That Do Not Lead to an unbalanced Trial Balance

3.3 Errors That Do Not Lead to an unbalanced Trial Balance

In spite of these errors, the debit and credit balances in the trial balance are equal.

- Errors of Commission

An error of commission occurs when a transaction has been posted to the wrong account of the same 'type'. Accounts of the same type are expense, asset, income, or liability.

For example, Rent and Telephone accounts are both expense accounts. If the rent payment is posted to the Telephone account, the trial balance agrees, but the Rent and Telephone account balances would be incorrect.

- Errors of Principle

An error of principle occurs when a transaction has been posted to an account of a different 'type'.

For example, a vehicle's fuel purchase (expense) is posted to the Vehicle account (asset). This transaction should have been posted to the Vehicle Expenses account, not the Vehicle (asset) account. The trial balance agrees, but the Vehicle expense and Vehicle (asset) account balances are incorrect.

- Errors of Omission

An error of omission occurs when something is 'omitted' – left out or not posted to the accounts.

For example, a purchase invoice is received from the supplier, and the business fails to record the invoice in its accounting system.

- Errors of Reversal Entry

Reversal of entry occurs when transactions are posted to the wrong sides of the accounts.

For example, an advertising payment of $50 is posted wrongly by debiting Bank $50 and crediting Advertising expense $50 instead of the other way round. The business must reverse this incorrect entry and post the correct version to correct the error.

- Errors of Original Entry

An error of original entry occurs when a transaction has been posted with an incorrect amount. Both sides of the account are posted with the wrong amount.

For example, cash paid to a supplier of $520 was keyed into the accounting system as $502. The Trade payables and Bank account balances will be incorrect.

Data Errors can be avoided by:

- Training employees on the correct procedures, such as double-checks and tick boxes.
- Making sure supervisors are available to routinely review work done
- Validating data by comparing the accuracy of data posted to the original document
- Ensuring enough staff are hired to prevent overloading so data integrity can be maintained.

Activity 5

For each transaction posted incorrectly in the table below, link them to the corresponding types of errors.

No.	Incorrect Transaction	Types of Errors
1.	A travel cost of $45 was posted to the Telephone Expense Account by mistake.	Error of Reversal Entry
2.	A purchase return of $65 was debited to the purchase returns account and credited to the Trade Payables Account.	Error of Principle
3.	Cash purchase for envelopes for $32 is keyed into the accounting system as $23.	Error of Original Entry
4.	A purchase invoice received of $360 (including sales tax of $60) was not recorded in the accounts.	Error of Commission
5.	A printer cartridge (expense) costing $16 is posted to the office equipment account (asset).	Error of Omission

**Please use the notes feature in the toolbar to help formulate your answer.*

3.4 Correcting Errors in Trial Balance

Errors are corrected using the journal. The journal entries flow into the relevant general ledger accounts, and a new closing balance is calculated.

Example

For each incorrect transaction below, create the journal entries to be posted to general ledger accounts to correct the error.

1. A travel cost of $45 was posted to the Telephone account by mistake.
2. A purchase return of $65 was debited to the Purchase Returns account and credited to the Trade Payables account.

Example

3. Cash purchase for envelopes for $32 is keyed into the accounting system as $23.
4. A purchase invoice received of $360 (including sales tax of $60) was not recorded in the accounts.
5. A printer cartridge (expense) costing $16 is posted to the Office Equipment account (asset).
6. Petty cash payments for stationery expenses of $12 have been recorded as Dr. Suspense and Cr. Petty Cash. This entry was made as the bookkeeper was unsure of the individual expense account to debit.

For each of the incorrect transactions above, below are the double entries to be included in the journals to correct their errors:

No.	Incorrect Entry	Correct Entry	Correction
1.	Dr. Telephone $45 Cr. Bank $45	Dr. Travel $45 Cr. Bank $45	Dr. Travel $45 Cr. Telephone $45 *To reverse*, Dr. Trade Payables $65 Cr. Purchase Return $65 *Input correct entry*, Dr. Trade Payables $65 Cr. Purchase Return $65
2.	Dr. Purchase Return $65 Cr. Trade Payables $65	Dr. Trade Payables $65 Cr. Purchase Return $65	
3.	Dr. Stationery $23 Cr. Cash $23	Dr. Stationery $32 Cr. Cash $32	Dr. Cash $23 Cr. Stationery $23 Input correct entry, Dr. Stationery $32

Example

						Cr. Cash	$32
			Dr. Purchases	$300	Dr. Purchases		$300
4.	No Entry Recorded		Dr. Sales Tax	$60	Dr. Sales Tax		$60
			Cr. Trade Payables	$360	Cr. Trade Payables		$360
	Dr. Office Equipment	$16	Dr. Office Expense	$16	Dr. Office Expense		$16
5.							
	Cr. Cash	$16	Cr. Cash	$16	Cr. Office Equipment		$16
	Dr. Suspense	$12	Dr. Stationery	$12	Dr. Stationery	$12	
6.							
	Cr. Petty Cash	$12	Cr. Petty Cash	$12	Cr. Suspense	$12	

The journal entries are compiled into the journal below and subsequently included in the individual general ledger T-Accounts (ignore the dates):

Journal Ref.	GL Account	Debit ($)	Credit ($)
	Travel (Expense)		
	Telephone (Expense)	45.00	
			45.00
1.	*Correction of Commission Error*		
	Trade Payables (Liability)		
	Purchase Return (Income)	65.00	
			65.00
	Trade Payables (Liability)		
	Purchase Return (Income)	65.00	
			65.00
2.	*Correction of Reversal Entry Error*		
	Cash (Asset)		
	Stationery (Expense)	23.00	
			23.00
	Stationery (Expense)		
	Cash (Asset)	32.00	
			32.00
3.	*Correction of Original Entry Error*		

Example

	Purchases (Expense)		
	Sales Tax (Asset)	300.00	
	Trade Payables (Liability)	60.00	360.00
4.	*Correction of Omission*		
	Office Expense (Expense)		
	Office Equipment (Asset)	$16	$16
5.	*Correction of Principle Error*		
	Stationery (Expense)		
	Suspense		
6.	*Correction to Suspense Account*		

8.4.1 Recalculating Closing Balances and Updating Trial Balance

4.1 Recalculating Closing Balances and Updating Trial Balance

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Once the errors are corrected via journal entries, the balances of the affected ledger accounts are updated and summarised into the final trial balance.

Example 5

Below is the initial trial balance for RFashion (from *Example 4)* before any corrections have been made. The journal with the list of error corrections is also provided.

Account	**DR**	**CR**
	$	**$**
Bank	2,000	
Cash	360	
Loan		28,306
Receivables control account	52,145	
Office stationery	3,210	
Office equipment	9,600	

Example 5

Capital		50,000	Wages	7,360	
Purchases	17,400		Sales tax		3824
Purchase returns		5,120	Vehicles	16000	
Sales		36,520	Telephone	590	
Sakes returns	9,541		Travel	147	
Inventory	14,784		Sundry expenses	890	
Payables control account		10,257		134,027	134,027

Journal Ref.	GL Account	Debit ($)	Credit ($)
	Travel (Expense)		
	Telephone (Expense)	45.00	
			45.00
1.	*Correction of Commission Error*		
	Purchases (Expense)		
	Sales Tax (Asset)	300.00	
	Trade Payables (Liability)	60.00	
			360.00
2.	*Correction of Omission*		
	Office Expense (Expense)		
	Office Equipment (Asset)	$16	
			$16
3.	*Correction of Principle Error*		

The journal entries are then posted into the relevant ledger accounts affected:

1. For Journal Ref. 1, the Travel and Telephone accounts are affected.

Example 5

Travel

DR		CR	
Narrative	$	Narrative	$
Balance b/d	147		
Telephone	45		
		Balance c/d	192
	192		192
Balance b/d	192		

Telephone

DR		CR	
Narrative	$	Narrative	$
Balance b/d	590		
		Travel	45
		Balance c/d	545
	590		590
Balance b/d	545		

2. For Journal Ref 2, the Purchases, Sales Tax and Trade Payables accounts are affected.

Purchases

DR		CR	
Narrative	$	Narrative	$
Balance b/d	17,400		
Payables control	300		
		Balance c/d	17,700
	17,700		17,700
Balance b/d	17,700		

Sales tax

DR		CR	
Narrative	$	Narrative	$
Payables control	60		
		Balance b/d	3,824
Balance c/d	3,764		
	3,824		3,824
		Balance b/d	3,764

Payables control

DR		CR	
Narrative	$	Narrative	$
		Balance b/d	10,257
		Purchases	360
Balance c/d	10,617		
	10,617		-
		Balance b/d	10,617

3. For Journal Ref. 3, the Office Stationery and Office Equipment accounts are affected.

Example 5

Office stationery

DR		CR	
Narrative	$	Narrative	$
Balance b/d	3,210		
Office equipment	16		
		Balance c/d	3,226
	3,226		3,226
Balance b/d	3,226		

Office equipment

DR		CR	
Narrative	$	Narrative	$
Balance b/d	9,600		
		Office stationery	16
		Balance c/d	9,584
	9,600		9,600
Balance b/d	9,584		

Once all the corrections have been posted to the general ledger accounts, the closing balances of each ledger account (balance b/d) are updated to form the final trial balance:

Account	DR ($)	CR ($)
Bank	2,000	
Cash	360	
Capital		50,000
Purchases	17,700	
Purchase returns		5,120
Sales		36,520
Sakes returns	9,541	
Inventory	14,784	
Payables control account		10,617
Loan		28,306
Receivables control account	52,145	
Office stationery	3,226	
Office equipment	9,584	

Example 5

Wages	7,360	
Sales tax		3,764
Vehicles	16,000	
Telephone	545	
Travel	192	
Sundry expenses	890	
	134,327	**134,327**

Activity 6

JW Co. has extracted its initial trial balance and journal.

Include the journal entries into the ledger accounts and enter the updated closing balance into the final trial balance.

Account	**DR**	**CR**
	$	**$**
Bank	4,541	
Cash	268	
Capital		20,000
Purchases	7,840	
Purchase returns		478
Sales		18,741
Sakes returns	2,003	
Inventory	5,600	
Payables control account		9,870
Loan		4,806
Receivables control account	25,678	
Stationery	1,036	
Drawings	955	
Wages	3,654	
Other expenses	2,320	
	53,895	53,895

Journal Ref.	**GL Account**	**Debit ($)**	**Credit ($)**

	Trade Payables (Liability)		
	Purchase Return (Income)	65.00	
	Trade Payables (Liability)		65.00
	Purchase Return (Income)	65.00	
			65.00
1.	*Correction of Reversal Entry Error*		
	Cash (Asset)		
	Stationery (Expense)	23.00	
	Stationery (Expense)		23.00
	Cash (Asset)	32.00	
			32.00
2.	*Correction of Original Entry Error*		

**Please use the notes feature in the toolbar to help formulate your answer.*

Syllabus Coverage

This chapter covers the following Learning Outcomes.

B. Duality of Transactions and the Double Entry System

2. **Journal Entries**

1. Explain the use of journal entries including the reasons for and format of journal entries.
2. Prepare journal entries for various transactions.

J. Preparing the trial balance

1. **Prepare the trial balance**

1. Extract an initial trial balance.

2. **Correcting errors**

1. Identify the types of errors that are revealed by extracting a trial balance.
2. Identify the types of errors that are not revealed by extracting a trial balance.
3. Prepare manual journal entries to correct errors in the trial balance.

4. Identify when a suspense account is required and clear the suspense account using manual journal entries.
5. Redraft the trial balance following correction of all errors.

8 Summary and Quiz

Summary and Quiz

- A trial balance is a list of all the closing debit or credit balances from each ledger account in the general ledger.
- To create the trial balance, the following steps are made:
    - Close off each ledger account
    - Prepare the initial trial balance
    - Check for errors and make corrections via journals
    - Prepare a final trial balance
- A journal is a record of accounting entries which need to be posted to the general ledger.
- A manual journal entry is used to record financial activities such as:
    - Unusual or one-off transactions
    - Period-end adjustments
    - Correct errors in the trial balance
- There are several types of errors that may exist in a trial balance
    - Error of reversal entry
    - Error of principle
    - Error of original entry
    - Error of commission
    - Error of omission
- An error of commission occurs when a transaction has been posted to the wrong account of the same 'type'.

- An error of principle occurs when a transaction has been posted to an account of a different 'type'.
- An error of omission occurs when something is 'omitted' – left out or not posted to the accounts.
- Reversal of entry occurs when transactions are posted to the wrong sides of the accounts.
- An error of original entry occurs when a transaction has been posted with an incorrect amount to both sides of the Account.
- Errors are corrected using the journal. The journal entries flow into the relevant general ledger accounts, and a new closing balance is calculated.
- The final trial balance will include the updated closing balance from each corrected ledger account.